

Alkyl Amines Chem (ALKYLAMINE)

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Call: May 2023

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Alkyl Amines Chemicals Limited Key

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COMPITHEM 10 BUSTARAMELITY

May 17, 2023

To,

BSE Limited The National Stock Exchange of India Limited

P. J. Towers, Exchange Plaza,

Dalal Street, Fort, Bandra Kurla Complex, Bandra (E),

Mumbai — 400 023. Mumbai — 400 051.

SCRIP CODE: 506767 SYMBOL: ALKYLAMINE

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015 — Submission of transcript of earnings conference call

Dear Sirs,

With reference to our letter dated May 9, 2023, please find enclosed the transcript of the earnings conference call held on May 12, 2023.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For ALKYL AMINES CHEMICALS LIMITED

Chintamani D. Thatte

General Manager (Legal) & Company Secretary

& Compliance Officer

Encl.: As above

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Alkyl Amines Chemicals Limited

"Alkyl Amines Chemicals Limited Q4 FY '23 Earnings

Conference Call"

May 12, 2023

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MANAGEMENT: MR. KIRAT PATEL — EXECUTIVE DIRECTOR, ALKYL

AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE — GENERAL MANAGER

(LEGAL) AND COMPANY SECRETARY, ALKYL AMINES

CHEMICALS LIMITED

MS. KANCHAN SHINDE — CHIEF FINANCIAL OFFICER,

ALKYL AMINES CHEMICALS LIMITED

MODERATOR: MR. NILESH GHUGE - HDFC SECURITIES LIMITED

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UA QGs

Alkyl Amines Chemicals Limited

Moderator:

Nilesh Ghuge:

Kirat Patel: Alkyl Amines Chemicals Limited

May 12, 2023

Ladies and gentlemen, good day and welcome to the Alkyl Amines Chemicals Limited Q4 FY '23 Earnings Conference Call hosted by HDFC Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you, and over to you, Mr. Ghuge.

Thank you, Tanvi. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Alkyl Amines' conference call to discuss the results for the quarter ended March 2023 and

full year FY '23.

It is pleasure of having with us top management team from Alkyl Amines represented by Mr. Kirat Patel — Executive Director, Mr. Chintamani Thatte — General Manager (Legal) and Company Secretary, and Ms. Kanchan Shinde — Chief Financial Officer, Alkyl Amines. Without further ado, I will now hand over the floor to the management for making opening comments. Over to you, sir.

Thank you, Nilesh. This is Kirat Patel. Thank you everybody for joining us on this annual call after our annual results. I will take a few minutes to just give you a brief outline of how the year has been, and then we can throw the floor open for questions.

The year has been, as we all know, a little peculiar because of the Ukraine war, which affected all the commodity prices, and there has been a lot of volatility in prices. Fortunately, over the period of the year, we have been able to maintain market share, increase our volume sales and managed to at least stay on track as profitability is concerned.

There have been, of course, in the marketplace for our main customer industries some degree of volatility with Pharma having some stress. The pricing on our inputs also have been under stress. Fuel, for example. Coal p

rice has gone up considerably in the last year. Fortunately, it looks as if all that has now settled, and we look forward to a much stabler time in the next, in the coming year, which is '23-'24.

As far as our projects are concerned, the big project of Ethylamines expansion, where we are planning to spend close to Rs 400 crores is almost ready for commissioning. It will probably be commissioned in the second quarter of this financial year, that is, July-September sometime. In the meantime, we have already commissioned one new product in the last year, Diethylketone, which plant has stabilized now in production.

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Alkyl Amines Chemicals Limited

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With that, I will leave the floor open for questions, and we will try and answer to the best of our ability. Thank you. Nilesh, if you could open the floor for questions?

Thank you. We will now begin the question-and-answer session. The first question is from the line of Neerav Jimodia from Anvil Research. Please go ahead.

Good afternoon, team. Sir, I have two, three questions. Sir, if we see the amines chain like from C1 to C6 like methyl, ethyl, propyl and hexylamine up to, I think we are fairly stronger in the first three like methyl, ethyl and the Isopropylamines. So, if you can take us through our how we are placing the other three amines? Because I think we are the only player in India who is into this higher chain of amines. I was just checking our website where one of the key product in hexylamine is 2-Ethylhexylamine. So, if you can walk us through like how much of our current turnover is coming from this higher amines? And what is the size of this higher amines into India? So, are they totally imported into India? Or how is the situation be?

Yes, Neerav, we are in the business of aliphatic amines, and as it happens the market for the amines, the largest market is for the C1, which is methylamine, by far the largest market. The second largest market is for Ethylamines, C2, and the third largest which is C3, Isopropylamine. The C4, 5, 6 Ethylhexyl is a mix of C6, and the Butylamines are relatively smaller markets. In fact, in terms of turnover, I mean, part of our revenue, they would comprise less than 5% of our total revenue. So, those are much smaller markets in India. Yes, we are the only manufacturers, and our competition is in imports from both China and Europe, and we do command, depending on the product, reasonably good market share since we happen to be the only manufacturers of these products.

So, you mentioned C4 to C6 total our revenue share is close to 5%, right? Or only C4 butylamines is 5%?

No, no. All put together. There are three products in that.

So, the new products what we alluded last time like five to six products what we are going to launch over next 10 to 15 months, one, we recently mentioned DEK, which we have launched.

So, apart from this one product, the remaining products, does it qualifies into this higher amines where probably we are the only producer in India and we can get some immediate input substitute volumes once we commission those capacities?

No, the products which we mentioned in our last meeting, that we are going to launch, about five products over the next 24 months, of which, six months have already gone, one product was launched, Diethylketone, and that's not part of the amine family, and neither are the others are part of the amine family. One or two are derivatives, and the others are specialties.

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Sir, the second question is, what we have seen recently is like one of the key raw material ammonia, the prices have collected from close to \$900 in December t

o \$300 now. So, my

question is what sort of volume growth we are expecting for FY '24 couple with the fact that some of the raw material benefits could be passed on to the consumers because of the some commodity nature of the business, but some we could retained on and which could help us to improve our per Kg margin. So, like if you can guide us in terms of how much out of this 1700 crores of our business can have a scope of improvement in the per Kg margins? And like FY '21 was a year when Acetonitrile was doing very well, and we reported very good numbers. But now with new products, Ethylamines plant also getting commissioning, probably the contribution of Acetonitrile would be coming down in the overall buy of our revenue. So, if you can help us explain in terms of the situation for FY '24 and FY '25, that could be helpful, sir?

So, in terms of volumes, the last year, we predicted we do between 10% and 15%. Unfortunately, it's been at the lower level at around 10%, the volume growth. We are expecting next year to be a little better because things have stabilized, and our customers are being a little more optimistic, and we hope to be able to do at the higher end of this 10% and 15% in volume growth.

Your mentioning ammonia as a particular input, yes, ammonia prices have come down, and it is one of our key inputs, in the top five inputs for our products, and it, the price reduction, would help us. But you must understand where margins are concerned, it's not just the raw material prices going down, but it's also how the competition changes the finished goods' prices because prices are set by competition.

So, margins are always following a sequence where, you know, raw material prices come down, then the finished prices come down. When the raw material prices went up, the finished goods prices went up because we and our competitors are all in the same boat. So, sooner or later we have to, you know, come to a reasonable margins. So, yes, it is a good thing that not just ammonia, but even coal seems to have come down a bit, and we are hoping that raw material prices have seen their highest, have seen their peaks and will settle down.

Correct. Because, sir, if we see probably some of the products are difficult to even import. Case in point is methylamine. So, there we could retain some portion of the raw material cost benefits and coupled with the fact that in the higher set of amines where probably the competition is limited, we can retain the benefits of this raw material cost. Correct? Is it safe to assume that?

Yes, and no. The point remains that even in methylamine domestic, there is competition. So, what affects us affects our competitor, and he gets also equal benefits. So, the market share struggle will remain. So, you know, it's not a one-way street that the prices come down and we can retain our benefits. Okay, it happens in some peculiar circumstances, but it's not a general rule.

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Just a small follow-up to this like you mentioned on the coal cost, but I think we use lot of steam also. So, if you can just help us explain like what has been the cost initiatives on the operating cost? Because on a quarterly basis, if we see the difference between our gross margins and the operating profit is close to 114 crores in terms of the operating cost. So, I think this has come down sequentially by 6 crores on a higher top line. So, probably some steam cost savings would

have come or some benefits on the freight cost could have been sitting in this Q4 reduction in the operating cost. So, if you can just help us what are the cost initiatives which we have taken in FY '22 or FY '23 in terms of the CapEx is which could help us to reduce the cost from FY '24 on a permanent basis, be it steam or any other initiatives

, if you can just highlight, sir?

So, what you are referring to is the item called "other expenses" in our results. They have gone up. Well, they have gone up in the last year compared to the year before and largely on account of coal. Coal which used to be the year before that about Rs. 5,000, Rs. 6,000 a ton, went to about Rs. 10,000 a ton, and last year it peaked at some Rs. 14,000, Rs. 15,000 a ton, and now it is coming down to about Rs. 11,000 a ton. So, obviously it plays a very large role in the element called "other expenses".

The other large role is electricity. Electricity for us the rates at least have been stable, part of the reason being that we have commissioned solar plants which applies to Kurkumbh and Patalganga, which have started somewhere around about half of the year, sometime in August, September of last year, and that has helped us reduce our electricity costs.

Of course, the ongoing process of doing little projects to increase efficiency, improve our energy utilization also helps. So, the per unit consumption also has come down, and all this has played a role in helping us save some costs in terms of fuel and power. And I hope that the prices of coal come down. Then obviously the utility costs will come down. And we do plan another solar plant in Gujarat for our Dahej plant. So, some portion of electricity costs will also get reduced there.

So, just to conclude like what we have seen the other expenditure in Q4 and based on the cost initiatives what you just highlighted upon, based on 10% to 15% of volume growth what we will achieve for FY '24, this absolute amount of other expenditure could remain at this levels of Q4 only and would not go up substantially from here could be the right assumption, sir?

Well, because of volumes will go up, so obviously the absolute amount will go up. You know, we do need more electricity, more steam when we produce more tonnage, if the prices come down by a same amount, then obviously it will flatten out. It depends on where the prices come. Thank you. The next question is from the line of Pujan Shah from Congruence Advisors. Please go ahead.

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One bookkeeping question. In capital work in progress, we are seeing a 190 crores of appreciation from FY '22. So, is it about the Ethylamines or we are planning something else as well because fixed assets have also been increased?

Can you just repeat the question?

So, in our balance sheet, we can see the capital work in progress has increased by 190 crores, and we are also seeing fixed assets increase somewhere or the other way. So, is it about the only Ethylamines or we have been proposed to some other expansion as well?

No, there are other projects also apart from Ethylamines, but capital work in progress of 352 crores, out of that around 80% is of Ethylamines. And also we have capitalized around 140 crores of project during the year. So, you will see that movement also.

So, could you just spell out 20% which are the product we have been using like developing to?

See, out of that 140 crores, the two bigger items is, one is the solar facility, and the second was the Diethylketone plant.

And one hydrogen plant.

And one new hydrogen plant which we commissioned in June, July. So, these are the basic items on the CapEx.

Rest are for process improvements and all.

Yes. Others were small, small items.

And sir, on overall basis as previous question was been asked, so overall if you say how much on the raw material basis from the peak has been corrected? So, let's suppose it was 100 on the raw material which was peak around. So, how much percentage has been connected till date? And what are the estimate

s are still above to get corrected in the coming quarters for the raw material price?

I think predicting the coming quarter is not a good idea because | think, you know, these prices are a little volatile, but they seem to have peaked. And I think I would say about 10% overall . There are a couple of like ethyl alcohol has become a little more expensive, while coal has come down. So, as a mix I would say about 10% to maybe 15% drop from its highest peak. And sir, I just wanted to understand the C4 and C6 chain which we are talking about, so is that the thing that the market size is small or is that the thing that it's a very niche product or all this, the demand is being substituted by imports? So, could you just...

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No, the market size is small. These are, you know, Butyl, Ethylhexyl, Cyclohexyl, all these are very niche products in the sense the market sizes are small. Yes, imports are coming in, and we are making. So, it's not a very large market in India. They go into niche products. I think worldwide they are not very large products;

Can you just spell out which industries have been used for all these products for the influence?

Cyclohexylamine goes into rubber chemicals.

Rubber chemicals.

So, there are niche uses for all this, you know.

Thank you. The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund.

Please go ahead.

Sir, in the opening remarks, you alluded to the Pharma industry sort of not doing that well last year, but if you look at our data points in the last two months, we are seeing some signs of double-digit growth sort of coming back. So, if you look at a few portfolios like respiratory, anti-infectives, vaccines, chronic, acute etc., etc., we are seeing almost 10% to 12% growth being reported. So, is it fair to say that in turn given you are the supplier, you are also seeing some sort of pickup in demand from the Pharma sector?

Yes, what I was alluding to be the last year up to March. You know, we were referring to the year '22-'23, but yes, going forward, as I mentioned, the Pharma industry seems to be a little more optimistic that they have passed the stage of destocking, They had I think produced, over produced, during the COVID era, and then when normalcy came back, I think they had to destock. So, obviously, production and sales were about 2% or 3% probably higher, but they had to destock.

So, in actual terms their purchases of raw materials were less than the previous year. So, now they are back to what you might call the normal curve pre-COVID. It will not be, I mean, the booming years of COVID, but at least better than the pre-COVID years. So, I think yes, you are right that the current numbers from the Pharma industry look a little more optimistic, and therefore, we are hoping that our growth rate will be on the higher end of the 10% to 15%.

Secondly, sir, in the environment where raw material prices have been coming off, so we saw sharp correction in ammonia happening in the last two, three months, but even acetic acid etc., other raw materials have been coming off. So, in that scenario, why would gross margins declined sequentially? I am referring to the fourth quarter versus the third quarter.

No, I don't think the gross margins in the fourth quarter declined against the third quarter. In fact, it was about a couple of percentage points higher, but it's not just the raw materials. It's also

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the finished goods! prices. For example, in the fourth quarter, we did face a little more competition from imports, mainly Chinese. So, it isn't a one-way street. It's not just the raw material prices, but it's also the finished goods! prices you have to watch because that's the differential which makes the margins, you know.

And lastly, sir, is it possible to share what has been the realization in Acetonitrile now?

You mean what is the current prices?

Yes.

Yes, I think they are floating down Rs. 150 a Kg. It's in terms of dollar prices, they are among the lowest we have seen for a long time.

And is this primarily because of increase in supply or is demand issue over here?

I think it's an increase in supply. Mainly, you know, last year the Chinese had lot of issues, but now they have settled it all out, and they are coming back to the global market.

So, unlikely that prices may significantly improve from here on in the near term. Fair to say that?

I don't know. It's very difficult to say whether the prices will, but I think it may not go down too much because, as I said, you know, it's the lowest it has been ever in terms of dollar terms.

But we don't need to worry about our domestic competitors adding capacity, right? We may not be servicing the same set of customers.

In Acetonitrile?

Yes.

We don't have significant competition domestically. As of now, I mean, there are people talking about it, but as of now, we don't have any significant competitor. Our main challenge is imports.

Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Sir, just alluding to the same question asked by the previous participant, this is with respect to the product mix, sir. So, if I see, if I track the EBITDA margins of our company maybe for the last 12, 16 quarters, we have been maintaining a very healthy EBITDA margin compared to our competitor. It was used to be up by a healthy 400, 500 basis points until September '21. Post which if I just see our EBITDA margins have been contracting, and our competitors' EBITDA margins have been improving or relatively have been kind of better off than us.

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So, just taking the Acetonitrile point here, will it be safe to assume that earlier because Acetonitrile used to be a bigger contributor to our EBITDA and now with the falling prices, the inferior product mix has caused this fall in EBITDA margin? Or is there any other element as to why we are able to see this fall in our EBITDA margins?

Yes. So, where Acetonitrile is concerned, you are right. The margins have narrowed mainly

because the finished goods' prices have narrowed. Of course, acetic acid is now coming down. So, we are hoping that the Acetonitrile margins will widen again, and it is an important product for us.

The other big product is Ethylamine where again, alcohol prices have risen. However, the finished goods' prices have not risen because of competition. So, those margins have dropped. And these two are the main reasons why our margins have dropped a few basis points compared to the past., Well, I don't know about the product mix of Balaji, but this is the reason why our margins have dropped. We overlap in about 40% of our businesses. Their other businesses don't overlap. So, we are not exactly like to like, you know.

Yes, I do appreciate that, sir. But when it comes to ethylamine, sir, other than Acetonitrile, we have a far larger capacity than our competitors. So, along with Acetonitrile, ethylamine also has been kind of disappointing which has, you know, being heavy on our EBITDA margins. So, is that what you are saying, sir?

Yes, we have some, these are the main two. There have been others which

have, some have done

well, and some have not done so well. And these are one of the two concerns. Both the products seem to be doing a little better now, but looking forward to better times, you know.

Thank you. The next question is from the line of Noel Vaz from Union Asset Management.

Please go ahead.

My questions were regarding the import substitution. So, now one is the company looking at import substitution to some other products as well in replacing imports with our products, and if so what exactly is the opportunity size that we are looking at?

I am sorry. I don't quite understand the question. You are asking whether our products are replacing import into the country?

Yes, exactly.

Yes. So, that is across the board, I would say yes, most of our products are replacing imports coming into the country because now competition is global. So, if we don't make the products, people will import it, and even if we make the products, people will still import it if it's cheaper. So, you have imports as a benchmark. I mean, whether Europe, America or China, they will be your competitors for all products wherever, whatever you make. So, whenever we even launch

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Chandrakant Dhanak:

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a new product in the country, we obviously check if there is a market, and if there is a market in India which means somebody is importing the product, if we are going to be making it for the first time. So, that's going to happen that it is a import substitutive market by and large. Yes, sometimes we have a situation where we have launched a product where they are eating into domestic players. That can also happen.

Understood, but generally, if we were to look at the import size here as a market size, what exactly would be the size roughly speaking?

See, it differs product to product, but I would say that in the products where, for example, Methylamine is hardly import, you know, 2% to 5% maybe, not even that of the market share. In Acetonitrile, it would be the other extreme where it would be almost 30%, 40%. So, product by product, it does vary. But I would say that an average of 10% to 15% imports is probably there. See, you must understand that the customers also export. So, when they export, they have what they call the advantage of duty-free imports, and sometimes we can match it by giving them prices which are equivalent in called deemed exports, but sometimes we cannot match those prices. So, there is always going to be some amount of imports coming into the country to the extent that our customers are exporting their products.

Thank you. The next question is from the line of Chandrakant Dhanak from CD Research. Please go ahead.

Sir, I wanted to know what do you think, why do you think like the improvement in Pharma industry will sustain? And second, can you give, what is your margin outlook for fiscal year '24?

One, I will answer the second question first, the margin outlook. We normally do not speculate on our future margins, because it's very difficult. We only give a broad indication of volumes which we expect because margins, as you know, have varied quite widely and unexpectedly, we

do well, and unexpectedly we don't do so well. So, I wouldn't speculate on the margin at all, but we are always hopeful that given that the raw material prices seems to be coming down, we would get some advantage in that.

What was the second part of the question? Sorry.

Sir, what do you think about, why do you think the improvement in Pharma industry will sustain?

Well, you know, the Pharma industry has gone through a bit of a rough time. I mean, it did during the COVID period, they did produce a lot, and export it, and then they had the normal times where they had to destock. So, compared to that time, yes, it will be better th

an last year.

And Pharma, if you notice as the penetration in our country is fairly low, you know, of drugs.

As the country given the population, Pharma is going to be a big provider of our medicines for a long time to come. So, they are still at a very nascent stage. I mean, I think only 15% of our

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Jaiveer Shekhawat:

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population actually uses allopathic medicines. So, they are going to be there for some time to come, and maybe they will have some quarters not so good, but by and large, they are very essential commodities.

So, volumes, in terms of volumes, they will be there. They have their own kind of constraints of pricing and other things and supply chain difficulties and other things, but by and large, the demand will always be there in India and growing.

Thank you. The next question is from the line of Jatveer Shekhawat from Ambit Capital. Please go ahead.

Good afternoon, Mr. Patel. Sir, the first question is in terms of the Acetonitrile capacity addition itself. Now we understand that even your domestic competitor will add about 15,000 tons per annum, and the combined capacity post that will be about over 50,000 tons per annum, as against a demand which is around 30,000 tons. So, how do we understand your strategy about trying to deal with that possible oversupply? And we are already seeing the prices already having crashed down to about \$2 per Kg versus a \$3, \$3.5. What will be your strategy then?

Look, it's something like this. there is always competition, I mean, we have seen enough announcement over the last 10 years of people coming into the Acetonitrile market. As and when it comes up, we will face it. This has been among the lowest prices we have seen, and if we are able to sustain this margin, we will always have an edge over the newcomer because our experience in making this product makes us far more efficient than the newcomer. He has to absorb his capital costs. Our capital costs have got absorbed, by and large, and I am sure we will be able to compete with the rest in the world. We have done it over the last 10 years, and I don't see any reason that we won't be able to do it in the next 10.

Sir, during FY '22, we had commissioned that extra 18,000 tons per annum capacity. So, as of now, what will be the overall capacity utilization for the Acetonitrile capacity? And what would be the share of exports?

So, we have two plants, the old plant and new plant, and the total capacity was between 28,000 tons to 30 000 tons per annum, and we are at about 60%, 65% utilization of the two plants.

And are you also exporting anything? What would be the share of exports?

Yes, in fact, this particular year one of the things that has happened is that our exports have increased quite a bit, you know, so we are now almost about 22%, 23% of our sales is exports.

Sir, on the new product that you mentioned, Diethylketone, could you help us understand say the overall market size there is and also your right to win over there and the margin profile as well for these products?

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So, the market size is growing, but it's not very large. We would be I think aiming at about 50% to 60% market share over the next 18 months or so. We are trying to establish and debottleneck our capacity over the next 18 months to make sure that we manage that. But, you know, it's just a couple of months since we have been in the market. So, it's a bit early to say about the margins and all and how the market will react to it. At the moment, it is following the trend which we had

predicted, but it's early days. So, it's difficult to project that, but it's not a very large market, you know, in terms of tonnage or in terms of value. It would be a kind of 3% to 5% of our turnover at best as you go along.

And sir, last question is that given that you largely have pass-through arrangements with your customers, so what does ammonia pricing crashing by about 60% to 70% mean for your realization? How should we think about that?

We don't have any pass-through arrangements with our customers. It's just that because the competitor and us have the same kind of exposure to the raw materials, because our technologies are similar, that we have to keep in line with the market. Otherwise, the competitor will eat your market share. So, it's not that we have an agreement with the customer though the customer is sharp enough to realize what is going on in the market and how, but it's not necessary that we have an arrangement with the customer. It's just the market dynamics, you know, that play a role in determining this thing.

Sir, if I just want to understand if the competitor were to reset the prices down, how much should ammonia coming down by 60%, 70% mean for your realization? What kind of impact? Because you also have other raw materials that you use which have largely been stable.

Yes. So, I would say ammonia would be about, maybe of all our raw materials, maybe about 20% cost wise, and if it comes down by this thing, we may save about 4% or 5% compared to last year. But of course, the finished goods' prices also is going to correct. So, it's not a one-way street, you know. I mean, Methanol, Ethanol, Ammonia, coal and acetic acid are probably the biggest costs. So, ammonia would be maybe 15%, 20% of our raw material costs.

Sir, lastly, any expansion plan beyond what you have already announced? Are you scouting for land for methylamine capacity expansion as well?

We have already said this earlier that we are looking forward to new land because, you know, all the land in Dahej and Kurkumbh has now been allocated to these new products, which we mentioned and the expansion plans, which we have over the next 18 months to 24 months. We will need more land after that, and we have applied to GIDC in Gujarat for new land. The process is on, and hopefully, we understand that by the middle of this year, some progress will be made in allocating some land to us, and we may have to then start making down payments. But it's at least 12 months in the future. But definitely, yes, you are right. We need more land for expansion, whether it is methylamine or any other expansion of our business. We will be using up all the

UA QGs

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Moderator:

Chetan Thacker:

Kirat Patel:

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Chetan Thacker:

Kirat Patel:

Moderator:

Pujan Shah: Alkyl Amines Chemicals Limited

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land which we have in Kurkumbh, Dahej and Patalganga with the projects which we already have in mind.

Thank you. The next question is from the line of Chetan Thacker from Ask Investment Managers. Please go ahead.

I just wanted to understand CapEx for '24 and '25, and the timelines of those coming on stream, the capacity increases over the next two years?

So, the '23-'24 would be around 200 crores. This does not, of course, include the land which we just mentioned earlier, you know, which is a little bit of a floating amount. We don't know when GIDC will allocate the land and all that, but for the products we will require in '23, '24 and '25, it would be about Rs300 crores, Rs200 crores and Rs100 crores, respectively. And this will essentially, sir, add how much capacity in terms of volumes? This in terms of volume because some of these products are specialty products, so it will not be a volume driven, but it may be a value driven. And as we mentioned earlier, given all these four, five products which we wi

ll be adding including the Diethylketone, which we have already commissioned, over a three-to-four-year period, they may comprise almost 15% to 20% of our top line and perhaps hopefully a larger portion of the bottom line.

So, essentially given what we have seen historically in terms of payback for us, this will be a shorter payback period because these are higher value-added higher margin products.

Yes, but capital wise also they are, two of them are fairly intensive. One or two are not that capital intensive. So, return on capital employed, yes, we hope to maintain our good record and improve it.

And in terms of the Acetonitrile, bit fair to assume that the exit that we are seeing at Q4 is probably where it is in terms of pricing and it shouldn't get worse from here.

I hope so because if we look \$2 /kg as somebody has mentioned was pretty low, you know.

Thank you. The next question is from the line of Pujan Shah from Congruence Advisors. Please go ahead.

Thanks for the follow-up. My question was on our finished products, are we seeing as China has been reopening up, so is there any overhang inventORIZATION which has been dumping out all over the world, that's why this some of the finished goods' prices have been corrected or it's been not like that what I am able to reading of....

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Neerav Jimodia:

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I think what you have mentioned is what the market is saying that there is a little bit of overhang of stocks with their cleaning up, you know, and perhaps once that is done, some kind of a sense or normal season will return.

Yes, because as we have listened to the Pharma Con-calls, we are getting that Pharma has been very bullish on getting a volume of double-digit growth. And at the same point, we are also getting explanation of touching of 15% growth. So, are we being a conservative or we have been like because of this issue we have been still a bit conservative on that part due to some of the pushing of some key products at lower cost?

Well, I think we are as traditionally a conservative company, so predictions of the future are always a question mark. But yes, the Pharma industry seems to be very optimistic, but if they deliver, we will be more than happy to match their requirements, you know, to keep up.

Thank you. The next question is from the line of Neerav Jimodia from Anvil Research. Please go ahead.

Thanks for the follow-up, sir. So, sir, you mentioned that this new products could contribute 15% to 20% of our overall sales, but in terms of absolute amount, if you can help us? Because the CapEx what you mentioned is close to 250 crores for all these products put together. So, over next three, four years, how much could be the turnover which this products could achieve in terms of the absolute amount, if you can?

This is off the cuff kind of numbers, but it will be between 500 crores, 600 crores once these products stabilize in the market. Of course, the traditional products will also grow as we grow., So, which would be about 15%, 20% of our turnover, you know, that times, because the amines and the derivatives business will also grow.

Correct. And sir, these products would be predominantly catering to which of the user industries? Most of the same user industries which we have been supplying to. Life sciences largely.

Sir, in terms of our overall turnover for FY '23, so if you can just break it down between the aliphatic amines, derivatives and the specialty in terms of the revenue contribution?

I don't think that has changed much from the past. It's about 50% amines, and 20%, 25% derivatives, and about 20%, 25% specialties. The only thing that has slightly changed in percentage terms is the percentage of exports is higher than

it was earlier compared to domestic.

And sir, like FY '21 was best year for us in terms of the operating performances from last so many years. So, like let's hypothetically presume that if we want to achieve that sort of numbers, what sort of volume growth we need to do from the base level of FY '23 keeping the rest of the things constant, sir?

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Moderator:

Rohit Nagraj:

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Rohit Nagraj:

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So, what you are saying is that if we had to match the profitability numbers of the year '22, FY '22 which is about 300 crores PAT, right?

Correct.

Little less than 300 crores PAT.

It was an FY '21, sir.

We have to do about 20%, 25% volume growth giving the margins which are there now to meet that.

Correct, and it's the same cost benefits do accrue to us in terms of the fall in raw material prices. We will require much less volume.

Absolutely, absolutely. So, keeping things constant as it is, we need to do a volume growth of 20%, 25% to achieve this, right?

Yes, but if, of course, if the margin widens a bit, then we need to go only 15% to catch up.

Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Thanks for the opportunity. Sorry, I joined a bit late. So, I am not sure whether my question is answered earlier. What was the domestic and exports mix during FY '23, and whether we faced any particular challenges for exports?

So, as I mentioned earlier that the exports has been between 22% to 23% of the turnover, which was earlier a little under 20%. So, we have grown, and in the beginning of the year there were some challenges in freight costs, but now they have all settled down, and availability of containers, everything, all got sorted out. So, now the challenges are more related to the growth of the economies abroad, Europe and America, which is mainly our market, you know.

Now, sir, second question is in terms of competition outside of India. So, are we hearing any other players who are putting up capacities in any other geographies and in Asia?

In the amines business?

Right, sir.

No, I don't think in our core business. There has been a lot of consolidation over the years, and the existing, of course, we don't know much about China because that's a bit of a mystery, and

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China is a very big player. So, it could be happening in China, but I don't think in Europe or America, there is any movement to expand much more. They will be doing their debottlenecking and all that, our competitors, whether it's BASF or Taminco or whatever, they will certainly be looking at going a little marginal increases in their productions. As you know that BASF had a little concern about production because of the gas issues with Russia, but that seems to, they seem to have overcome all that.

But I think that they would not be a direct competition for us because they are more into proprietary and further downstream in terms of specialty amines.

Oh, no, no, BASF is a largest player in this field.

So, in our products as well and in the proprietary products as well.

Yes. Taminco and sorry, Eastman, not Taminco now. Eastman and BASF are the biggest players in this field, and then of course the Chinese, there are number of them.

Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Thank you, everybody. And I hope I have been able to answer most of your questions. As a concluding remark, I would say that we

hope that we have got over the worst volatile period,

and we are looking forward to now growth, especially because our customers mainly in the Pharma industry seem to be so optimistic, and our raw material prices are stabilizing. And hopefully, when we meet again, we will have good news to share. Thank you very much.

Thank you very much. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Nov 2023

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Alkyl Amines Chemicals Limited "¢

Reg. Office: 401-407, Nirman Vyapar Kendra, Plot No. 10, Sector 17, Vashi, Navi Mumbai - 400 703. INDIA

Tel.: Responsible Care"

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TO SUSTAINABILITY

November 15, 2023

To,

BSE Limited The National Stock Exchange of India Limited

P. J. Towers, Exchange Plaza,

Dalal Street, Bandra Kurla Complex, Bandra - (E),

Mumbai - 400 001 Mumbai - 400 051

SCRIP CODE: 506767 SYMBOL: ALKYLAMINE

Subject: Intimation under Regulation 30 of SEBI (Listing Obligations & Disclosure

Requirements) Regulations, 2015 - Submission of transcript of earnings conference call

Dear Sirs,

With reference to our letter dated November 1, 2023, please find enclosed the transcript of the earnings conference call held on November 8, 2023.

Kindly take the same on your records.

Thanking you,

For Alkyl Amines Chemicals Limited

CHINTAMANI Digitally signed by \

CHINTAMANI DATTATRAY DATTATRAYA THATTE Ss 2A _

Date: 2023.11.15 cal

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Chintamani D. Thatte

General Manager (Legal) & Company Secretary

& Compliance Officer

Encl.: As above

Corporate Office: 207 A, Kakad Chambers, 132, Dr. Annie Besant Road Worli, Mumbai - 400 018, INDIA

Tel.: 91-22-2493 1385, 6748 8200 * Fax: 91-22-2493 0710 * CIN No : L99999MH1979P1.C021796.,

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Alkyl Amines Chemicals Limited

"Alkyl Amines Chemicals Limited 2Q and 1HFY24

Earnings Conference Call"

November 08, 2023

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Alkyl Amines Chemicals Limited Acumen at work

MANAGEMENT:

MODERATOR: MR. KIRAT PATEL — EXECUTIVE DIRECTOR, ALKYL

AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE — GENERAL MANAGER

(LEGAL) AND COMPANY SECRETARY,

ALKYL AMINES CHEMICALS LIMITED

MSs. KANCHAN SHINDE — CHIEF FINANCIAL OFFICER,

ALKYL AMINES CHEMICALS LIMITED

MR. UDIPT AGARWAL - CHIEF COMMERCIAL

OFFICER, ALKYL AMINES CHEMICALS LIMITED

MR. JAIVEER SHEKHAWAT - AMBIT CAPITAL PRIVATE

LIMITED

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Alkyl Amines Chemicals Limited

Moderator:

Jaiveer Shekhawat:

Kirat Patel: Alkyl Amines Chemicals Limited

November 08, 2023

Ladies and gentlemen, good day and welcome to Alkyl Amines Chemicals Limited 2Q and 1H FY24 Conference Call hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jaiveer Shekhawat from Ambit Capital. Thank you, and over to you, sir.

Thank you, Neerav. Good afternoon, everyone. On behalf of Ambit Capital, I welcome you all to Alkyl Amines 2QFY24 and 1HFY24 Earnings Conference Call.

From the management side, Mr. Kirat Patel — Executive Director, Ms. Kanchan Shinde — Chief Financial Officer, Mr. Udipt Agarwal — Chief Commercial Officer, Mr. Chintamani Thatte — General Manager (Legal) and Company Secretary.

Without further ado, I would request Kirat sir to start with his opening remarks, post which, we can open the floor for question and answer. Thank you, and over to you, sir,

Thank you. Welcome everybody to the half yearly investor call for Alkyl Amines and thank you. for the interest.

Let me just take a few minutes to give you an overall background of the half year that has just concluded on 30th September, and then we will take the questions.

As you can see, this half year, especially the second quarter has been a little difficult for us in terms of margins, and this is largely due to some domestic competition and majorly a competition from across the border from China in two or three specific products.

However, we had some silver lining on the cloud where we have vol

umes which have gone up

by over 15% across various products, and our market share in the most products have, if not remained steady, increased. And the domestic market seems to be doing all right. Yes, there is some pain faced in the agrochemical sector and to some extent in the pharma sector. And of course, as you all know that the Europe and America are going through a little more difficult time than earlier. So, is China. Against this background, our results, which though disappointing, and are to be taken with a little bit of concern, are okay as we have done all right.

Let me then, I think with this overall background, open the line for questions, specific questions on any aspect of the company.

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Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nirav Jamdua from Anvil Research. Please go ahead.

Sir, I have two, three questions. So, the first is specifically on ethylamine. So, if we see four, five years back, ethanol cost used to be around Rs28, Rs30, and now if we see, they have been consistently moving up and have been hovering around those 50, 55 levels. So, just wanted to understand like over these years with this increase in the raw material cost, whether we have been successful in passing on those raw material cost increases to the customers or the industry dynamics have changed in a way that the industry is loaded with higher capacities and probably demand is not able to catch up to the levels of capacity additions which we have seen over last one or two years?

There are two aspects to this question, Nirav. One is about the price of alcohol. You are right that it has moved from around Rs. 30 to around Rs. 55 over the last 2.5, 3 years, and we predict that this price is likely to remain for us at least going forward for the next year or so around this level or maybe slightly higher. Obviously, this has put a little pressure on our margins because we have not been able to pass on all of these cost drives into the market.

In terms of the structure of the competition, well, as you know, we have two players in domestic market, and the rest are from the Chinese or the Europeans active in the market. Over the last year or so, over the last 6 months, we have not seen much activity for imports because our competitor has increased this capacity and has been able to push out the imports to some extent. However, we have managed to retain our market share in this product albeit with some sacrifice in margins. Going forward, given that now the capacities are more or less balancing out between the two domestic players, and we have extra capacity coming on because of the new plant which we have just commissioned in October, where we have added capacity, will give us some headroom in terms of growth in the future.

So, we expect to continue to progress in ethylamine, steadily, and it is fortunate that most of this product goes into the pharma industry and pharma is a very steady growth industry even if you take a slightly longer term, one or two years, they are not that gung-ho, but more or less they keep growing. So, we are very confident that the ethylamine's market is going to improve over a period of time.

So, sir, just to add here, like, if you can just walk us through in terms of the domestic capacity as well as the domestic demand currently? And what I could make up from your remarks is that probably with the industry demand and supply getting balancing out, probably at some point of time, again, we could be back at those per Kg margins which we would have been able to clock before 2.5, 3 years, and this is not a structural problem in the industry where the new normal is the margins in between those which we have achieved before 2.5, 3 years and what we are

currently getting on. If you can just help us understand that?

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So, I think looking at the scenario going forward, it can only improve because there is no new capacity coming on, and the market is growing. And as you know, slowly, the market will grow. We have already invested, and we don't need to spend any more money for capacity increases. So, the benefit will always flow to us. Yes, the margins, whether they will come back to those 2.5 year above margins over the next six months or one year, I am unable to predict, but certainly it will come back at some point in time.

And in terms of the industry capacities and demand, if you can just help us?

The demand has been growing. I think in the region of about 25,000 to 30,000 is the domestic demand, and you know both our competitors are exporting to some extent. The domestic demand keeps growing at about 5% to 7% every year, and between the two of us, I think we have about 70% market share, and they would probably have about 25% and 5% is imports. Something in that region, you know.

So, our capacity with this new plant is close to now 30,000, 35,000 tons and probably competitor would also be at around 15, 000, 20,000 tons. Is it the right numbers with which we are working on or am I missing something in between, sir?

Well, I think you are right that the target, the plant which we have set up is 100 tons per day as we have announced earlier, which would come to 30,000, 35,000 per annum. However, in the initial phases, we don't intend to run it at full 100 tons per day. We intend to run it at a slightly lower capacity optimally and do a swing campaign to keep up with the market. Yes, the capacity of our competitor is I think about 15,000, but I think its practical capacity maybe about 10,000. You know, we have these homologues, mono, di, tri, and they always have an issue. So, our estimate is that it would be in the region of about 10,000 to 12,000.

Sir, my second question is on the cost part. So, if we look at things like last year, last two years, we have been continuously seeing increase in the power cost. So, last year, we were at 220 crores. Year before that, we were at 180 crores. And with one of our major products, Acetonitrile, we have seen the prices falling, which we also mentioned in our last call also, that prices have been lower, and most of the players have not been able to optimally make profits at this sort of realization.

So, just wanted to understand from you what is the situation currently on the power side? What initiatives we are taking there to reduce our power cost in absolute amount as well as on a per Kg basis? And apart from this, are there any cost initiatives which we are currently undergoing? Any specific areas in terms of either process innovation or in terms of reducing our variable cost, which could help, to some extent, negate the per Kg margins, which we have been suffering on the product side?

So, this question on the power cost when you give those numbers, it included what we call power, water and fuel, because they are all clubbed together. So, power forms about 20% of that

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amount. The major part of that is fuel, which is coal, you know. The coal is the main component which goes up and down.

Fortunately, in the last 6 months or so, it has remained reasonably steady. It has come down from the peaks of whatever it was 15,000, 16,000 a ton down to about 11,000 a ton. So, to that extent, we have benefited a bit. In terms of power, we have in both Dahej and Kurkumbh just commiss

ioned turbines which run on extracted steam, and that would save us some money.

Plus, we have solar power being put into the plants both in Dahej and Kurkumbh, wheeled into the plants, both in Dahej and in Kurkumbh. For Kurkumbh, we have expanded our solar capacities offsite, of course, and for Dahej, we are just about to commissioning solar facility offsite, which should get commissioned in the next 15 days or so. So, on both those accounts, we hope our power cost will drop as we go down in the next three to six months.

Coal, of course, is a question mark. It tends to track crude oil, and predicting where coal will be tomorrow is a bit difficult, but it has remained steady for some time. So, I think we are better off then. Of course, it's not the old days of Rs. 5,000 and Rs. 6,000 a ton, but whatever, it's the new normal is probably 10,000 to 11,000 a ton.

And sir, any other cost initiatives which we are currently undertaking?

Yes, the new boiler which we have just commissioned in September for running the ethyl plant is technologically better than the old boilers, and we expect to see some marginal improvement in efficiencies there. So, the utilization of coal to steam ratios may be better.

Sir, just a last clarification on the other expenditure where we have seen a sequential jump by close to 5 crores, 5.5 crores, so 84 crores to 89.5 crore. So, was there any one-off element in this or it was something cost increases which we have witnessed this quarter and because of which the sequential cost increases have been there in the P&L?

Sorry, which cost are you talking about?

Sir, in the result document which we published, the other expenditure has gone up from 84 crores in Q1 to 89.5 crores.

There is nothing significant. Just CSR expenses have been more in Q2 compared to Q1. So, nothing significant other than that.

So, it has nothing to be with the onetime plant startup cost which we would have incurred because the ethylamine plant has been commissioned and some of the startup cost which would have been incurred and that have been debited in this quarter.

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Because we just started at the end of the September, there was hardly one- or two-days cost of startup. And that has been capitalized as trials and cost.

Thank you. Next question is from the line of Rajiv Rupani, individual investor. Please go ahead.

I had a question on ACN, Acetonitrile. So, the first question I would like to know is have we applied for anti-dumping duty? Number one. Number two, I believe there was dumping by Chinese companies of ACN. So, what is the current prices of ACN?

The question about the anti-dumping duty, we have not yet applied, but we are in the process of putting the papers together to apply for anti-dumping. And as you know, the anti-dumping process first goes to Ministry of Commerce, then to Ministry of Finance, and the whole process is about 6 months. So, we are just on the verge of applying for anti-dumping, and it may take some time. The current prices of Acetonitrile, the CIF is about \$1.4 a Kg or so in that region,

and yes, it's fairly low compared to maybe a historical low where ACN is concerned. And last time you had guided us that we have a 30,000-ton plant. So, the capacity utilization will be 60% to 65%. So, for this current year, can we expect lower levels or similar levels of capacity utilization?

Well, the first half has been in that region, 60%, 65%. Second half, we hope to see that the Chinese have some sense, so that we can maintain this 60%, 65% capacity utilization, but you never know, if these prices are, they become more aggressive, and these kinds of prices persist. We could have some impact, but hopefully, I think, some sense will dawn, and we will try

and

maintain this 60%, 65% capacity utilization, if we can.

My next question was on ethylamine. Sir, in the con call now you have said we have added about 30,000 to 35,000 tons capacity, and our competitor has, as far as I know, 22,500 tons, and you have said the domestic demand is 30,000 tons. So, I mean, how do you expect us to utilize our new capacity? And do you are thinking of new capacity, could you guide us?

So, you know, I think both of us. It applies to both of us. When we add new capacity, when he added 15,000 tons, the older capacity has been used for something else. Similarly, for our original 15,000, 16,000-ton capacity will be and, in fact, as we speak, the plant has been brought down, and only the new plant, which is 30,000 tons, well, in the first phase not that much, 24,000 tons will be commissioned. So, you are not adding 30,000. You are adding 15,000 in our case capacity in two phases.

And in their case also, they have gone from 6,000 to what we estimate is about 10,000, 12,000. So, it's not a dramatic change, yes, but there is an overhang of capacity compared to the domestic market. And even if you add the 10%, 15% exports that both of us do, yes, there is a capacity available now in ethylamines. We were a little tight until the new plant got commissioned in terms of capacity, and we have to bring in Patalganga plant also online to support Kurkumbh, Page 6 of 18

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but now we are going forward don't see any reason we will need to use the Patalganga plant for ethylamines.

And my next question is in last con call you had talked about new products. One is DEK, which we have already commissioned, and two derivatives were mentioned, and specialty products. So, sir, could you let us know the names of the two derivatives and the specialty products which we are going to introduce?

No, as you know, as a principle, we do not talk about future products until they are already commercialized, and we even, for example, DEK, we started talking about them only after February after we had launched it in the market, and the product DEK is now commercialized. It is having some difficulties with imports coming in and the market being a little tight, but we are fairly confident that that will meet its target sales and capacities as we go along. The other two products are to be launched a little later, and one of them, of course, we will have to wait until the old ethyl plant comes down and is refurbished to be repurposed to this thing. So, it may be another 6 months before we launch another new product, the rest of the products. They are all going to come next year.

My last question is this PLI scheme by API industry, so when does this benefit our company? After how long?

Difficult to say because we are suppliers to the people who make the APIs, and depending on how they react to making the API, we will benefit. At the moment, a PLI takes a period of time before it materializes. So, it is a kind of a five-year horizon before its impact really is felt, because they make it, then they will apply for PLI, then they will get it after a little while. So, the whole cycle and chain, the whole cycle is the longest one. But it's a good trend. I would say that it is a positive trend for us, you know.

Thank you. Next follow-up question is from the line of Nirav Jamdua from Anvil Research.

Please go ahead.

So, sir, you mentioned about the ethylamines market, and you mentioned that the pharma is one of the areas where the demand was slightly lesser and because of which those additional capacities are putting pressure on the realizations. So, apart from this, were there any other

sectors or industries which were putting the similar amount of pressure on the realization part and then that tends to now g

etting improved, because of which we are confident that the demand supply situation is getting more balanced at this point of time?

You know, the pharma industry comprises a large segment of the ethylamines market. The others are rubber chemicals and agro. And yes, the agro has been having some difficulties in the last three to six months. The rubber chemicals also has gone through a somewhat difficult period, but both those segments of customers are talking about they are seeing light at the end of the

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tunnel. So, it looks like may be pharma has been, as we said, the destocking, which was there last year has got over, and they are growing. And I think the other two segments also will probably turn around now. So, I am a little positive about ethylamines.

And sir, on the Methylamines part, if you can talk similar like before 3, 4 months, we have seen Ammonia prices making a low of around \$350, \$400, and they are now again inching up closer to \$550, \$600 FOB Saudi. So, what's the situation there, like, in terms of the industry scenario where there also we have been able to pass on the raw material cost increases to the customers? How is methylamines versus ethylamines at this point of time both in terms of industry as well as where we are placed in terms of not only methylamines but the derivatives of methylamines also?

So, methylamines is very different from the ethylamines in terms of what the market has been because there is not much over capacity there. The RCF, us, and Balaji have had these capacities in place for some time. Balaji, I am told, is expanding the capacity, but it's a little down the road. So, at the moment, we have all been able to pass on these increases of raw materials onto the customer, and the market has been balanced. So, it has been, they have maintained their margins in the whole ethyl chain. A couple of our derivatives have done well, in methyl, and on the whole methyl has not been the big worry for us at all. In fact, it has done well, the methyl chain. And we still have some headroom in capacity in methyl, but as you know, we have a plant in Patalganga also available in case required.

So, sir, here, I think we are at 45,000 tons of capacity, and let's say, if the derivative starts doing well, let's say DM-HCL or DMAC or the other products, we will try to use those capacities at the Patalganga plant and could further be diverted towards these derivatives or we additionally need to expand the derivatives capacity also to utilize the Patalganga plant?

Well, the derivatives that we make out of DMA and MMA are we have enough capacity.

No, sir, I was talking about DM-HCL.

Maybe one-third of the line we may have to debottleneck both of the major derivatives we make, but for the next year, we don't see any additional capacity requirements because the problem may be more that, you know, because of the homologue mono- di- tri-, di- is always a short supply and mono is always the excess supply. So, that balancing is where the whole trick comes. So, all of us, whether it's RCF, Balaji or Alkyl, always struggle with the availability of DMA. So, DMA is doing well and because of which the methyl chain is doing well. That's a safe assumption to make.

Yes, I would say, more or less, there is a balance there. So, there is no great competition.

Fortunately, that's the product which we don't have Chinese competition.

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Because of the unavailability of imports coming to India proba

bly.

Yes, in between about a few years ago, the Middle East had tried to compete, but they also, I think have now desisted from trying it, you know, because it's gaseous, and when you make solution out of it, you are transporting water. Transport water, the freight cost goes up. And it's not a very high value product as you know. So, it doesn't work out economically.

Sir, just last question from my side is on the volume growth of 15%, which you have mentioned. So, that is for H1 FY '24 and not for the quarter, right?

Yes, it's for H1.

So, from which of the product segments out of methyl, ethyl, and Acetonitrile, we have achieved this sort of 15% volume growth, if you can break it down into volume growth?

I think it's largely secular. You know, it's across products. It may be 10% in one, 20% in the other, but it's every product has grown a bit. One or two smaller ones have not grown, but yes, we have an issue with as we have mentioned in the last con call about MIPA, you know, going out of anti-dumping, but that's a very small product overall. So, that has been a problem, but all the others have grown.

Sir, just a last bit because if we remember last quarter, the last con call, what we were trying to aspire is that let's say, if we do close to 25%, 30% of the volumes, we could surpass our earlier PBT targets of close to 400 crores, which we have achieved in 2021. So, if we see 21-22, 22-23, we were close to 300 crores. This first half we have achieved 100 crores. So, now if you can just help us understand like when can we surpass the FY '20 to '21 numbers, '23 and '22 numbers in terms of the PBTs what we have achieved or, let's say, what sort of volume growth needs to be done in current environment so as to surpass this sort of PBT?

See, Nirav, I think the volume growth is not, in fact, our volume growth this year is pretty good.

If you see, 15% is not a bad volume growth at all. You know, one of the best we have had for many years. The margins is where the problem is, and predicting margins as I have always said is a difficult game, you know. It's a very, very difficult thing. So, I may tell you that, it will take me 3 years. And for all I know, next year we make profit, if the margins widen.

So, we could surpass 300 crores PBT next year. Is it a safe assumption?

I mean, it's your call. I would love to have it. We would like to plan it that way. But you know, plans are what you keep planning while life goes on a different track.

So, just to conclude like methylamines is doing well, but the problem in terms of the margin contraction is predominantly coming from the Acetonitrile part as well as the ethylamines part.

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Yes, I think there are, and the other smaller, smaller products are helping us stay afloat, Methylamines and the other derivatives. So, yes, ethyl and acetonitrile is the main pin points. Ethyl is sorting itself out. Acetonitrile, we have still to work on the anti-dumping and the competition from abroad.

So, sir, at \$1.4 a Kg, are we making profits at the contribution level, or the realizations need to be improved from here so as to make money at the contribution level?

Nirav, I am not going to comment on the profitability of individual products, but since we are selling, you can guess that we are still water above. Head is still above water.

Thank you. Next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

So, there have been a lot of challenges that we have seen on revenue and margin front, not only this quarter but over the last two years, and these challenges somehow do not seem to be

subsiding. So, given your multi-decades of experience and the fact that competitive intensity is only increasing, I mean,

do you see these challenges continuing over the next one, two years as well? And what does it take for those to subside?

You know, you are comparing the period in which we had record profits of 400 crores where we had margins which were very wide to set of numbers which are a little low. I would say that somewhere in between is the norm. Not the great times which we had two-and-a-half years ago during this COVID period and certainly not as low as we have today.

The comparative scenario in terms of domestic I think is settling down, and there is no great concern there. Where the Chinese are concerned, yes, it's not just us, but it's probably a fear that all manufacturers in India are now struggling with. Most chemical companies have faced some sort of or the other Chinese competition here and there, and it is not helping that Europe is not doing well. It cannot absorb the overflow from the Chinese, and the Americans have put trade barriers onto the Chinese. So, for them, the next large market is India, and unless we put our barriers up, we are going to suffer for a little while, and these take time. But I am sure the government is well aware of what the industry is facing, and they will wake up and try and help. And so, it does appear that the profitability or even the revenues to a large extent are still determined by the industry forces, and there is a little possibility that is in control of the management to sort of drive that. I mean, one, would you agree with that? And secondly, given that we also commissioned the ethylamine capacity, especially at a time when we have been facing a lot of pressures on realization, and could we have been more agile in terms of shifting other products wherein possibly outlook is better and sort of investing our money there?

Yes, as somebody said, hindsight is always 20-20. We could have delayed the ethyl plant for another year or two given the scenario just now, but it's very difficult to predict, you know. And

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I don't think in the longer term, it does make so much of a difference. Maybe three, four years down the line, if you ask me the same question, it will look like the ethyl plant was a great investment, and these plants are, by the way, fairly specific to products.

So, it's not easy to refurbish and realign them for newer products. They are not like the batch plants which, say, the drug manufacturing people have, you know, the API people. We have completely dedicated equipment for these plants. So, we have to go through these difficult periods, but it also implies that this industry is difficult to penetrate. So, it also creates a barrier for new entrance. The competition scenario hasn't changed much. The Chinese are always there. No new player has come in. In fact, it has consolidated the amines business.

So, it isn't as if the competition has increased. It is just the market forces that are balancing. You cannot have a fantastic year like we had 2.5 years ago continuously. You know, it's not, even then I think if you will recollect, we had always pointed out, we have always said that be careful, these are unusual margins in those days. And it is difficult to predict whether they will be continued, but yes, today, we have unusually low margin. So, it is a compensatory effect.

And just to finally get the sense in terms of when you see these challenges sort of stop, and what exactly would it take for those challenges to stop, because there are people who are still putting up capacity. There is Chinese pressures. So, why do you think those should go away, say, the next one or two years?

I don't know if anybody else is putting up amines capacity in this country barring our competitor who has announced a methylamine plant. And I think he may also be not in a g

reat hurry to do

it given the circumstances just now, but other than that I don't think competition is, your other question about what can the management do? The management actually focuses on improving its efficiencies and its cost in these times. In fact, these times are good for a company because what happens is that you tighten your bells, you understand what your strengths and weaknesses are, and you come out fighting out of this. And it's happened to us every decade or so once one year or two years, we go through like this, and we come out much stronger. So, that is something over the last few decades has been happening, the cycles. So, I don't think there is going to be structural change in the market. The Chinese have to absorb their excess capacity at some point or close it down and learn to live within their territories. They can't dominate the world as they

feel they can, you know.

Thank you. The next question is from the line of Nilesh from HDFC Securities. Please go ahead. Sir, particularly on a CAPEX, so how much CAPEX we incurred in first half? And what are our plans for FY '24 and '25?

So, in the first half, we incurred around 85 crores. That was mainly, most of it was on new ethyl plant which we have commissioned. Most of the expenses are now incurred on that barring few modifications. And in next half, we will incur around 50 crores. The major part in that will be

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solar plant, which we will commission in few days and few other small projects. So, around 140 to 150 crores.

And for FY '25, what are our plans?

Well, FY '25 plans are not yet firm, but I would give a good guess. It's again going to be about 150 crores or so.

And, sir, now we have done with the ethylamines capacity. So, what different product you are planning to launch apart from these couple of products you talked about, and the capacities particularly, the incremental capacity where you will be spending close to, as you said, about 150 crores in FY '25?

So, this 150 crores or whatever CAPEX we are going ahead, the portion, which is for growth, there is always some normal CAPEX which is for efficiencies and all for existing businesses, but the portion which is for growth will be not in the amines current business, but will be in the new product business, new products, which, as I said earlier, we will discuss after we launch those products. They are still at various stages of R&D, engineering, procurement, and in one case erection of equipment.

So, you mean we are moving away from the amines to that?

No, no, it's not that. We were always adding newer and newer products, but our core business is always remaining amines and amines grows, you know. Yes, as a percentage of the total, if you see, historically, we were a totally amine company. Then we became amines plus derivative company. Then we became amines plus derivative plus specialty company. And now it is say about 25% specialty, 25% derivatives, and 50% amines. So, yes, the proportions will change, but the amines will still remain our core business for some time to come.

Thank you. Next question is from the line of Nitin Gandhi from Inoquest Advisors. Please go ahead.

What is your expected time frame by which this Chinese excess production will be able to absorb whatever surplus is there in the market?

It's difficult to say but, you know, I am sure it will take at least 6 months before we can get some protection, and maybe a little longer than that for the Chinese to actually find optimum capacities and pricing. They are going through, as you can read in the paper, they are going through a tough time themselves, you know. Lot of over capacities, wrong investments, and they are trying to find markets wherever

r they can.

So, it is going to take some time for them, but in the meantime, we are having to survive through our own efficiencies and through whatever little government protection we can get to ensure that

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we don't suffer permanent damage, you know. So, as you can see, you know, that basically, this is, of course, Acetonitrile where you are talking about, but our domestic competition is all kind of backed out of the market, you know, because they feel this is too low for them. And at some point, it will all come back once the margins come back to normal.

So, maybe FY '25 should be starting with a better positive site. That's the way we can think, right?

Yes, I would say that yes, we are hopeful that, you know, FY '25 will be a better year than FY '24.

What is the current difference between the landed cost and our selling price for where we are targeting anti-dumping not to be....

Oh, normally, the anti-dumping, today, we would be targeting about 15% higher than where we are, 15% to 20% anti-dumping duty we would like to get. At the moment, I mean, the past records looking at 6 months ago, it would not come to that much, but now it is close to 15%, 20%.

Thank you. Next question is from the line of Rajiv, individual investor. Please go ahead.

I had a follow-up question on ACN. So, do pharma companies prefer ACN through acetic acid route or the other way?

I don't think it's preferred either way if you have the right priority because in the Acetonitrile, there are many grades, and we in Alkyl Amines, we have managed to make all the various priorities which are required by various people. Different customers have different specifications. So, earlier India used to only before we came into the picture, the India used to make only the grades which the agrochemical people used to use, but since we have started manufacturing and improving our qualities and adding more grades, we have been able to service the whole range of pharma and electronics industries, sectors.

And one more question. Do we have REACH registration for exporting methylamines?

Methylamines?

Yes.

No, methylamines we don't export to Europe. You know, it's the same logic where imports to India are difficult. So, methylamines exports are also difficult, and except that in countries where they don't have a methylamine plant, and there are, and we do export Methylamines to Southeast Asia and to Latin America, Central and Latin America where they don't have Methylamines

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plant. So, there you can compete, but selling to Middle East or to Europe or to America, China or Japan doesn't make any sense.

My last question is on the raw material side. Could you guide us what are the current prices of Ammonia, acetic acid, and methanol? And going forward, will they stabilize, or we can expect lower prices or higher prices?

I will just hand this question over to Udipt, our Chief Commercial Officer.

My name is Udipt Agarwal. The raw material prices are tied to the Chinese capacity. Mr. Kirat Patel already alluded to that, the Chinese capacities which are there in the marketplace plus at the same time, let's not forget that we are also getting into the winter season. So, what happens to the energy prices there because that is also related to the raw material costs.

I think earlier in the discussion, during this call, there was some discussion about ammonia price. How they are going to move? And what are the current price levels? So, we have some kind of information

into that. I think there was also some discussion on ethanol prices. So, what we have in the system is that these are commodity products, and they move, they behave like

commodities, and they move in cycles.

So, while acetic acid, which was very, very low during the last financial years or second half of last financial year, things have moved on from there. It is gone, it is increased significantly, and now it's again seeming to be showing some downturn. So, there are different factors. If all the producers, major producers, try take a shutdown at the same time, then suddenly there is a supply demand issue internationally, which has an impact on our raw material price.

Thank you. Next follow-up question is from the line of Nirav Jamduia from Anvil Research. Please go ahead.

Sir, in terms of the sales mix for this first half, if you can break it down between the aliphatic amines, derivatives, as well as the specialty chemicals?

Sir, just wanted to get a breakup in terms of the H1 sales for aliphatic amines, derivatives, and specialty chemical. So, what was the mix in this first half?

As I mentioned earlier, it is about 50% amines, 25% derivatives, and that mix hasn't changed dramatically. It's about the same.

And sir, in terms of our current capacities, like methyl, we are at currently 40,000, 45,000 tons.

Ethyl, we are at 30 plus some swing capacities which we are having. Acetonitrile, we are at currently 28,000, 30,000 tons. So, apart from those specialty products which are the smaller products where probably the margin pressures are not there, so what is the capacity of those

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smaller products in total? I am not talking about the individual products, but what are the capacities of the smaller products where probably the margin pressures are not there? One.

And secondly, when we intend to put up or launch newer products, one we have already launched. Some more would be launched based on our R&D and the commercial success of the product. What could be the end capacities of these newer products which we are intending to set up over next two, three years?

It's very, you know, the capacities are very fungible. You are already talking about the various capacities of the amines and the methyl, ethyl, and we have some higher amines capacity. So, overall, I don't know if we add it all up, it may be about 2 lakh tons per annum. All the 14 plants that we have.

So, currently, it is 2 lakh tons?

They actually work at full capacity. So, you know how this is.

So, total currently is 2 lakh tons including the derivatives as well as the upstream methyl, ethyl combined together.

You guess, I mean, my best guess would be close to 2 lakh tons.

And sir, the newer products which we intend to put up over next 2, 3 years, so would there be a block of those 5,000, 7,000 tons single product or the capacities would be smaller and that would be the higher realization products which we intend to put up over next two, three years?

No, they will be in that 5,000-to-10,000-ton kind of range, not smaller than that because we have some minimum kind of, you know, because to absorb the overheads and everything, we need a certain amount of volume now. They will not be very small products. They will be in the region of 5,000 tons.

Sir, just a last bit on this. So, the products which we are targeting in the newer, in the subsequent years in terms of the products which we intend to launch, are those products imported in India or this would be predominantly for the export markets which we are targeting? Any understanding if you can share?

It's a mix of both. There are a couple of products which are imported into the country, and we are looking at domestic market, and th

ere are some that we are looking very optimistically at the global market also, because we may be among the top two or three producers because these are all very specialized products. So, there are not too many producers of that. For that we need a global market.

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So, the competition intensity here would be lesser as compared to the existing line of products, and probably, the contribution margins, once those volumes are rammed up, would be far superior than our existing products slate.

That's the hope. That's the logic and the strategy. But of course, reality sometimes goes differently, but I think that is, you are right. That's the way we would like to go, and that's how we have planned these products. Very few players abroad and hopefully, we will get better margins.

And sir, once we put up a plant and start selling those volumes, how quickly we can fill up those capacities for all the products put together? And if you can share that, let's say, currently, we are at a run rate of 300, 400 crores on a quarterly basis, which sums up to close to, 1,500, 1,600 crore. So, over a period of time, let's say, over next 3, 4 years, what portion of our sales or what absolute amount of sales these newer products could contribute to overall sales mix of alky amines?

Once they are launched, I would say that looking at the products they are, because they are a slightly higher value product. In terms of sales, if in the next five years after they are launched which would be probably next year or the year after, they would comprise at least 15% to 20% of our overall sales, but at the same time, you must accept that the existing would also grow. So, there is a possibility that there will be, I mean, today, I add it up, it will look like 20%, but by the time 5 years down the line when we get there, they would be only 10% of the turnover.

That's why, sir, I ask about the absolute amount of sales which we could fetch from these newer products which probably...

That I will not give you the exact numbers.

And sir, just a last bit. So, these products would be predominantly towards the agrochemical markets or that would be a newer industry usage which we are targeting for the products which we are going to launch?

It's both agro, pharma and some other uses also.

Thank you. Next follow-up question is from the line of Nitin Gandhi from Inoquest Advisors.

Please go ahead.

I have two questions. One is, what is the expected overall power cost saving for the full year maybe say FY '25, if you can share?

Sorry, power cost?

Yes, post implementation of 60 crore.

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Power cost, is that what your question is?

Savings on power cost post implementation of 60 crore.

Savings on power cost, because of what I was talking about the solar and the turbines and the new boiler, is it?

Right.

We haven't totaled it up. I would have to come back to you on that, but it's a good question. I think we need to work that out and see what combined energy saving, I mean, what will our impact on today's standard prices, you know, assuming that the prices remain stable, how much would we save? Of course, prices never remain stable, but it's a good question, but my guess would be and don't hold me to it, it would be at least 10 to 20 crores.

Yes, because then you are putting 60 crores, I thought at least 10% yield extra

could be...

Yes, because I think it will be at least 10 to 20 crores given standard prices, today's prices.

Maybe I will catch up offline with subsequent...

Yes, if you can, we work this out. It's a good question.

And the second thing, in the best of the times, what were the utilization in H1, what were the utilization?

Of the capacity utilizations?

Yes, overall, all put together.

All put together, I would say, today, we would be at about 50% to 55% utilization given some plants are working well, 80%, 90%, which in our kind of situation means you need to look at a new plant, and there are some which are working at 20%, 30%, but overall, we will be at about 55% capacity utilization, 50% to 55%. And as I said earlier to Nirav, our capacities are about 2 lakh tons, and I think this year we would be in the region of about 1 lakh to 1,10,000 tons.

And what were they in the best of your times, when the days were very excellent, when you were not taking...?

It goes up and down. Sometimes it becomes very tight, and then we have to add capacity. So, there is different periods of time, it is very different, you know.

But somewhere around 80%?

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Kirat Patel: That plant-wise sometimes it reaches. Like Methylamines, before we commissioned the new Methylamines plant, it had reached 100% for 2 years almost. I know 90%, 95%. Every day we lost; we were losing market.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for closing comments.

Kirat Patel: Thank you everybody for the patience and the listening, and I would look forward to meeting you again after 6 months hopefully with better numbers and better view of the future. And all of you please have a Happy Diwali and Happy New Year. Thank you.

Moderator: Thank you very much. On behalf of Ambit Capital, that concludes this conference Thank you for joining us. You may now disconnect your lines. Thank you.

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Alkyl Amines Chemicals Limited

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May 16, 2024

To,

BSE Limited The National Stock Exchange of India Limited

P. J. Towers, Exchange Plaza,

Dalal Street, Fort, Bandra Kurla Complex, Bandra (E),

Mumbai — 400 023. Mumbai — 400 051.

SCRIP CODE: 506767 SYMBOL: ALKYLAMINE

Sub.: Intimation under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015 — Submission of transcript of earnings conference call

Dear Sirs,

With reference to our letter dated May 6, 2024, please find enclosed the transcript of the earnings conference call held on May 10, 2024.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For ALKYL AMINES CHEMICALS LIMITED

Chintamani D. Thatte

General Manager (Legal) & Company Secretary

& Compliance Officer

Encl.: As above

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'Alkyl Amines Chemicals Limited

Q4 FY23-24 Earnings Conference Call"

May 10, 2024

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Alkyl Amines Chemicals Limited

MANAGEMENT:

MODERATOR:

MR. KIRAT PATEL — EXECUTIVE DIRECTOR — ALKYL

AMINES CHEMICALS LIMITED

MRS. KANCHAN SHINDE — CHIEF FINANCIAL OFFICER

— ALKYL AMINES CHEMICALS LIMITED

Mr. UDIPT AGARWAL — CHIEF COMMERCIAL

OFFICER — ALKYL AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE — GENERAL MANAGER,

(LEGAL) AND COMPANY SECRETARY — ALKYL AMINES

CHEMICALS LIMITED

MR. JAIVEER SHEKHAWAT — AMBIT CAPITAL

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Moderator:

Jaiveer Shekhawat:

Kirat Patel:

Moderator:

Nilesh Ghuge: Alkyl Amines Chemicals Limited

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Ladies and gentlemen, good day, and welcome to the Alkyl Amines Chemicals Limited Q4 FY23/24 Earnings Conference Call hosted by AMBIT Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jaiveer Shekhawat from Ambit Capital. Thank you, and over to you, sir.

Thank you, Darwin. Good afternoon, everyone. On behalf of Ambit Capital, I welcome you all to Alkyl Amines Q4 FY '24 and FY '24 Earnings Conference Call. From the management side, we have Mr. Kirat Patel - Executive Director; Mrs. Kanchan Shinde - Chief Financial Officer; Mr. Udipt Agarwal - Chief Commercial Officer; and Mr. Chintamani Thatte - General Manager (Legal) and Company Secretary. Without further ado, I would now request Mr. Kirat Patel to start with his opening remarks. Post which, we can open the floor for question and answer. Thank you, and over to you, sir.

Thank you, Jaiveer. Good afternoon, everybody, and thank you -- welcome to our call, and thank you for joining in to our annual review of our performance. So let me begin by giving a few opening remarks about the year that has just gone by. And then we will open the conference for questions. So the year has been a little mixed for us a bit disappointing in the sense that we were expecting it to be much better. But there are some silver linings in the cloud. That the market demand for pharma is quite stable now and growing. And we have managed to increase our sales in terms of tonnage.

However, because of price drops, due to competition from the Chinese and some internal, the top line, as you can see, has reduced. Fortunately, the raw material prices have al

so dropped and

margins in the last quarter is slightly better than the previous quarter. The second half has been a little weaker than the first half. But looking forward, we feel that next year is likely to be better than what we have seen in the last year.

On the capital expenditure side, I'm happy to let you know that the ethylamines plant, which we had been constructing over the last 2, 2.5 years has been commissioned and has been running very well much better than our expectations. And it is now probably the largest ethylamine plant in the world. And this takes care of our need for capacity of ethylamine for foreseeable future.

And with that, I think I will conclude my opening remarks and hand over the floor for questions. Please go ahead and ask whatever you may need to ask. Thank you.

Thank you. We will now begin with the question-and-answer session. The first question is from the line of Nilesh Ghuge from HDFC Securities.

My first question is on capex. As you mentioned, that you commissioned this ethylamine plants during this fiscal. So can you just tell us how much total capex we incurred in FY '24? And then can you give us the project-wise breakup for that?

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Okay so the ethylamine project, which was the largest project which we had finally was capitalized at about INR375 crores. It is 100 tons per day plant. However, since we have spent a lot of the money in the previous 2 years, this year, our total capital expenditure is about INR120 crores. In that INR120 crores is also some expenditure for routine maintenance capex and the solar plant to supply electricity to our Dahej facility. So this year's FY '24, the capex was about INR120 crores.

INR120 crores.

The capitalization was more because the ethylamine plant is a very large plant.

Yes. So capitalization, I can see that it's about close to INR500 crores in this fiscal.

INR400 crores. Approximately.

INR400 crores. Okay. And second thing, on the utilization. Can you tell us the utilization of acetonitrile plant in this fiscal because in our earlier communication that you mentioned that first half, the utilization was close to 60%, 65% -- so I just want to get the sense how it was in the second half of FY '24.

The second half was not as good as the first half because the Chinese pressure continued in terms of price and aggressive selling in the Indian market. So -- we were at about half our capacity

55%, a little better than half. And we are facing competition, both domestic -- though it is very small, but largely the Chinese.

And the pricing is also under pressure?

It has, in the last quarter, stabilized. Of course, it is difficult to say whether we have hit the bottom or not. But I hope that is true, that this is as low as it will go. We are, of course, fortunate because we are one of the first movers. So our Productivity on Acetonitrile and our cost structure is probably lower than the newer people who have come in. And this would be a bit difficult price for the newer entrants. So that's why I think we don't see too much activity from our domestic competition and only mostly from the Chinese.

Okay. And sir, just on the ethylamine side. So you recently commissioned this plant and you mentioned that plant utilization is going -- but I mean sufficient utilization is a ramp-up. But you did mention that there was also pressure on the ethylamine side in our last communication. So how are the prices on that side? And what was the utilization of your ethylamine plant including new capacity?

So this is a bit mixed because we were using the old plant until about October, November. And the new plant also overlapped with it. So the old plant was obviously in the first half

it was almost

fully utilized. The second half, it's been largely the new plant. And that utilization is maybe at about 60% of the capacity, which is, of course, more than the old plant could deliver, but still, we have headroom in the new plant.

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But as far as pricing is concerned, yes, it has improved on both the selling side as well as the raw material side, the ethyl alcohol has softened. Compared to what it was, say, 6 months, 1 year ago.

The next question is from the line of Neerav Gimudia from Anvil Research.

Sir, I have two, three questions. One is on the volume growth for FY '24. So I think in the first half, we were at around 14%, 15% volume growth. So if you can just let us know what was the volume growth for FY '24.

Yes, total volume growth for the whole year is under 10%. Second half was much -- I mean, it was disappointing largely under pressure from Acetonitrile, as I said earlier, to Nilesh. And, Monoisopropyl, also, as we are facing Chinese competition. However, we have been able to compensate that with a few of the other downstream products of methylamine. So on balance, we have a little less than 10% growth, less than 10%. We were disappointed in that because we were expecting it to be more than 10%, given that the first half was so strong.

So in absolute amount, the volumes could be closer to 1 lac tons for FY '24?

Nearly there, it's just short of that.

Correct, correct. Sir, if you can just walk us through the demand outlook for methylamines like at what level of capacity we are at currently -- are we planning any expansion there also? And along with it, if you can just let us know the demand drivers for methylamines particularly in context of the derivatives.

You are talking about ethyl, right?

Methyl.

Methyl, okay. I will just hand it over to Udipat, my colleague, who's the Chief Commercial Officer, who can give you a background on methyl.

Thank you for the question. As you know that the methylamines and methylamines derivatives have a different application areas and the growth rates are different for those. For example, one of the derivatives, which is largely dependent on the personal care related products that has a different dynamic versus the other derivative, which is largely on the pharma, antidiabetics segment, and that is a different growth trajectory. So it's a different thing at both the derivatives end.

The base methylamines are growing at their normal historical growth rate of low single digits. I

would say this primarily because these products find application in the agrochemical industry and agrochemical industry, as we all know, is the kind of pain which we had in the recent past. So this is where we are at this moment, but I would say that the derivatives are growing a little faster than the base methylamine.

Sir, here, you mentioned about the firm update and you are talking about DMAHCL. So if you can let us know like how is the market size both for the base methylamines, I mean, as well as

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the derivatives of methylamines and how much of the methylamines which are currently using captively for our derivatives and how much we are probably selling in the market at this point of time?

We are using about 30% of our methylamines captively and about 70% is sold.

Sorry, sir, if you can just repeat, I lost in between that.

Yes. So it's

30% of our production is self-consumed in methylamines and about 70% is sold merchantly.

Okay. Okay. And the old ethylamine plant, which we were having -- so any plan of converting into methylamines or that would be kept separately as a ethylamine plant only?

No, we are having plans to convert it into methylamines. The engineering has just started. It would take a little time to convert it but we are preparing for 2 years down the line when the demand has grown to a level where we will need it. As you know, we already have Patalganga as a standby to Dahej. Patalganga, the old second plant methylamines -- ethylamine plant and that we bring on line whenever there is demand peak when it happens in a few months or some particular homologue of methylamine between mono-, di- and tri- is in short supply, and we have to bring it on.

And sir, is it possible to share the current market size of methylamines in India and at what level of capacity we are currently on?

So market price, you said?

Market size of methylamines in India and at what level of capacity we are at currently?

Well, market size would be about 70,000 tons I think or 70,000, 75,000 tons of production because both Balaji, us and RCF all self consume some of their production.

Correct.

Maybe about 70,000, 75,000, we are at about almost 80%, 85% capacity utilization of Dahej plant. Which, as you know, is about 45,000 tons a year.

Correct. Correct. And the standby plant, what you mentioned would have a capacity of how much whenever we would.

Patalganga?

Yes, Patalganga.

That's about -- the old plant is about 15,000 tons. But it is also used for ethylamine as a standby.

Got it. Sir, next question is on contribution margin. So let's say, if we exclude Acetonitrile, which had a good year in FY '21 and because of which our profitability was better. Let's say we compare

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FY '21 and now FY '24. For rest of the products like other than Acetonitrile, let's say the methyl and ethylamines chain along with the derivatives. Has the contribution margins per kg had an impact in between these years? Or they were well taken care of through the price increases or the introduction of new products in that methyl and ethyl chains because of which those margins were protected. If you just can help us understand that, that would be helpful.

Okay. So if you ignore the volatility in the Acetonitrile business and other business. Between the products, there has been a little bit of up and down in the margins, the Methyl chain has done well, the margins have done well. The ethyl went through a little bit of a rough time 1 year ago and has stabilized and improved now. And we hope to get back to the old levels of margins in the ethylamine chains.

Of course, MIPA has been last year being a bit of a disappointment because -- as you know, our antidumping duty expired a year ago, and they did not renew it. And the Chinese have again become active. And so we have had price pressure in Isopropylamines, and we have lost market share there.

So sir, safe to conclude that probably as compared to FY '21, Methylamines margins in per kg basis would have improved. Ethylamines is still lagging, but you are expecting FY '25 to -- for ethylamines also the margins per kg should be back to the levels of FY '21, and that should overall help us to improve our contribution margins per kg.

Yes. I would say you're right, except to I will correct you that the ethylamines margins have already improved, it is already in the last quarter, we have seen the signs now.

Sir, last question, if you allow me. And before...

Sorry to interrupt. This is Udip Agarwal here. Just to add to that, year '21, '22, was also the special year of the COVID time

, yes. if we look at the ethylamine or these products margin over the last 10 years or so and think about the margin situation current. Its a better way of looking at it, right?

Got it. Correct.

Go ahead to your next question.

Yes. Sir, any new products, are we planning to introduce in the -- on the specialty side or on the derivatives side of methylamines and ethyl because after acetonitrile, I think such a meaningful contributor to the top line level of products have not been introduced by us. So are we planning any newer products, both on the ethyl or methylamines as well as on the specialty side which could meaningfully help us in growing our volumes turnover as well as the margins?

We have a couple of products under engineering. In fact, one almost close to finishing the engineering, and we have to take decision shortly. And these two products are not actually derivatives or part of the current Amine portfolio or anything linked with that. Of course, there is also, as I said, a capex view for revamping the old ethyl plant to make it into methyl. But all these will happen over the next couple of years. Decisions will be taken in the next 3 to 6 months

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on proceeding because currently, the market situation seems to be very volatile with the Chinese active so much that one hesitates to put capex in the ground and then find that the Chinese have under continued all over the world.

So we are being a little careful on that, but we have proceeding with all the soft part of the engineering permissions, getting everything in place. So when the decision is made, we can implement it quickly.

Correct. And sir, lastly, any volume growth guidance which you can give for FY '25?

Well, we are always — we have always been optimistic, and we always feel that 10% to 15% growth rate has been our norm. There have been a few years like last year where we have dropped below that. But otherwise, 10% is, I think, what we expect. Some part of it may be because we are still to ramp up the Diethylketone -- we have not been able to actually exploit that product fully. But we hope that next year will be better for us-- and that will contribute to some extent to the 1% or 2% of that growth rate will be just like Diethylketone from a very low base, adding to volume.

What was the utilization rate in FY '24 for DEK, sir?

Very poor. I think it was maybe 20%, 30%.

So roughly 1,000 tons.

Yes, less than that.

The next question is from the line of Jaiveer Shekhawat from Ambit Capital.

Kirat sir, first question is on the anti-dumping duty investigation that has been going on, on acetonitrile. So basis the evidence that you have provided to the department, one, what has been the extent of dumping or the injury that has been suffered by you because of the dumping? And second, if the order is passed favorably, what kind of volume or margin benefit you expect?

Kanchan here. So we have filed antidumping in December and in March '24, the investigation has been initiated, hearings are going on right now and we are planning for filing interim relief also in that. But it will take time. Maybe in Q4 of '24-'25, we expect that to come, if it is favorable on our side. Injury is in the range of 15% to 20%.

Sure. And so if I were to compare your FY '24 revenues with pre-COVID FY '20 revenues, the revenues have increased by roughly 50%. Whereas your EBITDA is largely flat. So one, if you could help us understand this 50% growth in revenues, how do you break that into volume growth and realization growth? And secondly, if your realization was to remain wherever they are, as of now, when do you think you can reach back to the 25 percentage EBITDA margin lev

el that you had also guided earlier in the calls.

Last year, our average selling price dropped by almost 20%, though there was a volume increase. Our top line dropped by about 14%, and the average pricing dropped by about 20%. So given that the margins obviously have come down per Kg. Looking forward, I do not think that margins

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will ever go back to the 2021 levels because those were exceptional years. But our average before that, so we expect that the next year, we will get back to the average margins and we will make up to the level which we were the year before by sheer volume increase. We are growing in terms of volume, and that is adding to the bottom line.

Sure. Because sir, if I see Pre-COVID, I think prior to FY '20, possibly you are doing 18%, 19% EBITDA margins which possibly might be in a position to do in a couple of quarters. Was FY '20 also impacted because of COVID by any terms because we still had a March lockdown that happen? Or was it still a normal level of margin that you would expect going forward?

FY '20?

Yes, that was around 25%, 26% EBITDA margin. Do you see that as a normal level of margin? Or was there an aberration?

That is on the higher side, 25%. 20% to 22% is what has been our norm and 18% has been low. We have even gone down as much as 14% at one point. But I would say that 20% EBITDA margin is what we hope to achieve between 20% and 22%.

Sure. Sir, next question is in terms of realizations. So analyzing your data as well as that of your competitor, we find that after like many quarters of sequential decline in realization, we have seen some increase on a sequential or a quarter-quarter basis. So one, what has led to that? And secondly, would you call that as an aberration? Or do you believe that realization can increase from here on?

I hope it is not aberration. The main reason why the slide in the top line has dropped because the prices are stabilizing. Volumes have been growing little by little. So because the prices have stabilized with Q3 and Q4 numbers are looking on the top line a little better than Q3. And I hope going forward, this trend continues. But I think we have seen the bottom of the prices and on both, on the finished goods and on the raw material side, maybe raw material side still, there is a little bit of softening could happen in say acetic acid or ethyl alcohol, but I think we are near the bottom. So I think these margins are what you could predict would happen next year. And sir, what gives you the insight or the foresight to possibly comment that it could be the bottom? And secondly, has there been change in the industry dynamics over the last couple of months or quarters which has led to this improvement in realization? And what has really led to the improvement?

Well, I think it has not improved. It has stabilized. That means if the price was, say, INR150, it dropped from INR200 to INR150, it stopped dropping and remained at INR150, while volumes kept creeping up. So it's stuck at about that level of prices have remained stable for some time. So that gives us hope that perhaps we have reached a stable point equivalent in the industry based on what the Chinese are doing because the Chinese were the ones who upset the whole Apple cart. And they seem to be now at this price over the last few months. And if they, of course, back out then prices will go up. But if they again become more aggressive, then it would be worse -- it's a little worrying that the yuan is weakening.

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Kirat Patel:

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Sir, last question to Kanchan possibly. Kanchan, if you could explain the quarter-on-quarter increase in your other expenses?

Quarter-on-quarter increase. So mainly.

So there's roughly about INR15-odd crores increase that is happening in other expenses, if you could just follow up that.

Yes, nothing much. So mainly CSR expenses, which we could not spend, we had to make provision for that, and there was one asset at Patalganga, which was not being used, so we had to impair that. and since there is increase in production, the power and fuel expenses have increased. So nothing exceptional other than this.

The next question is from the line of Rajiv Rupani, an Individual Investor.

I had a question on methylamines. Sir, our competitor has a 48,000 ton plant, and they are commissioning new 40,000 tons plant in December '24. And right now, we have told that 60% of our Methylamines is sold in the market. So what would be the impact on the prices of methylamine and our production?

Okay. I think we have been expecting expansion on Balaji's-- methylamines capacity. He has actually two plants, 30,000 and 15,000, that is how he is at 48,000 and now he is putting up one plant which is 40,000. So obviously, he will shut down one of the older plants, which is probably less efficient. And -- there is tightness for him and some other -- one of the homologue which is dimethylamine. Most of dimethylamine as far as Balaji is concerned goes into DMF, which is its own product and DMAHCL.

So I assume that he is expecting the DMF market too, which has unfortunately been very low to improve, and therefore, he will need more DMA. That is the kind of analysis that we have come to that he is putting up new capacity in methylamines to support an increase in the DMF situation. Because between RCF, us and him -- there is enough capacity currently to supply the market. And barring few odd instances, there has not been any shortage of methylamines in the country.

And also is a question that you planned something 2, 3 years ago looking at some growth, when they come online, sometimes you are off by a year or so. So perhaps maybe 1 year too early for him maybe that just happens.

So you are saying that there would be no impact on the prices of methylamines.

There will be. There will be an impact because, obviously, he would like to use his plants fully

at least two of them, if not the three. And that would create some pressure on the methylamines merchant market.

Okay. And sir, I have a follow-up question. Do we have any intention of setting up DMF plant in the future?

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We are always looking at it. We have the technology, but we don't find it at the current pricing very exciting. So -- and that's the reason, I think why for the last year or 2, both RCF and Balaji have been struggling with their DMF capacity.

My next question is...

Both the Chinese and the Saudi.

Okay. Okay, sir. My next question is on Ethylamines. So in the con call, you have said that prices have improved for ethylamine, and we are operating at 60% capacity utilization in the second half but what is your outlook going forward is the prices of ethylamine per kg, if you could let us know?

What would be the average price, INR150?

Yes, about INR150 to INR160 depending on mono-, di-, tri- and going forward, I think ethyl is a very steady growth market. It grows by 5% to 7% every year. And our plant is now planned for the next 5- to 10-year kind of view so that we don't have to put up a new capacity for ethylamine again.

Okay so our competitor has also had about 22,500 tons. So are we -- I mean, exporting some ethylamines or what is the domestic total demand for ethylamine?

So both o

f us are exporting small quantities of ethylamines and their derivatives. But largely it is domestic. Most of the ethylamine is largely domestic. And both of us are -- as I said, we are at 60%. We estimate that his capacity utilization is also in that region 50% to 60%. But of course, being a slightly smaller plant capacity utilization may be higher. But we have a larger market share.

Okay. My next question was on ACN. Sir, we have been facing this pressure from the Chinese people since the last 6, 7 months, and we have filed for the anti-dumping duty. So when do you think this Chinese competition tapers off? And what if the anti-dumping duty does not come in our favor?

Look, one is when will be Chinese taper off. Nobody can say, I don't think anybody has a view on that. It's not just acetonitrile, it's across the board, they have too much capacity in most of their chemical industry. And in fact, we recently saw an announcement by one of their companies for a huge methylamines plant. Considering they already had a methylamines plant that company, which was operating at 60%. So I have not understood the logic and that company is making losses. So -- it's a very strange feature. So it's very difficult to predict when it will taper off.

But we have noticed if you go historically, at some point in time, maybe they last for a year, 1.5 years and then they kind of ease off. So we have to survive and hold our heads above the water till then. And we are still making money in acetonitrile, not as much as we would like to or we were making. But we are more than breaking even. So if it doesn't -- the situation doesn't worsen, we will continue to attempt to grow our market share because the Indian market is growing.

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So that's a good news and we will continue to hold on to our market share and grow with it. Yes, if we get the antidumping duty, which may take, I don't know, about a year maybe, from now unless, of course, we get some interim kind of a relief then the chances of our market share improving is much more.

Okay. And what are the current prices of ACN currently?

Acetonitrile?

Yes, sir.

About INR150 or so. For the larger people INR145, for the smaller people INR160 that kind.

Okay. And what would be your capacity utilization this year?

About 55%, 55% to 60%. I am talking about FY '23, '24. .

Going ahead? What would be the...

Going ahead, we are hoping to improve it to 60% to 65% because market is growing. So I'm assuming the same market share between Chinese and us because anti-dumping duty even if it comes, it's not going to be an impact the next year, unless we are very lucky.

Got it. And my next question was on the raw material side. What is the current prices of ammonia, acetic acid and methanol, could you please guide us?

This is Udipt Agarwal. Ammonia has been, as you know, is primarily driven by the fertilizer industry and what happens there. Currently, ammonia is about -- depending on the location, in the range of INR50 to INR52 per kg. Acetic acid has been fluctuating up and down and it is a little shy of INR40 at this moment.

And methanol?

Methanol or Ethanol?

Methanol.

Methanol is sub INR30 these days.

And my last question, the last con call, you had talked about two derivatives of DEK. So could you please give an update on that?

No. Derivative of DEK. DEK is a final product.

You have talked about some -- two derivatives in last con call.

We may have talked of DEK, which is a new product. There is no derivative of DEK.

We do not derivatize DEK. That is our customers.

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ALK

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Alkyl Amines Chemicals Limited

Moderator:

Aman Choudhary:

Kirat Patel:

Aman Choudhary:

Kirat Patel:

Aman Choudhary:

Kirat Patel:

Aman Choudhary:

Kanchan Shinde:

Udipt Agarwal:

Aman Choudhary:

Kirat Patel:

Aman Choudhary:

Udipt Agarwal: Alkyl Amines Chemicals Limited

May 10, 2024

The next question is from the line of Aman Choudhary from Motilal Oswal.

So there are a couple of reports that there was a downturn in the methylamine market in April or at least the first half of April with inventory destocking also in continuing along with declining downstream demand as well. So can you throw some color on the sales?

Come again, the downturn in?

Downturn in the methylamine market in April or at least the first half of April.

I don't think we saw anything unusual in the methylamines market.

Okay, sure. And also if you could give the exports to domestic sales mix for the quarter and FY '24 as well?

As a percentage?

As a percentage.

22%. In '23,'24 is 22%.

80-20. More or less 80% is our domestic and about 20% is exports. And I think this is what Kanchan has been saying. This is where we are.

Sure. My next question would be regarding an FID that in our last conversation, Kirat Sir, you had alluded to, that would be requiring a capex of around INR80 crores, INR90 crores. So any update on that?

Yes. So this year, we spent about INR120 crores on capex. Next year, we are looking to spend about INR60 crores to INR80 crores. A large amount of it is maintenance capex and some debottlenecking in our current products. But as I said, we have two new products in mind. And those decisions have not been finally taken about going ahead. But if they do, then they will -- these capex will be additional. And they are in the region of between INR75 crores to INR200 crores. But okay, it will be spread over 2 years.

Sure. And yes, sir. And in the very beginning of the con call, you had alluded to the market demand for pharma being stable now, can you throw some color on the Agrochemical side?

Agrochemical has been a little bit late, depending on which kind of market do you look at -- the kind of situation with the agro industry had been in the last 2 years or so, that destocking has been going across the supply chain in the Agrochemical sector is still on, although we have some indicators from the public market that on a very selective basis, this might be kind of coming to an end, and we could see some upside from here.

However, having said that, there is also a large increased Chinese competition, not only for our direct product but also for our customers' product, which Chinese are also kind of selling at a very, very low prices, the agrochemical molecules. Not only here in India, but also internationally, where our customers are also exporting.

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Alkyl Amines Chemicals Limited

Aman Choudhary:

Kirat Patel:

Aman Choudhary:

Kirat Patel:

Moderator:

Neerav Gimudia:

Kirat Patel: Alkyl Amines Chemicals Limited

May 10, 2024

So -- so on the agrochemical side, yes, it's a mixed situation, while on the demand side, we seem to be seeing things getting a little better, but not still there where it should be. The destocking effect seems to be coming to an end. At the same time, competition from Chinese are also increasing. So we will have to see, I mean, a lot -- today, I mean, if you look at the entire chemical industry, upstream, downstream, it is really largely what is happening in China that is affected the rest of the world is also affected because of that. Because of the total chemical production, more than half of it is in China. 55%, 60% of chemical industry, global chemical production is in China.

Sure. And last question from my side. Even if we get an interim release with regards to acetonitrile or say, the final anti-dumping duty is also levied, would this encourage a private player to enter the market, which had announced the 10,000, 15,000 tons

per annum capacity

around 2 years back?

Yes. I think there are a couple of people who are already in the market who are -- in fact, our competitors are already there in the market, but they are at low production level because at these prices, they are probably not profitable. So there is always the chance that if the anti-dumping duty comes in and the prices go up, they will also try and grab some market share. We are just hopeful that because of our larger volumes and our efficiencies and our production cost advantage, we will be able to retain market share and increase it.

Sure. Just small clarification last from my side, any update on the additional Daheji land that we

have been looking for.

No, no, we haven't got any further progress on that. But given that we have enough land in both in Kurkumbh and Dahej for the new products which we are planning, there is no urgency. We have applied for it, but we haven't heard back, but we are not in a big hurry. There's no urgency in the matter. But okay, sometime in the next year or two, we will probably take action and move on that situation when these two projects are under implementation.

The next question is from the line of Neerav Gimudia from Anvil Research.

Sir, you mentioned about the improvement in the margins of ethylamines, which has already started happening on. So from when it started improving for us. So was Q4 numbers captured some portion of those margins? Or the entire increase in the margins for ethylamines was captured in Q4 number |. And along with it, let's say, on a scale of 100, the margins for ethylamine, I mean, in terms of contribution per kg, how much it would have improved on for US.

So well, there's no exact point in which the market turned around. But yes, towards the last 3, 4 months, we have been seeing that the margins have improved, the ethyl alcohol has stabilized and/or in fact, actually gone down from the peak it was. And the selling prices have also improved marginally. I hope this keeps up. We cannot predict how the market will go tomorrow. We can see that we have the alcohol all the way up to half year September to October. We can see the visibility on the alcohol price, and it seems to be very positive. As far as the selling prices

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Neerav Gimudia:

Kirat Patel:

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Neerav Gimudia:

Kirat Patel: Alkyl Amines Chemicals Limited

May 10, 2024

are concerned, yes, this quarter looks good, but one cannot predict the next quarter and the quarters after that.

What I was trying to understand from you is the margins on a per kg basis started improving from last 3, 4 months. So let's say, if it were INR100 a kg margin, how much it would have improved on?

I see. Well, margins would have improved by about 20% on the -- very difficult to say.

Rough idea would also help. I'm not asking for any exact numbers, but just to get some qualitative understanding about the improvement in the ethylamine margins, which started happening over the last 3, 4 months, and which is currently sustaining.

Yes. ethylamine margin is very difficult to say that how much it has improved because it has been up and down. So we had to take what is at the bottom, what was the top, was it temporary bottom. So this is a very difficult question to answer off the cuff. We will have to look at it and say that this is a range in which it paused earlier and now it is the same and I will come back to you on this. It's not possible to answer at the moment.

Sir, on the cost side, you mentioned last time that we were in the process of putting up the solar plants, I think one-off was getting commissioned in November, December of '23. So any update on the same?

Yes, the solar plant in Dahej got commissioned in January, and we have already started receiving the electricity f

rom that plant. Totally, now in the company, we have about 8-megawatt or so, 8.5 megawatts capacity between Kurkumbh, Patalganga and Dahej.

And let's say, out of our total requirement of power, how much this would help us to use from this captive?

Okay. So there, there are three sources for power for us. So one is, of course, solar. Then there is a turbine which we use, back pressure turbines for our steam generation and MSEB or GEB, Gujarat Electricity Board. So I think on an average, about 50% of the electricity, which we use is from the grid from the electricity board. About 20% to 25% is from the turbines and about 20% to 25% is from the solar.

Okay. And the turbine would predominantly be using the coal.

Yes. It's -- the steam is from coal. All three sites are on coal.

Sir, any possibility of giving us quantitative numbers in terms of saving in the power cost, which would accrue to us because of commissioning of this 8.5 megawatt of solar power plant.

No, 8.5 is the total amount which we have. What got commissioned just now in the last year in January was, I think, 3.5 megawatt.

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Alkyl Amines Chemicals Limited

Neerav Gimudia:

Kirat Patel:

Neerav Gimudia:

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Neerav Gimudia:

Kirat Patel:

Moderator:

Dhruv:

Kirat Patel:

Dhruv:

Kirat Patel:

Neerav Gimudia:

Kirat Patel: Alkyl Amines Chemicals Limited

May 10, 2024

Okay. And any numbers which you can help us out in terms of savings, which have started accruing to us because of this 20% captive use through solar, which otherwise probably would have been buying through grid or through generation to turbines.

Yes, about -- my estimate would be these 8 megawatts would be giving you about INR3 crores to INR4 crores of savings in view of if you were buying from the grid, right? and we are buying and generating our own, maybe about INR3 crores to INR4 crores savings every year.

Okay. Sir, last year, our absolute power cost was like INR215 crores, INR216 crores, combining everything put together.

That would have included fuel.

Yes, fuel. So what was the similar number for FY '24?

Can you -- we will have to look it up, but it is lower because coal prices have dropped from -- it would have been considerably lower because the coal prices are down.

Sir, last question would be in terms of the breakup of sales, if you can just help us know the breakup of INR1,440 crores of sales what we have reported between Amines and Amines derivatives and the specialty chemicals for FY '24.

I think the percentage change has not been very significant. It's still, I think, in the region of 40% to 50% is the main Amines about 25% is derivatives and about 20% to 25% is specialty, which is the main one being Acetonitrile.

We have the next question from the line of Dhruv from HDFC Asset Management.

Firstly, you mentioned that methylamine demand-based -- demand is -- methylamine demand is about 70,000 tons domestically. So this would be -- just be the base or, say, for example, even the downstreams of, say, DMF and everything, all inclusive demand is 70,000.

No, all inclusive. The DMF is a question mark because DMF you know, all the DMF demand in the country was to be -- all the DMF was to be made within the country of what we are importing, then yes, another 10,000 tons could be added to the methylamines demand. But obviously, this has to compete with imports. So it's not going to happen.

So when we say these demand over these are based on production of base methylamines.

Basically production of base methylamines.

So what goes into downstream is separate? That is not included in these demand numbers.

Probably those downstreams could be imported from outside but that is not included...?

I am including what the RCF, Balaji and us would be producing, my estimate of what we would be producing, they will be producing every year. Or this year, rather -- and it goes up by 5% to 7% every year

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Neerav Gimudia:

Kirat Patel:

Dhruv:

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Neerav Gimudia:

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Kirat Patel:

Dhruv:

Kirat Patel:

Moderator:

Pradeep Rawat: Alkyl Amines Chemicals Limited

May 10, 2024

Sir, any kind of assessment if all -- of course, this is hypothetical, but all the downstreams were also to be made in India, which is probably currently imported. What would be the base demand for methylamines be?

Sorry, what would be the?

I mean base demand for methylamines. Say for example, currently its about 70,000. For example, DMF is currently I am not sure, how much is imported if that was also to be manufactured in India, and that would use base methylamine. So how much would you...

Expect another 10,000 tons or...

Okay, got it. Sir, the second question is...

In fact, both NMP and DMF and all if you add up, it could be 80,000 tons to maybe 90,000 tons.

So there is a potential in India in competition. But obviously, competition does not go away.

Reality, 80,000 to 90,000 tons could be a kind of market size, you would say, potential market size.

The second question is on a per kg basis, for methyl and ethylamines lets take before 2020 what the spreads would be on an average per kg contribution or EBITDA? And what were they in the current year? Or I mean, on a benchmark basis, I am not asking for an absolute number, but how different would they be. Current year, FY '24.

Between which year and now?

yes. pre-COVID when there was some abnormality post that. So let's take FY '20 and the current year on a per kg basis methyl and ethyl.

I will have to come back to you on that because I have to look at the numbers of pre-COVID per kg but my gut feel would be that we would be slightly better off than that just now. But I couldn't say for -- obviously, we are not as well off as the COVID years per kg but pre-COVID to now, we will have to just check, which is you're talking about '19, '20.

Let's say 3, 4 years at an average of 3, 4 years before just to get a sense.

We have to look it up and -- good way to look at our long-term pricing.

And sir, lastly, you mentioned the few players in China are still adding -- one player in China is still adding capacity. Is it possible to name that player -- which player is this?

No, I think it's in the -- you can google it. I think it's there in the internet...

We have the next question from the line of Pradeep Rawat from Yogya Capital.

I have one question. What is the market size of Acetonitrile and how much is imported?

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Kirat Patel:

Moderator:

Kirat Patel:

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Market size would be in the range of 30,000 to 35,000 tons. And I would say about 50% of that estimated is imported last year. 50% to 55% was imported.

As there are no further questions. I would now like to hand the conference over to Mr. Kirat Patel, Executive Director; for closing comments. Over to you, sir.

Thank you, everybody, for listening in and spending this hour with us. I hope we have been able to answer most of your queries and look forward to your continued support in the future. As few closing comments, I think we are looking forward to the next year with some degree of cautious optimism because I think the next year is likely to be better based on what we see happening in the last quarter.

And the good part is that our customers are growing and the opportunity in India is large. So

over a long-ish period, we will be here to stay and the company will grow from strength to strength. Thank you very much for listening in, and thank you AMBIT and for hosting this conference.

Thank you. On behalf of AMBIT Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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Call: Nov 2024

Alkyl Amines Chemicals Limited

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Tel.: 022-6794 6600 * Fax: 022-6794 6666 * E-mail : alkyl@alkylamines.com ° Web: www.alkylamines.com a

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Responsible Care Care"

OUR COMMITMENT TO SUSTAINABILITY

November 12, 2024

To,

BSE Limited

P. J. Towers,

Dalal Street,

Mumbai - 400 001

SCRIP CODE: 506767

Sub.: Submission under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, The National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra - (E),

Mumbai - 400 051

SYMBOL: ALKYLAMINE

2015 - Submission of transcript of earnings conference call

Dear Sirs,

With reference to our letter dated October 31, 2024, please find enclo

conference call held on November 6, 2024.

Kindly take the same on your records.

Thanking you,

For Alkyl Amines Chemicals Limited

Chintamani D. Thatte

General Manager (Legal) & Company Secretary

& Compliance Officer

Encl.: As above sed the transcript of the earnings

Corporate Office: 207 A, Kakad Chambers,

Tel.: 91-22-2493 1385, 6748 8200 * Fax: 132, Dr. Annie Besant Road Worli, Mumbai - 400 018. INDIA

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ALKYL

Alkyl Amines Chemicals Limited

"Alkyl Amines Chemicals Limited 2QFY25 Earnings

Conference Call"

November 06, 2024

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Alkyl Amines Chemicals Limited | Acumen at Work

MANAGEMENT: MR. KIRAT PATEL — EXECUTIVE DIRECTOR, ALKYL

AMINES CHEMICALS LIMITED

MRS. KANCHAN SHINDE — CHIEF FINANCIAL OFFICER,

ALKYL AMINES CHEMICALS LIMITED

MR. UDIPT AGARWAL — CHIEF COMMERCIAL

OFFICER, ALKYL AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE — GENERAL MANAGER

(LEGAL) AND COMPANY SECRETARY, ALKYL AMINES

CHEMICALS LIMITED

MODERATOR: MR. KUMAR SAUMYA — AMBIT CAPITAL

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UA QGs

Alkyl Amines Chemicals Limited

Moderator:

Kumar Saumya:

Kirat Patel:

Moderator:

Nirav Jimudia:

Kanchan Shinde: Alkyl Amines Chemicals Limited

November 06, 2024

Ladies and gentlemen, good day, and welcome to Alkyl Amines 2QFY25 Earnings Conference Call hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.

Thank you, Good afternoon, everyone. Welcome to the 2Q and 1HFY25 post-results earnings conference call of Alkyl Amines.

From the management, we have with us, Mr. Kirat Patel - Executive Director, Mrs. Kanchan Shinde - Chief Financial Officer, Mr. Udipt Agarwal - Chief Commercial Officer; and Mr. Chintamani Thatte - General Manager (Legal) and Company Secretary.

I will now hand over the call to the Management for an "Opening Remark", post which, we will open the floor for Q&A. Thank you. Over to you, sir.

Thank you, Kumar. Good afternoon, everybody, and thank you for joining us on this Half-Yearly Investor Call. A belated Happy Diwali and wishing you a prosperous New Year.

With me are my colleagues, Kanchan, Udipt and Chintamani, and we are here to respond to any queries you may have about our half-yearly performance.

A few opening remarks. The half-year has been relatively better than last year's half-year, as you must have seen from the results, largely because our volumes have been more than satisfactory.

And unfortunately, of course, the prices and margins have been under some pressure.

So, with those few words, I would throw the floor open for specific questions which you may have. Thank you. Can we proceed with the questions?

Yes, sir. Thank you. We will now begin the question-and-answer session. The

first question is

from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Sir, I have a few questions. Sir, first is on the volume growth for the first half of HY2025 and if you can also share the volume growth for the second quarter on a Y-o-Y basis, that would be helpful.

So, half-yearly basis the volume growth is about 8% to 10%, and compared to last year quarter, it is 17%.

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UA QGs

Alkyl Amines Chemicals Limited

Nirav Jimudia:

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Udipt Agarwal:

Nirav Jimudia:

Udipt Agarwal: Alkyl Amines Chemicals Limited

November 06, 2024

So, second quarter we have clocked actually higher volumes of 17%.

Yes.

But keep in mind, Nirav, that the similar quarter last year was not a very good quarter for us.

Correct. And sir, any guidance which you can share in terms of volumes for FY '25? I think last year we clocked something close to around 8% to 10% volume. So, what sort of volume growth we are expecting for FY '25?

I think this year also we hope to cross 10%.

Sir, second is on Acetonitrile. So, just wanted to understand something on the technical part, like, whatever are the imported volumes coming to India, so far as Acetonitrile is concerned, does the quality matches in terms of what we produce like, because there the purity level also matters when we sell Acetonitrile in the market. So, just wanted to understand it from you that when the material comes to India, it is more through that Acrylonitrile route as a by-product, or it is through the route where we are producing through Acetic Acid route. So, if you can just share your views on that. And in terms of our purity levels, have we improved over a period of time, have our effluent costs reduced for Acetonitrile, if you can share your views.

Hi, this is Udipt Agarwal here. Thanks for the question, Nirav. The material, which is Acetonitrile, which is coming into India, is coming from, which is produced using both the routes, the Acetic Acid route and the Acrylonitrile route. Just remember in mind that before we came into the market, the only Acetonitrile, which was being used by customers, everything was

based on the Acrylonitrile route. So, the customers know what they are using. And so for most part of the applications, both routes are acceptable to the customers.

The second part of your question was that have we improved our cost structure and/or the quality. So, I would say that for sure on the quality part, there are some specific emerging trends in the market for which there is a differentiated quality or a higher grade requirements are there, and we are working on those areas to create some kind of a differentiation for our product.

And sir, so far as the market in India is concerned, it is still 30,000 tons and what sort of utilization levels we have been operating of our plant, let's say in H1 of FY '25?

I think market remains around that level. So, your market estimation is pretty good, congratulations. You are keeping a good track on what is going on. So, good number there. So, ballpark directionally yes, market remains around 30,000 tons there. And you know what kind of imports are also coming into India. So, you can have an estimate of what kind of utilization, and there is room for us to grow further.

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UA QGs

Alkyl Amines Chemicals Limited

Nirav Jimudia:

Kanchan Shinde:

Nirav Jimudia:

Kirat Patel:

Nirav Jimudia:

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Kanchan Shinde:

Kirat Patel:

Nirav Jimudia:

Moderator:

Kumar Saumya:

Udip Agarwal: Alkyl Amines Chemicals Limited

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Sir, just to add here, like there was an oral hearing in October so far as the anti-dumping duty on Acetonitrile is concerned. So, have we heard anything ahead of that, like where the process is currently in terms of anything which can come up on Acetonitrile anti-dumping duty?

So, after oral hearing now they will

come for investigation of our plant and as well as costing records, and then MoC will issue their findings. After that, MoF generally takes 3 to 4 months. Next 4 to 5 months we should expect something.

One more question, sir. Sir, in one of the earlier calls you mentioned that 80% of our power cost is towards generating steam for boilers and which generally runs on coal. So, if you can share like what was our average coal cost in FY '24 and how it is currently looking in H1 of FY '25 or possibly if you can share the figures for second quarter of FY '25?

So, Nirav, first thing is 80% of the power, water, fuel cost is due to steam, which is largely produced in all three plants from coal. So, the coal prices have been more or less stable across the two years we are, (+/-10%). So, there is not much of a price difference between the two, this thing. Whatever changes you see in the numbers are due to volume increases in production. So, safe to believe that the coal cost for us is close to around Rs. 9-10 currently?

Sorry, so what, please repeat.

Coal cost for us is currently around Rs. 9 to Rs. 10 rupees a Kg?

Correct.

Yes, the coal is Rs. 9, Rs. 10 Kg. Yes, we of course look at metric ton. So, Rs. 9,000 to Rs. 10,000 a metric ton.

Sir, I have a few more questions to ask, but I will join back in the queue.

The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Sir, my first question is if you could please throw some light on the underlying demand trends that you are seeing in the industry, specifically from agrochemicals and pharma side?

See, we all know about the macros which is there in the pharmaceutical industry and pharmaceutical also, if we dig a little deeper, we talk about two segments. One is the API manufacturing and the other is the formulation segment. And within that, we also talk about domestic consumption and exports. You all know that India is a big exporter of the generic APIs from India.

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UA QGs

Alkyl Amines Chemicals Limited

Kumar Saumya:

Kirat Patel:

Kanchan Shinde:

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Kirat Patel:

Kumar Saumya:

Kirat Patel: Alkyl Amines Chemicals Limited

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I would like to say at a macro level, the issues which we had a couple of years back in terms of the so much of inventory in the pipeline and things like this, within pharma sector we see that this seems to be easing a little bit because the other part of the life science, which is the agro-chemical segment still continue to remain under pressure both from the inventory point of view and also from the cost pressure which is coming in from China, both at the intermediate level and also at a finished agro-chemicals. So, this is where the strain is coming in the industry from China, particularly in the agro-chemical. So that continues to remain a little bit subdued. So, secondly on the margin side. So, we have seen some Q-on-Q dip in the gross margin. How much of it was led by raw materials, specifically Ammonia prices and how much was it due to product mix?

So, the finished good prices have dropped a little more than the raw material prices over the period half year to half year. And therefore, the margins have got squeezed by about 2% at points. So, say the finished good prices have dropped by an average of 5%-6% but the raw material prices have dropped 3%-4%.

Half year to half year we have increased margins.

Half year to half year the margins have increased.

Margins have increased.

Ma'am, lastly, what is the outlook for the second half for the margin side? What would be the output for the second half, and do we plan to maintain the current run rate or we are looking at some improvement in profitability side?

Well, it's difficult to say at this point in time whether we will be able to. We are always optimistic that we will try to improve the margin, but we don't want to sacrifice volume because of it. So, ou

r focus will be more volume than margins, but of course at the same time, we try to expand the margins. But it's difficult to say where we will in the end land up. Hopefully, better margins and better volumes.

And lastly, sir, on the CAPEX side, the capex that we have announced, if you could throw some light in whatever products that we are having and whatever markets that you are targeting?

You must be aware that we do not talk about the products which we are going to launch until they are actually commercially in the field. That's our policy. But I can broadly say, it's in the same region of market that we now supply to, the same kind of customers.

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UA QGs

Alkyl Amines Chemicals Limited

Moderator:

Nirav Jimudia:

Kirat Patel:

Nirav Jimudia:

Kirat Patel:

Nirav Jimudia:

Udip Agarwal:

Nirav Jimudia:

Udip Agarwal: Alkyl Amines Chemicals Limited

November 06, 2024

Thank you. The next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

So, one question on the different amines which we produce, like methyl, ethyl, Monoisopropylamine. So, last time you mentioned that Monoisopropylamine didn't do well in FY '24 and because of which our volumes got impacted. So, if you can share your views on that, A, and B, how has been our new ethylamines plant operating at? So, has the utilization levels improved over FY '24 in H1 of FY '25, if you can share your views?

First question about the Monoisopropylamine, yes, the issues which we pointed out six months ago still continue. We haven't yet received any protection from the government against the

Chinese imports. We have applied very recently for protection, and we hope over the next maybe 9 to 12 months, we will get some protection. But till then the pressure on Monoisopropylamine will continue.

On the second question about Ethylamines, yes, the new plant is performing very well, well above our expectations, and in terms of ethylamines also the market seems to have improved compared to '24.

So, if you can share at what level of utilization rates they are currently operating at? Because I think the older plant we have closed and possibly could be used as a plant for at a later date possibly for Methylamine. So, what was the utilization rate currently and if you can also share about the market size in India for Ethylamines?

The market size in India is a bit difficult to say because there is exports, and our competitor is always there, but I would say it would be 30,000 tons in that region, maybe 25,000 to 30,000 tons. And utilization has been, as you know that the new plant is a very large plant, getting to, we have plenty of headroom in that plant still for the next, three to four years, we don't see any pressure on capacities at all.

And sir, on the Monoisopropylamine you mentioned that the volumes are still under pressure.

So, in terms of application wise, which of the industries it generally goes into?

Yes, major use of Monoisopropylamine is in the field of agro-chemicals, and little bit into pharma, but large chunk is into agro-chemicals.

Sir, you mentioned that we have clocked something close to around 17% volume growth. So, this was predominantly from the domestic market or had export volumes grown for us substantially because of which we have seen such sort of volume growth?

I think we see growth across both in domestic market also and in exports as well. So, it is a combination of both.

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UA QGs

Alkyl Amines Chemicals Limited

Nirav Jimudia:

Kirat Patel:

Nirav Jimudia:

Kirat Patel:

Nirav Jimudia:

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Sir, last two from my side. One on the scenario for raw material prices predominantly for Ammonia as well as for Ethanol. I think because of the current ongoing crisis in the Middle East and everywhere we have seen some strengthening in the prices for Ammonia. So, how we are placed here for Ammonia a

s well as how do you see the scenario emerging out of for Ethanol also?

Ammonia, you are right. There has been a little bit of pressure, and Ammonia is something which we cannot store. So, we are not able to cover for a longer period. So, we do expect a little pressure on ammonia because of whatever reason. But you know, these crises come and go. So, you may expect a slight bump in the price, and then they may also drop. So, as far as ammonia is concerned, we have planned almost month to month.

While Ethanol is concerned, currently the imports are cheaper than the domestic prices. And we have been covering them steadily as we go along, covering our requirements. And we are well covered for the next maybe six months or five months. So, that is the situation on Ethanol. Of course, the prices may change.

Sir, lastly on the cost side, in terms of efficiency wise, have we improved anywhere, let's say on the process side, or let's say on the operating cost wise, have we improved at any point of time which could be permanent to us and could lead us a permanent savings to our cost? So, anywhere if you can share your views or any initiatives which we are currently taking on in terms of controlling our operating cost by both by way of product innovation as well as by process innovation?

You know, this is a very complicated and long question because as you know, we have a separate team, which we call the process engineering group, which just focuses on improving yields and specific consumption for existing products. And this is little, little projects which go over a long period of time in saving small amounts of benefits in every product that we make, and this gradually comes into becomes permanent baseline for the next year.

So, every year we have been improving our yields and specific consumptions across products regularly. So, though they may not be very dramatic, there is every attempt to make both through the process engineering group and the R&D group trying to improve our cost structures from point of view of consumptions regularly. It is a constant practice. And in fact, we pride ourselves

that improving our yields on a year-to-year basis in all products.

Sir, last thing, if you can share the revenue mix for first quarter, like how much in terms of sector wise, how much from Pharma, agrochemicals, rubber chemicals, foundry chemicals, if you can give some overview in terms of our revenue mix for H1] of FY '25?

They haven't changed at all from our regular life sciences accounting for 65%-70% of our turnover and the rest all, as you can see from our website or wherever, it doesn't change dramatically. Even the domestic export sectors are more or less the same 80-20.

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UA QGs

Alkyl Amines Chemicals Limited

Nirav Jimudia:

Kirat Patel:

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Rohit Nagraj:

Kirat Patel:

Rohit Nagraj:

Kirat Patel:

Rohit Nagraj: Alkyl Amines Chemicals Limited

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Because you mentioned that agrochemicals were bit under pressure. So, I think that mix was being taken over by pharma in that Life Science division.

Yes, that's on a longer-term basis it's happening over a period of time. But it is, again, year-to-year. But they are still about 65%-70% of our turnover.

And sir, any update on the DEK plant? I think last year we operated with just 20%. And because it also finds application at agro level, has we seen some improvement there or the utilization rates improving there for DEK?

The utilization rate has not improved as much as we expected to, but going forward, we think it will improve even further. And hopefully, the worst period is over, and we are lot more optimistic on the product now than we were before.

Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Sir, first question is on the CAPEX front. So, just to get a perspective, obviously we will not be able to delve into mo

re details in terms of products, but are these overlapping product with our current set of products or are these new products? And just to get a perspective that whether these products, these are import substitutes and will not face competition as what has been faced by some of the other products because of China issues. So, just to get a broader understanding of the same.

As for the first question, it is not part of our existing portfolio. It's a new product. It is going to be manufactured in Dahej as has been stated in the SEBI notice. And what is the other part? Yes, it is an import substituted product.

Sir, during the first half, what has been the overall capacity utilization? And given that for this new facility, it will be taking anywhere between 15 to 50 months, would it, till that time, we will not have any challenges in terms of the existing capacities to grow us beyond, say, 10% plus over the next two to three years?

There are two parts to this. The existing capacities on average would be 65% to 70% utilization, but it varies from product to product. Some we have very tight where we will be de-bottlenecking and there is some CAPEX involved with that. But of the major products, as we have known the Ethylamines last year, we commissioned the huge plant. So, there is plenty of headroom in Ethyl. And similarly, the other products, we have some headroom. So, that is not, the investment between you talked about earlier is a completely new product. So, it will not detract from the existing line.

I just wanted to make sure that for the next two to three years from the existing capacity, we will be able to achieve the normalized volume growth.

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Alkyl Amines Chemicals Limited

Kirat Patel:

Rohit Nagraj:

Kirat Patel:

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Moderator:

Aman Chowdhary:

Kirat Patel:

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Aman Chowdhary:

Kirat Patel: Alkyl Amines Chemicals Limited

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Yes, barring some small amount in debottlenecking of a couple of products.

And this new facility, will it be coming in phases given that you have given a timeline of 15-50 months?

Yes, the first phase will be in about 15 months, and we are hoping that if the product does well within the next 3-4 years, we may have to debottleneck and expand the capacity.

And the technology is completely indigenous, or it will be a partnership?

Yes, it is also developed in our own R&D. As we have mentioned earlier that barring the initial technologies which we imported from America, all the products we have launched in the last 35-40 years have been with our own R&D and engineering efforts.

The next question is from the line of Aman Chowdhary from Motilal Oswal Financial Services.

Please go ahead.

So, with respect to the previous participant's question on this new CAPEX, we had also announced the CAPEX of around 250 crores to 300 crores in September '22, if I am not wrong.

So, this is a completely fresh CAPEX or it is a part of that 250 to 300 crores CAPEX that you had announced a couple of years back?

No, this is a part of that 225 crores project. The other part we are still on the R&D stage. This is one of the two lines of products which we were looking at that time. And in the meantime, of course, costs of plant and machinery have got up. So, I think that 225 crores was an underestimate. So, whenever it comes up, it will be probably more than that. But of course, it's been delayed a bit.

So, out of the five announced molecules or products in specialty chemicals or allied chemistry that we had announced a couple of years back, this is the second molecule after DEK that we would be commercializing in the next 15 months.

Yes. After DEK, this will be the second one after.

So, has the market improved in terms of demand, supply, margin realization or what is it that now we have taken this decision after two years? Because previously in all our interactions, we had

said that the market has declined, and that is why we are not going forward with the other four molecules as of now. So, just wanted to understand our thought process that now it has been finalized and the CAPEX is also quite big.

Yes, so as you mentioned earlier, we had said that two to three products, one was DEK, which we had launched already and are stabilizing it and looking forward to it doing well. The second product, which we are going to do in the next 15 months, which we have been talking about,

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Kirat Patel:

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Aman Chowdhary:

Kirat Patel: Alkyl Amines Chemicals Limited

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yes, the market has been strong. So, we feel that there is a good return to be made out of that product. And the other two, we are just holding our breath to see how the market goes before we take the plunge.

And those two products, are those two products the one that we had talked about in our fourth quarter Con Call FY '24 that an FID would be taken with a CAPEX of around 75 to 200 crores? Yes, I think that is the one we are talking about. Yes. So, we are holding back on some investments in the next two products.

So, is there still some time before we go and announce those two products?

Yes, it depends on the market, perhaps in the next six months, perhaps a little later.

And with respect to Acetonitrile, again, is our market share similar to what it was previously 50% to 55%? And secondly, again, on the utilization levels as well, is that also at 55%-60% it used to be in the past 3-4 quarters?

You are talking about Acetonitrile, right?

Yes.

Yes. So, I think the market share remains in that region. As earlier stated by, I think, Nirav, that the market is in the region of 30,000, and you can see that the imports are coming in from the Chinese. So, we are in that region.

And the utilization levels?

Well, we have two plants, one in Kurkumbh and one in Dahej, and we use them at maybe I think overall 60% I think capacities would be in that region.

And just on the export versus domestic needs, obviously it remains similar 80-20, but again in second quarter and in the first half of '25 also, was it on a similar level?

Yes, I think it is on similar levels. What happens is quarter-to-quarter, sometimes we are fulfilling one commitment to the export, so sometimes it goes to 21%-22% and sometimes it drops to 18%, but it is overall about 20% annually, 20%-21%. So, between quarters, there is not much, you know, it is not a significant change. Yes, we would like to push exports, but given the global situation, we don't want to push it too much.

And with respect to CAPEX, any guidance for FY '27?

FY '27?

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Aman Chowdhary:

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Dhruv:

Udipt Agarwal:

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Udipt Agarwal:

Dhruv:

Udipt Agarwal: Alkyl Amines Chemicals Limited

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Yes.

No guidance. We are too far off.

Thank you. The next question is from the line of Dhruv from HDFC Mutual Fund. Please go ahead.

Sir, the first question is, the pricing pressure that we see across some of our products, say, Ethyl or Acetonitrile or some of the other products, how much of that would you attribute to the general weakness in the market, say, for Alchem or for say some of the pharma molecules, and how much of that could be attributed to the overcapacities, probably that would have come up? I am just trying to dissect what are the key variables one should look for. I mean, is it the industry recovery or is it an oversupplied market? And until that becomes utilized, probably that pricing pressure continues.

Thanks for the question. I think it is more the later that the capacities in China are at a very, very high level, and thei

r own consumption is also not so high. And we also see the global agro-

chemical situation or global agriculture situation, which also has an impact on the overall demand. Yes, but I think it is more of a capacity issue right now and a little bit of inventory effect is still hangover, is carrying on.

So, this capacity issue is because they have set up new capacities which is, say, they were 100 earlier and they have increased it to 150, or is it because the demand itself is Agchem demand is weak, so hence they are not operating it?

Yes, I think it is more of a capacity expansion issue. There are overcapacities. They have put on more capacities in the last few years, and the demand has really not picked up too so that all those capacities are utilized, and we see such an immense pressure across the value chain. I mean, it is not only our kind of products, the other products also and our customers' products also we see this kind of pressure.

So, sir, if you have to take a very rough view in terms of how long will it take assuming we have seen how the Agchem market grows globally 3%-5% and pharma also grows at a similar rate. So, if you have to take a view when does these capacity utilizations come to a very normalized level so that the industry is able to enjoy reasonable margins. Also, assuming probably some capacities could close in some of the regions, probably U.S., Europe I am not sure. So, what is your sense in terms of some broad sense? I understand this could be very rough, but some sense of how long this could take.

As you already mentioned in your question, it is very hard to say how long it will take to get some kind of normalization to happen. But it also depends on quite a bit of other factors. You know the chemical industry, what is going on in some parts of the world.

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Dhruv:

Kirat Patel:

Dhruv:

Kirat Patel:

Moderator:

Kumar Saumya:

Kanchan Shinde:

Kumar Saumya:

Kanchan Shinde: Alkyl Amines Chemicals Limited

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Europe, for example, is having their own issues with respect to the large energy costs for agro-chemical and chemical production in general as well. And also on the same way, on the user side, they are pushing for more of the so-called green chemistry related products, eco-friendly products. Both these factors are putting immense pressure on the industry in terms of coming out with the new technology products which meet the new requirements on the greener side, but at the same time, the existing capacities remain underutilized because there is a subdued demand. It's very hard to say, but I don't know. I mean, I would be very happy to see if it happens sooner than later. But I think all our customers also of a major, our major agro-chemicals customers are also trying to answer the same question, how long it will take.

Sir, last question. I think in the last few calls, I have understood that your Ethylamine plant has seen a reasonable expansion and is not operating at the fullest optimum level for now, and it will grow in 3-4 years. But sir, how should we think of as the utilization improves, is there a meaningful efficiency gain that happens, say, for example, if you are operating at 50%-60% versus you operate at 80%? I am asking at a gross margin level. Probably at EBITDA level, of course, it will improve, but at the contribution level also, does it see a meaningful improvement? No, you have to understand how our plants operate. Our plants are campaign based. So, when they run, they run at 100% capacity, and then we shut down and start. So, there is no question of improvement in efficiencies as such. So, utilization occupancy keeps going up.

So, the stop and start is quick. It is not a meaningful drive.

Yes, it is quite. It is not a meaningful number, as long as the gap is long enough.

Thank you. The next question is from the line of Kumar Saumya from Ambit Capital. Please go a

head.

Just one bookkeeping question. What is the CAPEX outlook for this year and next year, sir?

This year it will be around 80 to 100 crores, and next year may be a slightly larger, about 100 to 120 crores may be.

And?

Sir, we have seen some improvement in the working capital side. So, should one expect working capital requirements to remain here or is it just for the first half of the business and we should wait for the full year?

Yes.

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Alkyl Amines Chemicals Limited

Kirat Patel:

Moderator:

Rohit Nagraj:

Kirat Patel:

Rohit Nagraj:

Kirat Patel:

Moderator:

Kirat Patel:

Kumar Saumya:

Kirat Patel:

Moderator: Alkyl Amines Chemicals Limited

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I think the working capital cycle, number of days of debtors, number of days of creditors and all have, I think, more or less stabilized, maybe an improvement marginally as volumes go, but nothing significant. I don't think there will be any change in working capital.

Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Sir, after this new CAPEX at Dahej, how much of our land will remain unutilized for our future CAPEX requirements?

We have land available in Dahej and in Kurkumbh. For at least another 2 to 3 years, I don't think we expect there to be any major issues. After that, perhaps we will have to look for a new land, but that depends of course on our CAPEX programs as we go along. But I don't think in the next two to three years we will require any more land. We have enough both in Kurkumbh and in Dahej.

So, including this new specialty chemicals...

Even after this new project which comes up, we will still have land available.

Thank you.

Kumar, it looks like, I think we are done with the questions. It seems to be we have answered most of the relevant questions which people have come up with. So, should we wind up the call now?

Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Thank you everybody for listening in to our Investor Call, and as we have mentioned earlier, we look forward to the future with cautious optimism and hopefully to get better volumes and better margins when we meet next. Thank you. Thank you for listening in.

Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: May 2025

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Alkyl Amines Chemicals Limited ¢
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COMMITHENTITO!SUSTAINABINE?

May 16, 2025

To,

BSE Limited The National Stock Exchange of India Limited

P. J. Towers, Exchange Plaza,

Dalal Street, Bandra Kurla Complex, Bandra - (E),

Mumbai - 400 001 Mumbai - 400 051

SCRIP CODE: 506767 SYMBOL: ALKYLAMINE

Sub.: Submission under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015 - Submission of transcript of earnings conference call

Dear Sirs,

With reference to our letter dated May 6, 2025, please find enclosed the transcript of the earnings conference
call held on May 12, 2025.

Kindly take the same on your records.

Thanking you,

For Alkyl Amines Chemicals Limited

Chintamani D. Thatte ' ¢

General Manager (Legal) & Company Secretary \ ' ¢

& Compliance Officer

Encl.: As above

Corporate Office: 207 A, Kakad Chambers, 132, Dr. Annie Besant Road Worli, Mumbai - 400 018. INDIA

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UA QEF

Alkyl Amines Chemicals Limited

"Alkyl Amines Chemicals Limited 4QFY2025 Earnings

Conference Call"

May 12, 2025

AMBIT «Gs

Alkyl Amines Chemicals Limited | Acumen at work

MANAGEMENT: MR. UDIPT AGARWAL — CHIEF COMMERCIAL

OFFICER, ALKYL AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE — GENERAL MANAGER

(LEGAL) AND COMPANY SECRETARY, ALKYL AMINES

CHEMICALS LIMITED

MRS. KANCHAN SHINDE — CHIEF FINANCIAL OFFICER,

ALKYL AMINES CHEMICALS LIMITED

MODERATOR: MR. KUMAR SAUMYA — AMBIT CAPITAL PRIVATE

LIMITED

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UA QGs

Alkyl Amines Chemicals Limited

Moderator:

Kumar Saumya:

Udipt Agarwal: Alkyl Amines Chemicals Limited

May 12, 2025

Ladies and gentlemen, good day, and welcome to Alkyl Amines Chemicals Limited 4QFY25

Earnings Conference Call, hosted by Ambit Capital Private Limited.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during this conference call, please signal an operator by pressing the "*", then "0" on your touch
tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you and over
to you, sir.

Thank you, Steve. Good afternoon, everyone. Welcome to 4Q Earnings Conference Call of

Alkyl Amines Chemicals Limited.

From the Management we have with us, Mr. Udipt Agarwal — Chief Commercial Officer, Mr. Chintamani Thatte — General Manager (Legal) and Company Secretary, Mrs. Kanchan Shinde — Chief Financial Officer.

I will now request the Management for an opening remark, post which we will open up the floor for Q&A. Thank you. Over to you, sir.

Thank you, Kumar. This is Udipt Agarwal here. Good afternoon, everyone, for joining our call today for our 4Q and annual performance review.

Let me begin by giving a few opening remarks about the year that has just gone by, and then we will open the conference for detailed question and answers.

As you might have seen in our results, we had modest growth in the top line. But there has been significant growth in our volume numbers. But because of the price drops, we see the partial impact coming into our top line. The good thing is that parallelly also the prices of the raw materials also have been going down, so that also has a carryover effect in our margins as you see it. So, the overall results are a mixed bag. I would say, although there is a volume growth, at the same time the pressure on prices continues.

On all our major products, projects are moving forward as planned. As we announced last year, so all the project, this new projec

t at over Dahej site is moving as planned. We expect mechanical completion to be over by December of this year or January next year. So we will see the impact of that in our numbers in the next financial year.

I think we will have more and more clarity, and we will have more discussions, and I will open the floor for the question-and-answer now.

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Alkyl Amines Chemicals Limited

Moderator:

Devansh:

Udipt Agarwal:

Devansh:

Udipt Agarwal:

Devansh:

Moderator:

Rikin Shah:

Kanchan Shinde:

Rikin Shah:

Udipt Agarwal:

Rikin Shah:

Udipt Agarwal: Alkyl Amines Chemicals Limited

May 12, 2025

Thank you. We will now begin the question-and-answer session. The first question is from the line of Devansh, an individual investor. Please go ahead.

Wish you a very good afternoon, sir. And good results in Alkyl Amines. Can you please throw some colors related to anti-dumping duty on acetonitrile and something related to it? Thank you.

Yes. As we all know, the Ministry of Commerce department DGTR, Director General of Trade Remedies announced the imposition of the anti-dumping duty on product acetonitrile originating from certain regions and countries. But this is just an announcement from DGTR. After this there is another process which is with the Ministry of Finance and that is still to be completed.

The Ministry of Finance typically has 90 to 100 days window after the DGTR recommendations. So the impact of that is not there as yet on our business. But you are right, there is an imposition of anti-dumping duty on acetonitrile.

Are anti-dumping duties imposed or not? And this is just investigation running on or did you get the anti-dumping duty by government?

The investigation was completed by DGTR, Director General of Trade Remedies. They made a recommendation, and the Ministry of Finance has to approve it now.

Okay, sir. Thank you.

Thank you. The next question is from the line of Rikin Shah from Boring AMC. Please go ahead.

Hi, team. Thanks for taking my question. If we can help break down what kind of pricing pressures are we seeing and volume growth have you seen this quarter?

So this quarter volumes are more or less stable around 4% to 5% growth compared to previous quarter. But compared to corresponding previous year quarter, there is significant growth of around 15%. And prices now more or less remain stable. Compared to last year prices have dropped, but compared to the previous quarter the prices are stable. Margins are also stable; you can see stable EBITDA margins of around 21%.

Sure. So, is the pricing pressure more to do with the dimethylamine component or is it a broad basket-based pricing we are seeing the pressure?

It is I think across some product groups more, some product groups less. Ethylamines and methylamines, because of the demand supply situation, are more under pressure. Acetonitrile, because of the continued dumping from China.

Okay, alright. That's all from my side.

Yes. Thank you.

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UA QGs

Alkyl Amines Chemicals Limited

Moderator:

Nilesh:

Kanchan Shinde:

Nilesh:

Udipat Agarwal:

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Nilesh: Alkyl Amines Chemicals Limited

May 12, 2025

The next question is from the line of Nilesh from HDFC Securities. Please go ahead.

Yes. Good afternoon, sir. Sir, in our previous conference call you mentioned that the volume growth was about 8% to 10% in the first half over FY '25. Can you guide us how much was the volume growth for the full year FY '25?

Around 13%.

Okay. And top line growth was 9%, so pricing pressure I can see that about 4% because of the value, right?

Yes.

So where you can witness pricing pressures, is it in your specialty product or the ethyl or methyl chain?

It is more so in ethyl chain and methyl chain because of the demand supply situation. And that's really driving the prices down. And acetonitrile, we did not see any change in term

s of the prices.

China continued to dump and prices kind of remain very stable at a low level. Marginal difference of few rupees plus/minus, that does not have any significant impact on the overall situation. I was saying that acetonitrile prices remain more or less stable, however, at a very low level.

Okay. And sir, as you mentioned that in methyl and ethyl amines there are pressures. Particularly in methylamine space, is it because of the capacity addition in the domestic market or is it because of the China dumping?

Methylamine as a product cannot be transported to long distance or exported, so it is primarily because of the local situation what we have here in India. So methylamine is not imported into India from China. What we get impacted methylamine is because of the agrochemical demand. So, some of the agrochemicals are being imported into India from China, and some of the derivatives are also being imported into India from China. So that is creating a little pressure upstream on the base methylamine margin.

Okay. And how do you see FY '26 in terms of prices for all three categories of your product basket?

I think methylamine and ethylamines will continue to have a similar situation. We will see how the acetonitrile plays out post the imposition of the anti-dumping duty, the impact of which we expect that should be sometime in financial year Q2, second part of Q2.

Just an update on your CAPEX, how the CAPEX is moving, the product launch, at what stage the ongoing CAPEX is planned or the plan is?

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Udipat Agarwal:

Nilesh:

Udipat Agarwal:

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Udipt Agarwal:

Moderator:

Bhargav:

Udipt Agarwal: Alkyl Amines Chemicals Limited

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As I mentioned in the beginning, the announced CAPEX are moving forward as planned, so there is no change in that. Last year, we announced a CAPEX of about Rs. 110 crores to Rs. 120 crores for a new product at Dahej site, so that is ongoing. Other than that, there are few other projects which are in the pipeline, but we have not decided as yet on the timelines of those. And the amounts are still also being finalized. So we will be announcing as and when we are ready. Okay. And just last bit, can you tell us about the ethylamine demand supply in domestic market overall?

Nilesh, as you know, you have been following our company, and as you know, I mean, there are two major segments of the ethylamines demand, one is the pharma and the other is the agrochemical. So pharma side demand seems to be a little bit stable. Agrochemicals, it's up and down. Well, it's a mixed situation, but more or less I would say is that there is a very small marginal increase in demand over the years. That's on the demand side. However, on the supply side, I mean, you know it that we had expanded our capacity with the new plant in the previous financial year '23-'24, so we have a new plant with the capacity. And other competitors also had their existing capacity. So at this moment it's an oversupplied situation in India.

Okay. In terms of can you quantify how much is the demand as per your assessment, domestic demand?

We see a demand which is somewhere, I mean, I can give you a range, it depends on how you look at it, because there are few derivatives also. And we generally also do not comment on the capacities and demand numbers. But directionally speaking, since you have asked it, somewhere around I would say 25,000 tons, 30,000 tons per year.

Yes. Thanks a lot, sir, for patiently answering all my questions. And best of luck.

Welcome.

Thank you. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Thank you very much for the opportunity. Sir my first question is that if the DGTR recommendation on acetonitrile anti-dumping duty goes through, then is it fair to assume that there could be an increase in realization in the range of around 1

5% to 20%?

Hard to say, honestly speaking. As you read the recommendations of DGTR, I think the lowest is \$205 or \$207 per metric ton, and highest goes to \$480 per ton. But I think floor gets settled at the lower end, generally, in the commoditized semi-specialties markets. We also have to see after this once the Ministry of Finance accepts the recommendation, how is the approach of the other importers into India, I mean, primarily the Chinese. I mean, what is their philosophy around

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Bhargav:

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pricing. So we will have to play, and we have to wait and watch how it will play around. But overall, it should help us to improve our position in the market, I would say so.

What is the current pricing for us in acetonitrile?

Our current pricing is similar to as what we had said in the last call also, around Rs. 140 to Rs. 150.

Okay. And secondly sir, we believe that this demand for GLP drugs is now rising, is it fair to

say that every ton of GLP drug will require about 15 times acetonitrile?

This is true that the demand for these kinds of molecules is rising, these kinds of applications in the pharmaceutical industry is rising, no doubt about it. More and more pharmaceutical companies are trying to enter into this market segment, which seems to be very lucrative. This is early, still early stages. People are talking about or the customers of ours are talking about significantly higher volumes in this area. At this moment, we are also trying to assess whether it is really like this as you described, I mean, multiple times the demand. But I also understand that let's be optimistic about it. But at the same time, we also know that as the drugs go generic in nature, there is also a process engineering which happens. And the prices of the finished goods also come down resulting in the raw materials as well, pressure comes on to the raw materials as well. But directionally, yes, your information is correct, there is a larger demand or upcoming demand in these kinds of applications.

And basically we are in touch with those customers as well, right? I mean, meaning once the opportunity for active buyers we will also be benefited?

Yes, true.

Okay. And does our name also feature in the filing so that there is some entry barrier or no?

I mean, can you come again?

Meaning these GLP drug manufacturers, do they have to sort of disclose to someone that they are buying acetonitrile from a particular company, or it does not work like that?

Again, answer is yes and no. If it is for the innovator, producing it for innovator, they probably might have to specify. These are basically key raw material suppliers or key solvent suppliers, which is generally there. I mean, when you file a drug master file, DMF they call it, if you are included you are included there and then the name is there.

Okay. Sure. Great, sir. Thank you very much and. All the very best, sir.

Thank you.

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Moderator:

Rajeev Rupani:

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Udipt Agarwal:

Moderator:

Mehul: Alkyl Amines Chemicals Limited

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Thank you. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Yes, sir. Thanks for the opportunity. Sir, I had a question. The US has placed the tariffs on China for many goods, so I would like to understand, is there additional pressure or dumping by China to India for our products? Could you please clarify?

The US tariff situation is an evolving situation. So what will happen in July, we do not know at this moment, right. But to answer your question, the second

part which is more interesting and

more relevant for us is, impact on us with respect to China dumping more into India. In our kind of product, we have not seen that as yet. But depends on what happens in the next couple of months in the US. But at this moment, no, we have not seen that impact. But the speculation, the theory is right, I mean, if China would be less and less competitive in U.S. market, all those capacities need to find a new home. And India, which has already been a dumping ground for the international producers, I expect the intensity to increase.

That was helpful. And my next question was, the products which you are going to introduce in the future, would we be the only producer in India for those products?

There are other producers, but with smaller capacities.

Okay. And my last question is, this PLI scheme for pharma, which the government has announced, so when does that benefit accrue to us in the future?

We are not into the pharmaceutical industry, so it is our customers who might get some benefit from it. So we are a raw material supplier to the pharma industry.

Okay. Thank you.

And there is, as yet I do not think there is any PLI scheme for the chemical or specialty chemical industries. It has been in the works for the last so many years, we have been hearing about it but nothing concrete at this moment that we are aware of.

Okay. Thank you.

Thanks, Rajeev.

The next question is from the line of Mehul from 40Cents. Please go ahead.

Hello sir. Thank you so much for the opportunity. Sir, I have a question on the earlier question about new products. Sir, what are the products which we are going to manufacture, the new products?

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Mehul:

Moderator:

Rudraksh Raheja: Alkyl Amines Chemicals Limited

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As a policy, we do not announce it. So of course, some of the customers where we have tested it know about it. But as a policy, we do not announce it. When the product is ready and we start selling, we will be announcing it.

Okay. And what are the timelines like for the new products?

As I said, the CAPEX is going on and we expect mechanical completion in December this year or early January 2026. Post that, we would be launching the products in the market. So we will see some impact of that showing up in the next financial year.

Right. And sir, in the earlier discussion you mentioned about that the tariff situation is evolving as we all know, but you also mentioned that we will know in July. So please pardon my ignorance, but can you just share what are you referring to when you said July?

Yes, July because there was an announcement from the US side that the window is for 90 days or 100 days and that period was ending in July. That's what the time frame I was referring to.

This is emerging information, and which may change at any point in time. I mean, we heard about a new trade pact between or new deal between China and US yesterday. So the situation is evolving, as I said, every day seems to be a new day.

Yes, we are in a very dynamic world in terms of geopolitics.

Yes.

Sir, on the question on the CAPEX for the new products, so which site you are having the CAPEX being done on which site of Alkyl Amines?

In Dahej.

And I am just new to this company, so how many sites do we have other than Dahej?

We have three sites. The company started manufacturing products at site called Patalganga which is on the outskirts of Mumbai. Second site, which is the largest, also is in Kurkumbh, MIDC Kurkumbh. And the third one is in GIDC, Dahej.

Okay, sir. Thank you so much. And all the best.

Thank you. The next question is from the line of Rudraksh Raheja from iThought Financial Consulting. Please go ahead.

Thank you for the opportunity, sir. I am very new to business so pl

ease bear with me. Sir, what

would be our capacity utilization across different plants?

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Udip Agarwal:

Rudraksh Raheja:
Kanchan Shinde:
Rudraksh Raheja:

Moderator:

Rajeev Rupani:

Udip Agarwal:

Rajeev Rupani:

Moderator:

Kumar Saumya:

Udip Agarwal:

Kanchan Shinde:

Kumar Saumya:

Kanchan Shinde: Alkyl Amines Chemicals Limited

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Average is around 60% to 70% across all the plants. Some are in the range of 80% to 85%, some are between 50% to 55%, but the average is 60% to 70%.

And this is also a little bit could be different, because if you are talking about at the finished goods level, it could be a little different because so many products which we also derivatized, for example methylamine we also derivatize, right, so there the base utilization would be different. So that's why Kanchan mentioned that it at an average level. The utilization is in that range.

On an average, at best what would be our highest utilization level?

Around 85%. Some plants 80%.

Understood, understood. Thank you.

Thank you. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Yes, sir. I had a follow up question on the new products. So could you just at least guide us on the new products, is it going to be on the specialty chemical side or there are derivatives of amines?

That's more on the specialty chemical side, Rajeev.

Okay. Thank you.

Thank you. The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Hi, sir. A couple of questions from my side. This year every quarter the EBITDA margin has been in the range of 18% to 20%. So do you see the range for improvement in the next fiscal? EBITDA margin in the range of?

Yes, EBITDA margin is 21%. Last year it was around 19%. So our average, if you see in the past, it is around 20% to 21%. So we are like now stabilized at that.

Do we expect to improve to around 21% on net in the next financial year?

Difficult to say, but at present we do not foresee, because the pressure on prices continue to remain as in past year.

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Kanchan Shinde:

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Moderator:

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Moderator:

Bhargav: Alkyl Amines Chemicals Limited

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Got it. And then about the CAPEX, where is the total CAPEX apart from that Rs. 100 crores

Dahej CAPEX, do we have any more CAPEX that we are planning to do this fiscal?
It is around Rs. 150 crores, so that is from carry forward projects from past year also and some new projects in current year, so around Rs. 150 crores we forecast for next year.

And this includes Rs. 100 crores at Dahej, right?

Right. So for out of Rs. 100 crores, we have already spent something in last year also.

Yes. And then this year what was the total exports?

This year, what was?

Total exports.

Exports generally it is around 20% of the total sales. 20:80 generally it has continued to remain.

Right. Okay. Thank you, ma'am. I will come back in the queue.

Thank you.

The next question is from the line of Devansh, an individual investor. Please go ahead.

Hello. Sir, just wanted to ask about it's a bottom for the cycles because I just noticed that promoter group project trading company is buying your shares from open market because it's a good sign to add quantity at that price. Can you please share some thoughts on it?

It's difficult to say in market what is the bottom level, you never know.

Ma'am, sorry to say, but as you mentioned sometimes you are getting anti-dumping duty and this will directly impact your margins too, and impact on volume growth too.

We already spoke about the volume growth and overall growth in the coming years.

Okay, ma'am.

Thank you.

Thank you. The next follow-up question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Yes, I just wanted to know one thing that what is the probability that the Ministry of Finance may reject the DGTR recommendation? I mean, in your past instances, is there any case where it has happened?

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Vatsal Shah:

Kanchan Shinde:

Vatsal Shah:

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Yes, it has happened in our case also when we had the sunset review for our product monoiso propylamine. That time Ministry of Finance, it did not go through the Ministry of Finance. So there have been instances, but we also see that of late quite a number of most of the cases are also going through Ministry of Finance. So, Ministry of Finance generally accepts the DGTR recommendation, that's what I am trying to say.

Okay, great. Thank you. Thank you so much.

But we have to keep our fingers crossed till the time final notification from Ministry of Finance is out and available to everybody.

And sir, does the pricing immediately improve or would there be some low-cost inventory also in the system, so once that inventory gets absorbed, just to get some sense?

I think every time there would be an inventory impact, for sure, yes. And let's not forget that it will not only help us, same conditions are also applicable for other producers of acetonitrile in India.

No, no, sir I was referring more to the Chinese dumping, which they do. So is it that before this anti-dumping duty announcement they would preempt it and flood the market, from that perspective?

I think there would be some inventory effect.

Okay, understood. Thank you. Thank you very much, sir.

Thank you. The next question is from the line of Vatsal Shah from Kingstone Capital Management. Please go ahead.

Hi. Thank you for taking my question. I wanted to ask the split between amine, amine derivatives

and specialty chemicals from a revenue point of view.

Around 50% is from amines and 30% is from derivatives, and around 18% to 20% from specialty chemicals.

Okay. And from what I understood was, from amine and amine derivative side, the problem is on the oversupply situation in local market, and specialty chemicals the problem is for anti-dumping duty, is that correct?

Amines and amines derivatives, the base amines which is the methylamine and the ethylamine, there is an oversupply situation, yes. And specialty products if you look at it, we say that there's a margin pressure because of dumping from China. But at the same time, if you look at our

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revenue shift, or revenue growth, it's also similar across all three segments. So we are growing across all segments, amines, amines derivatives and specialty products.

No, I was trying to gauge the situation more from the point of view of recovery. So if there is an oversupply situation for amine and amine derivatives, so like for how long will it persist?

Yes, the major oversupply situation is in the amines, yes, which is the methylamine and ethylamines, base amines. And there is a significant over-capacity. But we also have to keep this in perspective that when we build these plants, these plants are built for long term. Because these are large capacity process plants, it's difficult to put smaller capacity plants every two years. So, everybody who puts up these kind of plants, they plant it for the future, not for the short term demand. So from that perspective, I think it will take a while for the capacities to be a

bsorbed in

the domestic market.

Got it. And can you also share the amine and amine derivatives industry growth rate, like what is the current industry growth rate?

We primarily find applications in pharmaceuticals and agrochemical applications, and there you know how the requirement has been growing. I am not talking about the formulations, that grows at a decent rate, so that's typically 6%, 7%, 8%.

Got it. And volume wise, we are looking for around 10% in the next two years?

Yes, we are looking at a double-digit volume growth.

Okay. Thank you so much.

Thank you.

Thank you. The next question is from the line of Rajeev Rupani, please go ahead.

Yes, sir. I had a follow-up question on ACN, acetonitrile. Sir, what I believe is our competitor is commissioning 60 metric ton a day plant of ACN, which will be commissioned by FY '25-'26. And the domestic demand is about 30,000 to 35,000 tons. So what do you think will be impact on the price of ACN when their plant comes up, will we suffer some price damage and capacity utilization will be less for us?

Depends on the timing of the capacities which come into the picture. But if you look at the basic rule of demand supply, if there is an oversupply situation in the market, yes, then it has an impact on the overall profitability of all the industry players, it's not only us. So that principle does not go away anyway. As and when somebody expands or new capacities come on stream, this kind of phenomena is observed in the market.

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Udip Agarwal:

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Udip Agarwal:

Vatsal Shah:

Moderator:

Kumar Saumya:

Udip Agarwal:

Kumar Saumya:

Udip Agarwal:

Kumar Saumya: Alkyl Amines Chemicals Limited

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Thank you.

Thank you. The next question is a follow-up question from the line of Vatsal Shah from Kingston Capital Management. Please go ahead.

Yes. Thank you for the follow-up. So there was a news about Aarti Drugs backward integrating into some of your products. So, is Aarti Drugs a significant customer of yours or like what will be the impact from them backward integrating into methylamine?

There is a news which we are also following up, we are also tracking at what point in time they would be able to come in the marketplace. So we will see as and when it happens. But methylamines may sound simple product, like it's a one-step reaction of alcohol plus ammonia, but it is not so simple to produce. Of course, since they have invested into it, they will learn and come on stream. But again, the same logic applies here as well, whenever there is a new capacity and market becomes oversupplied, there is a pressure on the margins.

Got it. And like, are they a significant customer of ours or it is negligible?

I would not say significant, but it's not negligible either. They have a decent demand, I would say, but there are other customers who have similar demands.

Okay, alright. Thank you.

Thank you. The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Hi sir. Sir, just one question, during the quarter how was the demand, particularly for this quarter, was it similar to what we saw in the last nine months or some new development or some underlying demand trends a little different that we are seeing?

In this particular quarter, I would say, the demand was slightly on the lower side, market demand. But that is not because of any kind of fundamentals changing or any macro indicators. It was more because of certain customers were down, and they were not able to produce, and/or availability of other raw materials, from that standpoint. But not because of any fundamental change in the market, which can happen in any quarter. I would say, the underlying still remains the same, no deterioration in the fundamentals.

And sir these customers that you are talking about, were they from pharma segment or agro

chem

segment?

I would say more on the specialty chemicals segment.

Okay. Got it. And are they back to normal or are they still struggling?

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Kumar Saumya:

Moderator:

Rajeev Rupani:

Udip Agarwal:

Rajeev Rupani:

Moderator:

Sim prit Singh:

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Kanchan Shinde:

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No, I think they are back. That's why I said, I mean, there's no change in the fundamentals of

this.

Got it. That was very helpful. Thank you.

Thank you. The next question is from the line of Rajeev Rupani. Please go ahead.

Yes, sir. I had a follow-up question. By when do you think this pricing pressure on ethylamines and methylamines goes away? Since you and your competitor have a good capacity, so how much time do you think will it take for capacity utilization to improve and the prices to improve, a year or two, or three years, could you please guide us?

Maybe a little longer. I wish it happens sooner, but it all depends on the demand development.

At this moment, if you look at the capacity, there's massive over capacity. So one of your participants in the call also mentioned, the Aarti Industry or Aarti Drugs impact, so market is going to remain long in the next few years.

Thank you. That was helpful.

Thank you. The next question is from the line of Simprit Singh. Please go ahead.

Hello, sir. I have a question about capacity utilization, can you list what is the capacity utilization currently for our plants?

Repeat your question, your voice was not very clear. I think your question is more related to the capacity utilization of our plants, right?

Yes, sir.

So it's around 60% to 70% average utilization.

Okay. And one more question, like recently promoters are buying the stakes, so are both considering any buyback or any form of reward for the shareholders?

No, we are not aware about any of this.

Okay. Ma'am, one feedback,. This time I did not see any investor presentation on the website or on exchange. So that's the only way for small shoulders to reach the management or see the presentation.

By tomorrow maximum the presentation will get updated.

Okay, ma'am. Okay. Thank you.

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Moderator:

Udipt Agarwal:

Moderator:

Devansh:

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Sim prit Singh:

Kanchan Shinde:

Moderator:

Udipt Agarwal:

Kanchan Shinde:

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Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Thanks everybody once again for joining the call, listening in and spending the time with us. I hope we have been able to answer some of your queries. And we look forward to your continued support in the future as well.

I am sorry to interrupt, sir. There's a question.

Yes, please.

It's from the line of Devansh. Please go ahead.

Sir, just wanted to ask, any guidance regarding for this FY '25 or maybe you can guide some volume expectations or your views on your demand and supply.

So, we expect double digit growth in next year around 10% to 15% which we have been achieving. So on volume growth, it will remain. Prices, we will continue to have some pressure on prices, but let's see. It's too early to comment on how prices will move.

Yes, got it. Thank you so much. All the best for your upcoming results.

Thank you.

Yes, sir. There are no questions, you can carry on with your closing comments.

I was saying just thanks to everyone for listening, and looking forward to the continued support. I just now mentioned, we remain optimistic for the future, but at the same time gearing ourselves for the challenges ahead. So, cautiously optimistic approach as we move forward into the next year. The good part

is that our customers are growing, the market is not going anywhere. The opportunity in India is large enough for us to be able to drive the growth. And with this again, thank you for listening in and thank you Ambit.
Thank you, everyone.

Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

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Alkyl Amines Chemicals Limited Vv,

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Tel.: 022-6794 6600 ® Fax: 022-6794 6666 * L-mail : alkyl@alkylamines.com * Web: www.alkylamines.com SRST RETRO
November 12, 2025

To,

BSE Limited The National Stock Exchange of India Limited

P. J. Towers, Exchange Plaza,

Dalal Street, Bandra Kurla Complex,

Mumbai — 400 001. Bandra (E), Mumbai — 400 051.

SCRIPCODE: 506767 SYMBOL: ALKYLAMINE

Sub.: Submission of Transcript of earnings conference call under Regulation 30 of

SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sirs,

With reference to our letter dated October 31, 2025, please find enclosed the transcript of the earnings conference call held on November 6, 2025.

Kindly take the same on your records.

Thanking you,

For Alkyl Amines Chemicals Limited

Chintamani D. Thatte

General Manager (Legal) & Company Secretary
& Compliance Officer

Corporate Office: 207 A, Kakad Chambers, 132, Dr. Annie Besant Road Worl, Mumbai - 400 018. INDIA

Tel: 91-22-2493 1385, 6748 8200 © Fax: 91-22-2493 0710 * CIN No: L99999MH 1979PI.C0217906.

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“Alkyl Amines Chemicals Limited 2QFY'26 Earnings
Conference Call ”

November 06, 2025

MANAGEMENT : MR. KIRAT PATEL - EXECUTIVE DIRECTOR , ALKYL
AMINES CHEMICALS LIMITED

MRS. KANCHAN SHINDE - CHIEF FINANCIAL OFFICER ,
ALKYL AMINES CHEMICALS LIMITED

MR. CHINTAMANI THATTE – GENERAL MANAGER
(LEGAL) AND COMPANY SECRETARY , ALKYL AMINES
CHEMICALS LIMITED

MODERATOR : MR. KUMAR SAUMYA - AMBIT CAPITAL PRIVATE
LIMITED

Alkyl Amines Chemicals Limited

November 06, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to Alk yl Amines Chemical s Limited 2QFY '26
Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode , and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now like to hand over the conference to Mr. Kumar Saumya. Thank you, and over to you, sir.

Kumar Saumya: Thank you, Shalini. Good afternoon, everyone. Welcome to the 2nd Quarter and 1st Half FY '26 post-result conference call of Alkyl Amines. From the management, we have with us Mr. Kirat Patel, Executive Director, and Mr. S. Kanchan Shinde, Chief Financial Officer.

I will now hand over the call to management for an opening remark, post which we will open the floor for Q&A. Over to you, sir.

Kirat Patel: Thank you, Kumar. Good afternoon, everyone. This is Kirat Patel from Alkyl Amines Chemicals, and welcome to our half-yearly investor call. I will just begin by giving you a little overview of the half-year, and then we will open the floor for questions.

So, this first half-year has been a little subdued because of demand pressures, and though our volumes have been marginally up, the topline has been flat because prices have been subdued. However, we have been able to manage the margins to retain our profitability. This is, of course, partly due to the pressures, geopolitical pressures, because of the actions that the US government has taken over the last six months. These have impacted us in various ways. The first one, our direct export to the US has affected, then our customers having been affected because of the demand being affected because of US exports. The impact on the Chinese, who have become more aggressive as our competitors, and affecting our domestic market. And finally, the sanctions on some of our distributors in India who are part of our supply chain. So, we have been affected in four ways by these actions of the US government, and to some extent, this is the cause of the demand slackness.

So, with these opening remarks, I will open the floor for questions. Kumar, can you start the question and answer session, please?

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Nirav from Anvil Wealth. Please go ahead.

Nirav: Good afternoon, sir. I have a few questions to ask.

Kirat Patel: Good afternoon, Nirav.

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Nirav: Sir, last year, FY '25, we had seen a volume growth of close to around 13%. Just wanted to understand from you, what was the volume growth in this first half? And any indication of volume growth, which you can share for FY '26?

Kirat Patel: Nirav, the first half volume growth has been just marginally up from last year, compared to H1 of both years, slightly higher than last year. But looking forward also, we feel that it is not going to be what we had expected at the beginning of the year, which is our normal 10% to 15% growth, which we normally expect every year. So, I think this year, the volume growth will be subdued because of the various factors I had mentioned a little earlier.

Nirav: So, sir, is the impact predominantly coming from the methylamines part, or is the ethylamines chain also impacted?

Kirat Patel: No, the impact on the methyl amines is more than the ethylamines. The ethylamines are not that much impacted because ethylamines are largely focused domestic ally, and the competition here is domestic. So, whatever impact it has on the domestic competition is marginal. Yes, it is impacted to the extent that our c

ustomers, our Pharma customers, and other customers do have some impact on their demand globally. So, there is some impact on volume sales of Ethyl, but it is not as much as the Methyl.

Nirav: And, sir, in terms of both these categories, where was the contribution margin per kg that was majorly impacted? Was it more on the methyl amine side or was it more on the ethylamine side, and because of which, possibly even on a YOY basis, there is a dip in our operating profits?

Kanchan Shinde: It was more on ethylamines because the ethylamines market, the prices, selling prices have gone down. But, methyl, we have lost volumes. Contribution per kg, yes, it is ethyl.

Kirat Patel: But on the whole, I think our contribution has been fairly protected.

Kanchan Shinde: Overall contribution is protected. Gross margins are almost stable.

Nirav: Got it. And, sir, if you can also walk us through in terms of the current market size for methylamines and ethylamines in India.

Kirat Patel: See, the methyl amine merchant market and there is, as you know, all three companies manufacturing are also self-consumers to the extent of between 20% to 40% of their own production. And now we have a fourth player coming into the market, Aarti Drugs, which has just commissioned its plant and will soon be in the market. So there is certainly an overhang in capacity. All of us, Balaji, RCF, and Aarti, will have an overhang of capacity. So methylamines is going to be a long item for some time to come yet. And I mean, it is very difficult to predict how much is self-consumption and how much is the market. But I would say that the total market between all four of us would be about 80,000 to 90,000 tons, and there is a capacity of more than

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1,50,000 tons in the market, which can all come on stream. Balaji has one plant, which is kind of a standby. We have a plant on standby. Similarly, RCF has one, and Aarti is just starting off.

Nirav: And for ethylamines, it is close to 30,000 tons -35,000 tons. Is that the correct assumption?

Kirat Patel: Yes, possibly in that region.

Nirav: Sir, two more questions. So one of the newer products, which we spoke about last time, is expected to be launched by this December. So if you can share your thoughts here, like in terms of the total CAPEX for that product and whether it is an import-substitute product. Let us say what sort of sales could be expected out of this newer product when the ramp-up would start happening?

Kirat Patel: So this capital expenditure is going on in Kurkumbh, and we expect the mechanical completion to be somewhere between February-March of 2026, with commercialization in the first quarter of 2026-27. The capital expenditure, as we had earlier stated, is in the region of about Rs. 120 crores. And we hope that it is a profitable product, and at the moment it looks quite good. Of course, given the fact that the market is changing so rapidly with the Chinese and all, but we feel that our technology will be superior to that, and we will be able to maintain this. This product goes largely into dyes and pigments, electronics, and other uses. Import-substitute; there is nobody in the country making this.

Nirav: Got it, and what sort of asset turnover can we assume out of this capacity?

Kirat Patel: About 1.5 turnover, it is, turnover-to-asset ratio.

Nirav: Got it, Sir, the last question from my side would be on acetonitrile. Since the anti-dumping duties have now been imposed on, and given the kind of Indian market of 30,000 -35,000 tons, where imports were close to around 40% as per our discussions in the earlier calls. I just wanted to have your thoughts here in terms of how we are in terms of A, the improvement in capacity utilization, and B, have the prices slightly improved in terms of the duty benefits accruing

to us?

Kirat Patel: So, Nirav, this anti-dumping duty came into effect at the end of June, and just before that, there were a lot of imports coming into the country in anticipation. So if you see the quarter before that, the imports were almost 1.5 to 2 times what they were normally there. Now all that inventory is going through the system. So in this quarter of July to September, we have had to wait a bit. Yes, prices have improved marginally, but at the same time, the market is also reacting with the Chinese dropping the prices further. So at the moment, we have not got the full benefit of what we have as an anti-dumping duty. But going forward, we expect to get both in terms of price and in terms of market share; we hope to do better.

Nirav: Got it. And can this run rate start improving from the 4th Quarter onwards, or should we take next year as a good assumption in terms of improvement in volumes for acetonitrile?

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Kirat Patel: Well, it is a bit uncertain, but I think the fourth quarter is a good estimate to start with. Fourth quarter onwards, we will see real benefit coming in. Mainly volume. Prices of course, right now the Chinese are very aggressive all over the place for all chemicals. So it is a bit difficult. But yes, volumes, I think, 4th Quarter onwards, we may see some impact.

Nirav: Thank you so much, sir, and wish you all the best. I will join back if I have any further questions.

Kirat Patel: Thank you.

Moderator: Thank you. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani: Good afternoon, sir. My question was on ethylamine. So what is the current capacity utilization for us in ethylamine?

Kirat Patel: You are talking about ethylamines, right?

Rajeev Rupani: Yes, ethyl.

Kirat Patel: So if you recollect, we had commissioned a plant about a year and a half ago for about 30,000 tons, anticipating that this would give us enough capacity for the next few years, because these are plants that you set up once in a decade. We expect that we should be at about 60%-70% utilization in that plant. There is plenty of headroom to go further.

Rajeev Rupani: Okay. And my next question was on methylamines. Since you just mentioned that the capacity is huge and the demand is low, can our methylamines be used further for derivative products?

Kirat Patel: Yes. That we are doing already, the derivatives, each of us, whether it is RCF, Balaji, Alkyl Amines, or even Aarti for that matter, are all having some derivatives. But even that has some limits. And those also have their own economics working against it. We have, I think, 3 or 4 derivatives based on methylamines. Balaji has 3 or 4, RCF has 2, and Aarti has 2, which are all part of this demand. So the derivatives themselves comprise, for us, for example, all including

the methylamine derivatives and isopropyl and methyl derivatives, about 30% of our amine output.

Rajeev Rupani: So I have a follow-up question. Do we have the technology to produce DMF, because I think methylamines can be used for making DMF? And do we plan to make DMF?

Kirat Patel: RCF and Balaji are both making DMF from methylamines. We have the technology, but we are not making it.

Rajeev Rupani: Any particular reason?

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Kirat Patel: It's not a viable situation at the current moment because the imports are much cheaper.

Rajeev Rupani: Thank you.

Moderator: Thank you. The next question is from the line of Nilesh Ghuge from H DFC Securities. Please go ahead.

Nilesh Ghuge: Hi. Good afternoon, Nilesh here.

Kirat Patel: Good afternoon, Nilesh.

Nilesh Ghuge: A couple of questions from my side. Firstly, on this GLP drug for diabetes, as we discussed in our earlier conversation, we assumed t

hat the acetonitrile demand may pick up because of this

GLP drug coming. Have you seen any pickup because of this GLP drug from this pharma industry? And if any, in the future, how do you see the growth of acetonitrile coming for the GNP? Any comment on this?

Kirat Patel: So, you are referring to these peptide-based diabetic weight loss drugs, are you?

Nilesh Ghuge: Yes, sir.

Kirat Patel: Okay. Yes, acetonitrile is used for the manufacture of some of these, and there is potentially a demand for that. How much that demand is, is a bit of a question mark because the drugs have just been launched, and it's in the early stages. We have got some approvals from some of these manufacturers for our acetonitrile, but it will take a little time to establish how much the market is going to grow. It's a bit of a question mark. But it is an additional use, that is very clear.

Nilesh Ghuge: Because we are the only manufacturer of pharma grade acetonitrile, is my understanding correct?

Kirat Patel: In India?

Nilesh Ghuge: In India, yes, sir.

Kirat Patel: But there are people who also process.

Nilesh Ghuge: But you see some potential coming from the acetonitrile, may not be in a couple of years, but down the line?

Kirat Patel: The Acetonitrile market, as such, is growing, and this is one of the new uses. Now, everybody is talking about it being a very big product, but one doesn't know these things; it takes time.

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Nilesh Ghuge: And secondly, in your opening remark, you mentioned that the prices were impacted because of this sanction from the US government. So, can you just help me out in this export as a percentage to the US, let's say last year or maybe the last couple of years. And in this H1 FY'26, how much does it directly export to US as a percentage...?

Kirat Patel: So, it's a little complicated here because what has happened is that we have exposure to the US of about 4% of total exports, which means maybe 1% of our total sales. And within that also there are some products which are exempt, some products which have the 20%, 25% and some which are at 50% duty, the Russian additional. So, the mix is odd. But I would say the worst-case scenario is that it would be about 1% of the topline, the direct exports to the US.

Nilesh Ghuge: And maybe if I add indirect exposure to various products going to pharmaceuticals, it will be less than 5%-6% or it's more than that. Because I just want to understand the impact of this US tariff on the overall topline.

Kirat Patel: Now, I know where you are coming from. But from our position, it is very difficult to know what each of our customers has, maybe about 200 customers in the pharma business. How much each of them is affected by the US tariffs is a bit unknown. But it is definitely certain that their US exports are affected, not because the generics are exempt, but that portion of branded products. And so, there's a mix involved. So, it's very difficult to guess how much of our customer business is affected. There are a couple of customers in other businesses who we directly know have been impacted, in their whole export part, which was a substantial part of their business. But they're not in pharma, but in other end-use. So, we can clearly put a 1:1 range there, but in pharma, it's a bit more difficult to guess. But generally, the demand is not only because of the US export, but because the Chinese have become more aggressive, because they've also been impacted by the US. So, they have started putting their material elsewhere. So,

there's a combination of both these ; how much is directly to the US and how much is indirect from the Chinese .

Nilesh Ghuge: You mean that the Chinese are dumping in the ex-US market?

Kirat Patel: Yes, because what they were probably directing towards the US is now not available to them.

So, they are pushing it towards Asia or wherever else they can.

Nilesh Ghuge: Yes, thanks. Thanks a lot, sir.

Kirat Patel : Right. Thank you.

Moderator: Thank you. The next question is from the line of Mehul. Please go ahead.

Mehul: Hello, sir. Thank you so much for the opportunity. Sir, I have a very dynamic kind of a question.

So, post-COVID , we were in a very sweet spot kind of a situation for our products, the entire industry was, because there was a huge upsurge in demand. And we had a very good time for Alkyl Amines Chemicals Limited

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the initial part of the COVID period. And then it was followed by a lull period. So, my question is that because we are in a recovery mode right now, I mean, please correct me if I'm wrong on whatever I'm quoting, but this is my very raw observation. So, my question is, is it possible to see that kind of sweet spot regime for this industry in the near future or in the next few years?

Kirat Patel: It's very difficult to predict whether we are going to have another situation like the COVID times.

I hope not because COVID is not a great period for the world. Yes, it helped the pharma industry generally and those who are supplying to the pharma industry . But now, the situation is what you would call normal circumstances, all businesses settled into their normal cycles, up and down, perhaps it's at a slightly lower level , but there are new challenges. As you can see, every day in the papers, you read something different about trade, and so it's a different kind of challenge. So, once this phase is over, we will revert to normal , and whether that kind of sweet spot is reached, I don't think that is something that can be predicted.

Mehul: Sir, I was not alluding to having a COVID kind of a crisis, but I was more asking you about the favorable industry dynamics. And with my little knowledge, I understand that it was because of the pharma uptick during those days. But so right now, can we say that we are a little below average in terms of demand?

Kirat Patel: Yes, I would say that , right now in this first half, because of all the ups and downs of the US government, people are a bit nervous and demand is a little constrained . But that could change if all gets settled.

Mehul: So, let me rephrase my question. When are we expected to reach a 2019 kind of scenario for the industry?

Kirat Patel: You mean 2021? I mean, I think that was the year, the COVID year ?

Mehul: No, I was saying a normal kind of scenario where there was nothing like a COVID -2019 kind of scenario ?

Kirat Patel: So, that kind of normality is already there today. The 2019, the pre -COVID period, you mean?

Mehul: Yes.

Kirat Patel: In fact, we are already at higher volumes and higher profitability than those years. Just the normal trend line, that COVID year was off the trend line , and we are now on the trend line.

Mehul: Okay. So, now going forward, if nothing drastic happens, if we are in a normal situation around the world, we would be trending upwards slowly and gradually.

Kirat Patel: Yes.

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Mehul: Okay, sir. Thank you so much for your patient listening. Thank you.

Kirat Patel: Thank you.

Moderator: Thank you. The next question is from the line of Divesh Lakhoti from IKIGAI Asset Manager. Please go ahead.

Divesh Lakhoti: Hi, sir. Thanks for the opportunity. So, a couple of questions. First, would you be able to quantify what kind of volumes we were selling through Aarti? Is that possible?

Kirat Patel: No. We don't reveal our selling quantities either globally or per customer -wise or whatever. We can't.

Divesh Lakhoti: All right. No problem. Secondly, on that Isopropylamine , I think we were pursuing some duty protection again. So, any progress if you can share?

Kanchan Shinde: Yes. So, Ministry of Commerce, we

had the investigation. The Ministry of Commerce has a

deadline to give its recommendation by December, and then three months after that, the Ministry of Finance will meet . So, by March , we should expect something.

Divesh Lakhoti: Thank you. And just one last one. On this whole narrative around the usage of acetonitrile for GLP -1, we just wanted to clarify something. We have seen in applications, EC applications by generic companies that aceto would be used for semaglutide. But could you clarify in terms of other GLP -1 drugs, either oral or the injectables, is it used across other varieties of drugs and different application modes, or is it largely dependent on semaglutide?

Kirat Patel: We don't have that much knowledge of the product. But yes, from what we can see from our customers' inquiries, most of them seem to be using acetonitrile because it is probably used in the API. What you are looking at is the formulation end, which has various ways to deliver the API. But yes, acetonitrile is used in the API. So, it is used in most of the peptide drugs.

Divesh Lakhoti: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sanil from Ambit Asset Management. Please go ahead.

Sanil: Hi, sir. Good afternoon. Just one question from my side. Can you help me with the capacity of methylamines for Aarti drugs?

Kirat Patel: I don't know. They have declared it in their presentations to be about 50,000 to 60,000 tons per annum. We ourselves don't know what the distribution is. We don't have access to their plans or whatever. So, you would have to accept that they have a capacity of about 50,000 tons per annum.

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Sanil: Understood.

Kirat Patel: But they have just started. So, it will be some time before they ramp up.

Sanil: Understood. Thank you.

Kirat Patel: Thank you.

Moderator: Thank you. The next question is from the line of Nirav from Anvil Wealth. Please go ahead.

Nirav: Thanks for the opportunity again. I just wanted to understand, in terms of our volumes, combining all the products put together. Have we crossed 100,000 tons of volumes combining, let's say, methylamines and their derivatives, as well as ethylamines and their derivatives, and acetonitrile? So, put together all the product baskets currently we have, have we crossed the sales volume above 100,000 tons?

Kirat Patel: Yes, because we have only done half the year. But on a run rate going just now, we will cross 100,000 tons.

Nirav: On a run rate basis?

Kirat Patel: Last year, we also crossed. So, we have already crossed that. On a run rate, half-year, we are also crossing it.

Nirav: Got it. And sir, in terms of the current saleable capacity, what we have among all the products put together, what sort of capacity should we look into in terms of our total saleable capacity as of now?

Kirat Patel: Good guess. But because we have some of these that are multipurpose plants and all that. But I would say up to about 2 lakh tons is possible. The market has to be there and in the right mix, and all that you know. Sometimes you have triethylamine demand up but monoethylamine demand down. So, the capacity can't be met. Those kinds of things are there. But if everything runs perfectly, maybe about 2 lakh tons.

Nirav: So, this 2 lakh tons, what you mentioned, includes the saleable portion only, like whatever methylamines we are consuming internally for our derivative part....

Kirat Patel: No, sorry. This is production.

Nirav: Okay, correct. So, I was just trying to understand from the saleable capacity part.

Kirat Patel: Then you have to remove about 25% from that. Approximately 25%. So, about 1.5 lakh tons are saleable.

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Nirav: Got it. Sir, the second question was on DEK. Like we commercialize

this product, I think 2-3

years back, and it was meant for one of the AgroChemical molecules. But that molecule didn't do well, and so was DEK also. So, if you can share your updates here in terms of where we are currently in terms of those 5,000 tons of capacity which we had put for DEK, and any anticipation in terms of the improvement, when can we expect this to reach optimum levels?

Kirat Patel: First thing is that the end-use in the AgroChemical has been, yes, under a little pressure, but they are back to normal now. So, there is no issue with that, and as far as our capacity was not 5,000 tons to begin with.

Kirat Patel: No, 5 tons per day. So, it is a little less than that, and we are now running reasonably at a good capacity of that. So, it is catching up. Yes, the margins are a little lower than what we expected,

but the volumes are now catching up. The agro market is doing a little better , and we are able to get our market share, and our plant is stabilized. All things seem to be getting in line. Touch wood, next half we will do well in that product.

Nirav: Sir, the last bit from my side was on the raw material side. So, very recently , we have seen the prices of ammonia catching up in the international market due to some disruptions in the Middle East. So, can you share your thoughts here in terms of whether it has started impacting us, also in terms of the ammonia, or whether we are covered a bit in terms of our ammonia requirement, for let us say at least 2 -3 months. So, if you can just share your thoughts here ?

Kirat Patel: This impact has happened because of the sanctions that the US government put on people who buy from Iran , and a lot of the Indian petrochemicals for us, for example, methanol, ammonia, and all come from distributors, large distributors. All of them buy from various sources from the Middle East and across the world , and in that mix, they have Iran as one of their suppliers. So, all of them have been affected to a greater or lesser extent. But the supply chain is all getting readjusted. Yes, temporarily at the moment we are, well , it just happened about a month ago, less than a month ago. So, at the moment , it has no impact because all these materials are covered. But going forward , certainly there will be a blip. There will be a time when the prices will go up a bit and then come back to normal as the supply chain starts adjusting. So, whatever was coming out of Iran may travel to China or somewhere else and then come back, and then go to India. But these will have some logistical cost differences , and the prices will settle. Because in the end , there is a certain overhang of capacity for these products across the world . So, there is not much of an upward kind of look for them , barring temporary disruptions like this. So, in short , at the moment we have not seen the change, but we expect it to happen shortly, and in the long run it will settle down.

Nirav: Got it. Sir, hypothetically , let us say if the situation continues for the next 5 -6 months, and since it is a global phenomenon , the finished product prices should also accordingly adjust to this change in raw material. Is this a safe assumption to make?

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Kirat Patel: I don't think it will take that much time because all these people have alternate routes. Trade is very, very flexible , and they are very quick to adjust. So, I don't think that the impact of these Iranian sanctions will be very long -lasting . Ultimately, they are only a small player in the global market. It may impact Iran to some extent , but it will not impact the whole supply chain so much. It settles very quickly. All of these 8 or 10 distributors have found alternate ways to increase their supplies. They find their alternate sources , and they are very large distributors supplying the whole c

ountry.

Nirav: Thank you so much.

Moderator: Thank you. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani: Yes, sir, I had a follow -up question. Sir, we are going to launch new products in the coming year. I would like to know what is next for the Company after this. Are there more products in the R&D pipeline that we can launch after a year or two , and on which side are these products, specialty chemicals? Could you please let us know?

Kirat Patel: So, we already have an R&D pipeline , and we have a couple of products that we will be looking at in the years to come. The decisions haven't been made about the investments in those yet , but hopefully , in the next 3 to 6 months, we will make some decisions on those if they look attractive. But they are all in the technological area of our strengths. It is not something completely outside our views. They may not be amines or amine derivatives , but like the other specialties, like acetonitrile and the others which we have, there is a broad range of technological capabilities.

Rajeev Rupani: And my follow -up question on ACN. So, what do you think will be the capacity utilization of ACN for us in a year or two, two years from now? Because our competitor is setting up a 60 metric ton plant, which will be commissioned this year. So, could you please guide us?

Kirat Patel: Well, you know this has been going on for now 12 years, the production of this material. If we are lucky enough to have full utilization in 2-3 years, we will also expand. But let us see, it is a long way. I mean , there have been a lot of people who have voiced their desire to expand acetonitrile over the last four years. How many have they actually turned up in the market? So, you have seen that.

Rajeev Rupani: And so, are there any export opportunities available for ACN?

Kirat Patel: Of course, we are exporting acetonitrile worldwide now.

Rajeev Rupani: Thank you.

Moderator: Thank you. The next question is from the line of Mehul. Please go ahead.

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Mehul: Hello, sir. Thanks once again for the opportunity. So, how much does ACN add to, how much is the contribution of ACN to our revenue?

Kirat Patel: Look, I will tell you that we have a whole range of products. No product is more than about 14% to 20% of the topline. And you can guess from that where ACN falls, it's not that we have a narrow range of products. Yes, it is an important product, but it's in that range of the topline.

Mehul: Right, sir. So, for ACN, we have only competition from the global players?

Kirat Patel: No, we have local players. You remember, there is Deepak Novochem and there is Jindal. Well, Balaji is not yet in the market, but there are also small, what you might call processors, you know. There is some small domestic competition. Yes, there is. . It's not just purely a two-person game.

Mehul: Right.

Kirat Patel: China and us are the major players.

Mehul: Okay. And in Indian players, we are the number one, right?

Kirat Patel: Yes.

Mehul: How much is the market share, sir?

Kirat Patel: Another question I wouldn't answer.

Mehul: Okay, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: I had a question on acetonitrile, sir. Today, we would be selling around 15,000 -16,000 tons, and assuming the current growth rate, we would be roughly touching 20,000 tons in two years. So, if this pharma demand is expected to come, do you think we'll have to add capacity over there?

Kirat Patel: Yes, I mean, it depends on how the market grows. If it grows, we may have to add capacities, but we will take that call when we reach the capacity utilization, which suggests that we can afford

to take a call on this. It's a large investment decision.

Kumar Saumya: Okay. And, sir, typically, what is the quantum of CAPEX required for, roughly say, 10,000 tons or 20,000 tons expansion?

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Kirat Patel: See, the last plant we put up was about, as you know, 150-160 crores. Now, what will happen? It will be in that, maybe more now.

Kumar Saumya: And what is the usual turnaround time, sir?

Kirat Patel: These plans take about two years. Any continuous process plant takes about a couple of years to set up, if you have your environment clearances and everything, because the environment clearance is another year or so.

Kumar Saumya: Got it. And, sir, lastly, on the AgroChem side, how is the demand over there?

Kirat Patel: It's not great. In fact, as we said, demand across not just AgroChem, the pharma, and other industries also seems to be a little subdued. Molecule to molecule, it varies, but it's subdued.

Kumar Saumya: Okay, sir. Thank you, sir. That will be all from my side.

Kirat Patel: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would like to hand over the conference to the management for the closing comments. Thank you.

Kirat Patel: I would like to thank everybody for the interest they have shown in joining our conference call and in the company. And as I mentioned earlier, we have had a little bit of a subdued half-year.

But looking forward, we hope that all these global volatile trade situations settle down and we go back to normal business of growth as we have seen in the past. And thank you, and looking forward to meeting you again in next half.. Thank you.

Kanchan Shinde: Thank you.

Moderator: Thank you. On behalf of Alkyl Amines Chemical Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 13, 2026

To,
BSE Limited
P. J. Towers, Dalal Street,
Mumbai - 400 001
SCRIP CODE: 506767

The National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra - (E), Mumbai - 400 051
SYMBOL: ALKYLAMINE
Dear Sir / Madam,

Subject: Transcript of Conference Call held on May 6, 2026 with investors and analyst on financial performance of Q4FY26

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call held on Wednesday, May 6, 2026 at 3.00 p.m. (IST) with investors and analyst on financial performance of Q4FY26.

The said transcript will also be made available at the website of the Company at www.alkylamines.com under Investor Relations>Investor Center>Conference Call Transcripts

You are requested to kindly take the same on your record.

Thanking you,

For Alkyl Amines Chemicals Limited

Chintamani Thatte
General Manager (Legal) & Company Secretary
& Compliance Officer

Encl: As above
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Q4 and FY26 Earnings Conference Call"
May 06, 2026

MANAGEMENT : MR. KIRAT PATEL – EXECUTIVE DIRECTOR – ALKYL
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MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY26 Earnings Conference Call of Alkyl Amines Chemicals Limited hosted by Ambit Capital Private Limited. This conference call

may contain forward-looking statements about the company, which are based on the beliefs, opinion and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.

Kumar Saumya: Thanks, Danish. Good afternoon, everyone. Welcome to 4Q and FY26 post-results conference call of Alkyl Amines Chemicals Limited. From the management we have with us today, Mr. Kirat Patel, Executive Director; Mr. Chintamani Thatte, General Manager, Legal and Company Secretary, Mrs. Kanchan Shinde, Chief Financial Officer. I'll now request Kirat sir for an opening remark, post which we'll open the floor for Q&A. Over to you, sir.

Kirat Patel: Thank you, Kumar, and welcome, everybody, to the annual Investor Call. Thank you for the interest you've shown in the company. I shall just give a few opening remarks, and then we will open the line for questions. The year has been a little challenging. We did begin the year with a little bit of optimism thinking that there will be some growth. However, as you can see from the results, both the top line and the bottom line have more or less remained flat, plus/minus 1% of what it was last year.

Within that, the concern has been that the markets have not grown as fast as we would have liked. However, the good part is we have managed to retain and perhaps even slightly increase our market share in various markets that we operate in. Of course, the year could be split up into 11 months and another 1 month in March after the war has begun.

And as you would be aware, we had informed the stock exchange both about the issues we have had with sourcing ammonia in March and subsequently, how we have been able to manage to keep the plants running. So we have had a few challenges in March in operations, but we have, by and large, overcome it. But of course, the future remains a little uncertain as long as the war continues, which we hope will get resolved soon.

With these opening remarks, I will open the floor for questions on specific issues or specific questions you may have about our products, markets, investments on the numbers which have been released yesterday. And please, Kumar, you can start the questions going. Thank you.

Moderator: Our first question comes from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Sir, just one question in terms of the demand dynamics that we have seen over the last couple of months, given that the raw material prices have increased and that must have been partially at least reflected in the higher product prices. So how has been the user demand given the current Alkyl Amines Chemicals Limited

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context? And what do we expect in the near future? Will it have any kind of demand challenges, which will [promenade 0:04:30] because if the higher pricing continues to stay for some time?

Kirat Patel: Okay. Yes, you're right that the immediate impact of the war has been that the prices have risen both of our raw materials and subsequently, we have raised our finished good prices to protect our margins. It is a bit difficult to predict whether this will have an impact

on the demand. At

the moment, of course, we haven't seen it because it's too early. But we have one thought process that in most of our customers' products, we are actually a very minor cost in their cost of material.

It's what you might call a C item.

So they have bigger problems to worry about in their major items. So the pressure on pricing may not be from the customers as much as from competition. And competition is already facing the same constraints as we have. So I suspect though the prices have risen, they will not go back to the pre-February prices very soon. It will take some time for them to readjust. And we think that it will continue for a little longer this price hike until the supply chain sorts itself out.

Moderator: Our next question comes from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, if you can help us, what would be your volume growth for FY26 to be?

Kirat Patel: It's been basically flat volume and value, plus-minus 1% either way prices have dropped 1% and volume has probably dropped 1%. So the combination is about 2% drop. But within that, of course, between products, there has been a lot of change

Dhruv Muchhal: Change, yes. Sir, on the RM availability, now ammonia is a key element for you. Just trying to understand the disruption that we see and Middle East being a large producer. So curious to understand -- I understand the prices have increased and net price, probably some material is available. But at a broader industry level, is ammonia easily available? I mean if the hypothesis is if it is available across the Board for across the players.

Although at a higher price, the oversupply concern that to some degree, which was there in the

industry would remain and how do the spreads improve then? So I'm just trying -- on the prices have improved, do the improvement in spreads happen? Or -- because if it's -- the point is if it's available only to you or for probably a few players like you, then I can understand the spread improvement. But if it is available across, how does the spread improvement happen?

Kirat Patel: Okay. So one is about the availability of ammonia. Yes, there was in March, a week or 2 when we had grave concerns about availability. But the sourcing improved. So most of our suppliers managed to source the ammonia for us fairly soon, and the disruption was very short and our inventories took care of the gap.

Going forward, yes, like ammonia, as you said, we were in the region of about INR50 a kg and now we are over INR100 a kg. So obviously, the cost of production has risen, and we have had to pass it on to customers. As I said earlier, the customers have been able to absorb the cost at the moment.

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Whether this will lead to some demand destruction is a question for the future. But currently, yes, we have been able to source it. And I suspect that most of our competitors have also been able to find their sources of ammonia. So the marketplace has remained balanced. And the rise in margins may be just purely inventories.

If you had inventories of cheaper ammonia or the cheaper raw material and you produced it for a month or 2, you will get an advantage. But after that, it will settle down to the regular competitive margins.

Dhruv Muchhal: Got it. Sure. And when you say the availability -- I mean ammonia availability is reasonable, does it mean you are able to operate the plant at the level you desire? Or I mean, it is at a lower level although sufficient enough? I'm just trying to understand the degree of availability.

Kirat Patel: Yes. So our plants are running. We have a little bit of headroom. On an average, we must be having between 60% and 85% capacity utilization, and that we continue to get enough raw material to keep there. Yes, if the market grows suddenly to more, we'll have to source more ammonia. But the amount of ammonia the aliphatic indu

stry requires is between 10,000 to 15,000 tons, per month.

So it's a fraction of what the country needs. So it's fairly easy for the government to allocate 0.05% which is a critical raw material going into agricultural inputs to drugs. So they have taken into consideration that, and they will definitely support what is required. The alternative for them would be that, if these industries cannot supply, then the worst case scenario, they will have to import the material.

And that is not a great idea. So they are making arrangements. So, I suspect over a period of time, we will get the ammonia as we require. Of course, it's not just the ammonia, but other raw materials, methanol and also raising prices.

It will take some time for the industry to sort the supply chain out, maybe another 3 months, maybe 6 months for it to stabilize. Hopefully, by that time, all this Hormuz Strait will be opened out, and we will be able to manage a reasonable amount of material coming through.

Dhruv Muchhal: Sure, sir. Perfect. Sir, one other question was if any update on the project that you were implementing in, I think, Kurkumbh...

Kirat Patel: Yes. So that project was to be commissioned in this quarter, April to June. We are slightly delayed. It will probably be the beginning of the next quarter that the project will get commissioned. Mechanical completion is going on. Mechanical completion is going to be completed somewhere at the end of June.

Dhruv Muchhal: And the economics remains broadly same. I mean there's no...

Kirat Patel: Yes. The economics of the project have not been affected, even though there has been a slight delay. The economics of the project has not been affected, even though both the raw materials and the finished goods both prices have risen of in line with everything else.

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Moderator: Our next question comes from the line of Pankaj Tibrewal from Ikigai Asset.

Pankaj Tibrewal: So 2 questions. One, last 3 years, when I look at our performance, obviously, we were impacted by the product pricing correcting significantly led by Chinese import. And Chinese were selling at a price which was at times below the cost of production, especially in acetone and ethylamines and methyl chain. How is the situation now? Can you give us a color?

And the way we saw in the last 3 years, do you think that finally, even if the prices revert, will it settle much above? And can the company now starts to deliver double-digit kind of a growth,

which will be a combination of volume plus pricing? So just a color on across the chain and the import side will be quite helpful.

Kirat Patel: Okay. The first thing is the Chinese were not in the methylamines field where the competition is largely domestic. While in case of acetonitrile, we got the antidumping duty, it took a little time for it to materialize, and we only got the benefit of that antidumping duty towards the end of the year. Initially, there was a lot of inventory in the pipeline. So in anticipation of the antidumping duty, people had imported more.

And after that, the Chinese themselves cut prices, so towards the end of the year, we did see some improvement in our pricing in acetonitrile. And therefore, volumes started creeping up and our market share started moving a little better.

Going forward, whether at these elevated prices, whether we'll be able to deliver growth on volume and obviously, in terms of value, it will grow because the prices have got elevated. But in terms of volume, one is not sure. We expect that the next year will be like a normal year, which is about 5% to 10% growth rate, but there is too much uncertainty in the future.

Pankaj Tibrewal: On the aceto side, what will be the pricing now?

Kirat Patel: Today, I think we are at about, what INR250.

Kanchan Shinde: INR200.

Kirat Patel: A bit over INR200 now per kg. But then acetic acid has also risen

considerably.

Pankaj Tibrewal: And last quarter, it's average will be what?

Kirat Patel: INR200 a kg, INR200-odd a kg.

Pankaj Tibrewal: No, last year's average for us.

Kirat Patel: Last year's average, it came down to something like INR140, INR150.

Pankaj Tibrewal: Okay. So it's gone up by almost 30%, 40% from there, that...

Kirat Patel: Yes, so -- but as the raw materials.

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Pankaj Tibrewal: Yes, yes, sure, sure. And on the ethyl and methyl chain also, the margins had come down to 2-decade low. How is it naive from a spread perspective, are you seeing improvement and plus the volume offtake because we have a lot of capacity also. So can you give us some color on that side of the business, please?

Kirat Patel: So in ethyl, the market has adjusted and the margins have improved. But in methyl, we find still that though temporarily, there will be some disruption because of ammonia. But now that we have 4 players in methylamine in the country, we expect there will be competition in methyl because now Aarti has also commissioned their plant, and therefore, they expect to be some competition.

Pankaj Tibrewal: And ethyl, can you give us some color on the spreads and how is it behaving now?

Kirat Patel: Ethyl has been only 2 of us, Balaji and us in the market. And there has been a somewhat stable market share kind of rationing or whatever. And prices have stabilized. In fact, they have also increased because alcohol has increased and margins have been protected there.

Pankaj Tibrewal: Okay. That's great. And just last question on aceto. Can you give us color on the imports by Chinese? How is it behaving now?

Kirat Patel: In the last quarter, I think there has been some improvement from us. I mean, in the sense that they have reduced their imports because they have raised their prices. So more and more, our market share has been increasing. But that's only the last quarter. It took almost 6 months from July all the way to January -- December, January for the pipeline and the aggressive behaviour of the Chinese to change.

Pankaj Tibrewal: That's great to hear that. And from a demand perspective, last con call, you all mentioned because of the tariff issues, the pharma and a few of your clients had suffered, and that's why the volume had become a little lower. How is it the feedback from the clients right now because the tariff issue is now behind. So what are the pharma guys, the API and the peptide guys are saying? How should we look at it from a demand perspective?

Kirat Patel: I think the pharma has always been a little optimistic. They were exempt from most of these tariffs. There was a danger in the oil and gas field where we were supplying, which had an impact. That was on one of the products which we used to sell, and where the peptides is concerned, there is still a lot of optimism, I would say, a lot of talk about growth, but most of it has to still materialize.

It's still early days. Just March, they got there, I think, waiver of this thing. So they've all launched somewhere in the last month only. And yes, we have supplied materials to all the players, but we are waiting to see how that growth takes place. We are optimistic that in acetonitrile and peptides, there will be some volume growth.

Pankaj Tibrewal: But have you been able to now assess the market for us for peptide on aceto?

Kirat Patel: Difficult because everybody is giving different optimistic figures, but I don't think that will all

hold. They're all very gung-ho about it, but it's not going to be that competitive. But the Alkyl Amines Chemicals Limited
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acetonitrile market is about 30,000 tons or so. And this will be maybe 10% of the whole. So something will go up, something will go down. So the total market is not disrupted by it. It's not a disruption, but it's a great addition.

Pankaj Tibrewal: An

d I know the company is quite conservative in overall outlook always. But when I look at the last 3 years, it's not been a very inspiring time for the company because of various reasons from an outside perspective. The way we are standing now, and obviously, things will change because it's an uncertain world. Do you think that now probably we are on a growth path back again and things should be materially better than what it has been in the last 3 years where we suffered from all the fronts?

Kirat Patel: Short answer, yes, - I think we look forward to what I would say, cautious optimism. I think we will do better than what we have over there. And we have seen the worst of times, I think. Of course, in life, you never say that because something always comes along to prove you wrong. Yes, I'm optimistic that we are likely to see better times in the future.

Moderator: Our next question comes from the line of Parikshit Gujarati from Niveshaay

Parikshit Gujarati: First of all, I would like to ask a similar question what Pankaj sir asked. So all this China anti-involution policy, how big is the catalyst for us? So they are cutting from capacities of the chemical sector overall. So how big is the benefit for us I wanted to ask that.

Kirat Patel: Sorry, can you just repeat the question? What is the...

Moderator: Parikshit, I'm sorry to interrupt you, but your voice is breaking, make sure that you have a stable network.

Parikshit Gujarati: Yes. So what happened from the past 3, 4 years that Chinese were dumping the chemicals into India. And now in the anti-involution policy, we are trying to cut the capacities in the country.

So how will we benefit from this?

Kirat Patel: Yes. So we have seen over the last quarter, a reduction in the aggressiveness of the Chinese, and we hope it will continue. So if that happens, then, of course, not just us, all the Indian manufacturers will benefit in terms of reduced competition from the Chinese, some of it which was quite unfair.

And we hope that will help us restore our margins to the levels which we were hoping. And of course, this path that they have taken should be consistent. It's not necessary that they are going to continue to cut capacities as they have promised and in all sectors.

Parikshit Gujarati: So sir, on the margin side, what margins can we expect from now? Can we say that this is the bottom of margins? And from now here on, what improvement can we expect?

Kirat Patel: So as I said earlier, then yes, we are optimistic that we have seen probably the worst, and we hope to see better times in the future, with the provision that there's always something which can happen. Nobody predicted the war and what can happen. At the moment, of course, the benefit of lower raw material and higher finished good prices temporarily has helped.

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But how long it will continue, one doesn't know. But we are optimistic that we will have better margins in the future. Though all the prices will, I don't think, come down to the old levels soon, pre-February levels, I don't think we'll see very quickly because this is going to take some time for these prices to come down.

Parikshit Gujarati: Okay. And in the volume terms, you are guiding 5% to 10% volume growth?

Kirat Patel: That is what we expect that the country will be growing anyway at 5%, 7%, and we grow along with it.

Parikshit Gujarati: Okay. So what I wanted to understand that is this a very big catalyst or a medium-term, short-term catalyst is the China anti-evolution thing, so is this a very big catalyst for us or not?

Kirat Patel: A very big?

Kanchan Shinde: Catalyst.

Kirat Patel: Catalyst for...

Kanchan Shinde: China's policy that...

Kirat Patel: No, no, it's not that significant. Yes, it does help because you can get 5% more selling price if the Chinese become less aggressive. But they are still present. It's not as i

f they have completely

gone off the market. So there will be some advantage if they will stop acting so aggressively

because they themselves have to meet their own return on investments and all that. but it will be a benefit, not a dramatic benefit, but some benefit.

Moderator: Our next question comes from the line of Gagan Dixit from Elara Securities. Gagan Dixit has left the queue, we'll move forward to the next participant. Our next question comes from the line of Rajeev Rupani, an individual investor.

Rajeev Rupani: Sir, in last con call, you had talked about there are some products in the R&D pipeline, which you may think about in the next -- by Feb, March. So could you please update us when do you plan to launch new products from the R&D pipeline? And on which side will it be?

Kirat Patel: Yes. So there are 2 things. One is, of course, the products which we are already launching, which will, as I said earlier, will probably come into the market in July, which is also from our R&D pipeline. There were a few other products which we are looking at. But we have got them on to engineering stage, but we will take a final decision on whether to invest or not into this after this volatility in the market settles.

On the profitability, we need to have a slightly longer-term vision on these products. It takes almost 4 to 5 years from conceptualization to come to the bench trial to engineering. And in that time, a lot of commercials change. So depending on how it goes, we have to take a slightly longer-term view.

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And given the volatility just now, we are being a little cautious before going forward with anything major, whether it is INR20 crores or INR50 crores investment or even INR200 crores investment. We are being a little careful just now.

Rajeev Rupani: So by next con call, we will have a better view?

Kirat Patel: I'm not sure. I hope this war will end. So I'm sure we will be able to be a little more optimistic about the future here and be a little more understanding of where the prices are settling and who's still left standing in the field.

Rajeev Rupani: Okay. And my next question was on ACN. So what do you think will be the capacity utilization in the coming years? and what was this last year?

Kirat Patel: So as you know, we have about 30,000 ton capacity between 2 plants. And we have enough capacity to last us for a couple of years. So we are not worried too much about the capacity utilization at the moment.

Rajeev Rupani: Okay. And going forward, the capacity utilization of methylamines and ethylamines, could you guide us?

Kirat Patel: So in ethyl, we invested, about 3, 4 years ago in a very large plant, which could last us for maybe 5 or 10 years at that time. So there is no question of ethylamines we have -- I mean, ethylamines, we have enough capacity for the next 4 to 5 years, assuming that the growth is natural in this 5% and 10%, which we see. Though last year, it was a little dull for growth, but we think that we have enough ethylamines capacity. And between us and Balaji, the country has enough capacity for ethylamines.

Methylamines, there is an overhang of capacity because a new player has come in. So there's RCF, Balaji, Aarti and us now. So there is a bit of overcapacity of methylamines, and that will take some time to fill up until the market -- it is at a level where all of us have underutilization of capacity there.

Rajeev Rupani: Yes. And my last question was on the raw material side. So if there is an improvement in the availability of raw materials, do you think -- and the prices go down, the finish -- our finished product prices also go down by that percentage or we can maintain the prices, current prices?

Kirat Patel: Yes. What happens normally is that the prices come down. There is a phase lag, of course. When supply improves and prices come down, the finished good

prices come down with a lag because

that comes with competition. So there is a portion of time where your margins improve, but that is only temporary.

But my view is that I don't think the prices will come down to the old levels very soon because the damage that has been done to the petrochemical industry is going to be difficult to repair in the short term. It is going to be repaired, of course, but it will take a little time for it to come back on stream fully.

Moderator: Our next question comes from the line of Abhinav Mandowara from Aequitas Investments.

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Abhinav Mandowara: The first question is on the incremental ammonia price. I understand that in the March month, we could get availability of the ammonia. But going forward with higher prices of ammonia, do

we pass on the entire incremental price, a? And b, how are the contracts placed, like is it long term, short term, what is the month and what is the quarter?

Kirat Patel: Well, at the moment, if you look, we have been able to get ammonia even beyond March and at the elevated prices, the prices have not dropped. We have been able to pass on the increase. I mean our customers are understanding -- very understanding about the fact that with ammonia doubling, we are not able to supply the material at the old prices. But they have absorbed it, as I said, because a lot of our chemicals are a C item in the whole picture. But going forward, I think, yes, if the prices come -- supply improves and prices come down, the finished good prices will also adjust maybe with a phase lag because ultimately, it's the competition. And most of our products have either the Chinese or internal competition, which ultimately tries to grab market share. So competition finally sets the price. You do probably enjoy a temporary margin widening, but it's only temporary.

Abhinav Mandowara: Got it. Got it. And secondly, I wanted to understand the nature of our contracts.

Kirat Patel: Yes. At the moment, the ammonia contracts are all short term because prices are high and nobody is willing to commit well, it's not day-to-day, but it's fairly short compared to what we used to do earlier because nobody is willing to commit longer term.

Abhinav Mandowara: Got it. Also I just wanted a broad view on how are you seeing the user industry sectoral trend? Are you seeing a demand slowdown, particularly in agro, pharma? I think these 2 are your biggest segments.

Kirat Patel: Well, at the moment, we haven't seen anything, but there is a little bit of concern that they could be affected, not pharma as much as agro because they expect this monsoon also with the El Nino and all, there is some concern. But I don't see the pharma industry being affected by that.

Abhinav Mandowara: Got it. How much for us pharma would be as a user industry, around 50%?

Kirat Patel: Maybe between 50% and 60% of our sales are to pharma and another maybe 15%, 20% to agro. Total, it's about 70%, 75%.

Abhinav Mandowara: Got it. While you say that methylamines have got competition, et cetera, et cetera, when do you see the entire absorption of this incremental capacity, which Aarti is also getting? And how do you see this panning out? Like how has the cycle been earlier when a new competitor has arrived and the supply has increased? Like in this scenario, how difficult it would be to pass on the raw material price?

Kirat Patel: So this new competitor in methylamine has not happened for 30 years, 35 years, if I'm not mistaken. So there is no comparative kind of scenario. And this is the first time we are seeing such a thing. Yes, earlier, the 3 of us, Balaji, RCF and us have had capacity expansions regularly every few years.

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And all of us have spare capacity now. For all of it to be absorbed, it will take a lot of time because it's a bit of a mystery wh

y Aarti went into this industry when there was already overcapacity. There was enough capacity, and then they have put in a new plant. So we have had even more overcapacity.

Abhinav Mandowara: Got it. And for ethylamine, what is your view on that?

Kirat Patel: Ethylamines, I think there is no issue. It will continue to grow, and for us we have actually a plant which is fairly large size, and we can even debottleneck it. So we don't see any problem in capacity for ethylamines. We are probably either the largest or the second largest producer of ethylamines in the world already.

Abhinav Mandowara: Got it. And what will be the capacity utilization for both the products and what other products?

Kirat Patel: Well, we don't talk about individual products. But as I said earlier that most of our plants are between 60% to 85% capacity utilization. So we have enough capacity for the next few years without having to invest anything more in the existing product capacities.

Moderator: Our next question comes from the line of Gagan Dixit from Elara Securities.

Gagan Dixit: Sir, what is the planned capex for FY27 and FY28, sir?

Kirat Patel: Planned, sorry, what capex?

Gagan Dixit: Yes, what is the capex plan?

Kanchan Shinde: Yes. So there is no major business project, the current new product plant, which is going at Dahej, so a bit of what is left over that we will incur in next year and then a few of the engineering projects. So around -- it will be around INR80 crores to INR90 crores.

Gagan Dixit: Okay. So there are no any new products, it's just existing projects which we have?

Kanchan Shinde: No, no, it can come up in between. Right now, nothing.

Gagan Dixit: Okay, okay. And about the raw material side, sir, given this situation of the raw material availability, so are you evaluating any alternate ammonia or methanol sourcing or any long-term contracts for alternate route just for the long-term purpose to avoid the similar shutdown risk in future, sir?

Kirat Patel: Yes, interesting question. There's a lot of talk about green ammonia going around. And we are waiting to see if the prices of green ammonia offered can even come close to what the petrochem ammonia is. If that happens, that's a great thing for not just the country for the world because that would make a big difference. I think it will happen. It will take a little time. It will be 3 to 5 years before anything breakthroughs happen., I think that's an alternative which will come up in the future.

Gagan Dixit: Yes. I think the coal gasification also government is focusing where methanol is the, I think, by-product for it.

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Kirat Patel: Yes, methanol is a by-product in coal gasification. So they are pushing. In fact, China did it 15 years ago. We should have also stepped in. We ignored it. We have only, 2 or 3 coal gasification plants. And both of them, I think, in the steel industry.

Moderator: Our next question comes from the line of Mitul Mehta from Lucky Investment.

Mitul Mehta: Sir, I just wanted to understand your current spreads with raw material prices going up, going down, how are the current spreads behaving for each of your products? I mean you could just tell me about methyl, ethyl, acetonitrile and a few other -- the larger ones?

Kirat Patel: Yes. So in March, as I had mentioned earlier, we did get a little advantage because we had raw material stocks, which were of the old prices, while the finished good prices moved up. This kind of thing, we will not be able to sustain. But yes, the margins initially improve and then they settle down because of competition.

Whether they will settle down to the old pre-February or a little higher, we'll have to see. But we are optimistic that I think we have seen the bottom. So probably the margins going forward will be a little better than what we have experienced in the last year.

Mitul Mehta: Assum

e that every year, we can anticipate some margin increase from now on in terms of your EBITDA margins, about 100 to...

Kirat Patel: Every year, it's difficult to say. But definitely, I think we do foresee some improvement in our margins in the next year. But will it continue growing, that's a separate question altogether. It's difficult to say.

Mitul Mehta: And also from the sales standpoint of view, is it also fair to assume that our growth will be between 10% and 15% going ahead?

Kirat Patel: Well, between 5% and 10% volume growth. As I said, the prices just now have gone 30%, 40% higher than what they were in February. So in terms of top line, obviously, there will be a lot of increase. But in volume growth, it will be between 5% and 10%.

Mitul Mehta: Okay. So when you say -- so typically, the higher inflationary sort of selling price has always been helpful to us even in the past or generally, the raw material prices also sort of move up in the similar fashion, but -- and our conversion sort of remains flat.

Kirat Patel: So you're right. At the beginning at every cycle, we gain because there is always that we quickly react to current raw material prices and change our finished good prices, while we do have contracts for the old or inventory of raw material with us. So there is a widening of margins in the initial stage. Then it settles down. Hopefully, it will settle down to a better level than what it was before February.

And then if the prices start going down again, which may happen after 6 months, 1 year, whatever the time it takes for the supply chain to sort itself out, then we do have some view that raw materials come down faster than our finished goods. So again, we do get a little benefit

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sometimes. So there are 2 opportunities. And in between, there is a kind of a flattening of margins.

But given that there has been a boost in the prices, I do not think the prices will come down dramatically back to the February levels very soon. So there will be a margin increase going forward.

Mitul Mehta: Right on your current selling prices across products, I mean methyl, ethyl, acetonitrile...

Kirat Patel: Sorry?

Mitul Mehta: Current selling prices across your product basket, methyl, ethyl, acetonitrile.

Kirat Patel: They are very, very different because in each of these, ethyl has 3 products, methyl has 3 products. Some are long, some are short and acetonitrile itself is having volatility. and they are very different trends. Methyl is almost half the price of ethylamines. So methyl would be, say, INR100, INR110 and ethyl would be INR200 plus. Acetonitrile would be INR200 plus today.

Mitul Mehta: So overall tonnage, how much we produced this year? I mean is it possible for you to make that...

Kirat Patel: Yes, I think we have produced overall, I think, about 2% more, 1%?

Kanchan Shinde: 1%.

Kirat Patel: 1% more than last year.

Mitul Mehta: Tonnage-wise, can you sort of...

Kirat Patel: No, we don't actually reveal tonnages of various products or even the global.

Mitul Mehta: Basically from 2 lakh tons, we are currently at about 110,000 tons, would that...

Kirat Patel: Two lakh ton capacity, yes., If you look at our capacity utilization and all, you'll be able to work out, it's in that range because one-third of that is, as you know, we self-consume a lot of our production. That derivatives made from our amines. So almost one-third of it is reused by us.

Mitul Mehta: Over the next 24 months, we don't see any major capex also?

Kirat Patel: No. We don't see -- for the existing products. But as Kanchan pointed out, that in case some of these R&D products work out, then we may suddenly come up with a requirement for capex.

But otherwise, the capex looking at is just completing this project and maintenance capex.

There's always some maintenance capex, INR20 crores, INR30 crores, something like

that.

Mitul Mehta: Just to get some more understanding about these new products. I mean, so which are these products actually? Are they -- is there a completely new set of products and catering to new industries or...

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Kirat Patel: Look, I think we have a policy which we have mentioned earlier that we do not talk about our R&D products till the product is in the market. That means after the plant is commissioned and the product has come into. Then we announce it to the market. So I don't want to discuss any R&D project.

But globally, yes, we are in the specialty chemical market. By and large, we look at products which have at least 2 customers for the product and in the areas which we know the life sciences.

We have a wide range of customers from rubber chemicals to water treatment to electronic chemicals, drugs and agro. So it's normally in this area.

Mitul Mehta: How many -- I mean, in terms of number of projects that you would be currently working in your R&D, would it be possible for you to share that number?

Moderator: Ladies and gentlemen, the management line has been disconnected. Please stay connected while we reconnect them. Ladies and gentlemen, the management line has been connected again. Over to you, sir.

Kirat Patel: Please can you repeat the question because we got disconnected in between.

Mitul Mehta: My question to you was that how many products or how many projects would you be working at this time in your R&D?

Kirat Patel: At any point in time, we are probably over a dozen projects working on it, probably more. But at various stages, some are right at the preliminary research stage, I mean, at desk research. Some are at final, what we call, R&D bible building, they're just finishing off all the data, which the engineering requires.

And there are some in the engineering stage, which is not R&D, but the project people, technology transfer people. So maybe a dozen products we'll be looking at any point in time.

But as you said, out of which actual -- when they come to a stage where financial decision has to be made... can you please repeat the question.

Moderator: Ladies and gentlemen, the management line has been disconnected. Please stay connected while we reconnect them. ladies and gentlemen, the management line has been disconnected has been reconnected. Over to you, sir.

Kirat Patel: I'm sorry, I think we are having a little trouble with the network today. And so can you just repeat the question that you were asking, sorry.

Mitul Mehta: Actually discussing about the new product, the new...

Kirat Patel: Yes. So as I was saying that they have about a dozen products at any point in time at various stages of development from depth research all the way to engineering. And we have a policy that we will not talk about our products. Of course, our end customers probably know it earlier than anybody else because we do send them samples and discuss with them what they want because specifications and stuff like that.

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And a lot of these products come from them because they need this. So they approach us saying

that can you make this? And we need it in year 2 or 3 or whatever, and we need so much quantity at approximately this price. So a lot of this, the customers are the first people, of course, to know about the products.

To the investors, we announce it when we actually have the product in the market. And out of these dozen, maybe 1 or 2 may survive to commercialization. Sorry about that interruption. I think we have time for one more question.

Moderator: Sure sir. Our next question comes from the line of Nihar Modi from Millennium Money Finance.

Nihar Modi: So sir, I wanted to ask that you mentioned about green ammonia, but sir, there is a different future perspective that can be planned on. So

sir, but is the company under any talks as of now

to diversify its ammonia suppliers or maybe build a more aggressive inventory so something like this situation does not occur again?

Kirat Patel: Two questions, whether we can diversify our sources of ammonia. We are already dealing -- you see ammonia is a very large commodity, and we are only a very minor user of the total quantity.

So we depend on distributors and suppliers of this who are mainly connected to the fertilizer plants and import this thing, importers. So we don't have a direct connection with, the manufacturer, except for 1 or 2 cases.

But we have a diversified -- because there are so many fertilizer plants in this country, and most of them in the Western region. So that is well supplied. This shortage of gas is something which is unique, never happened before. So that kind of situation can happen. As far as the green ammonia is concerned, we've been watching the development, but nobody is yet offering the ammonia in future yet.

But I suspect that they'll come to a stage very soon where they will be able to offer this material to us. Of course, we are not the major users. They're probably planning to offer it to other end users, but it could benefit us. Do we have time for one more question?

Moderator: Sure. We'll take Rajeev as the last question. The next question from Rajeev Rupani, an Individual Investor.

Rajeev Rupani: My question is, sir, our competitor, Balaji, is executing a large plant for ACN, which is coming up in the current year. So 18,000 tons. So what do you think will be impact on the prices and our capacity utilization? And my next question is the methylamine. So we are facing a lot of competition. Any new derivative products planned for methylamines so that our margins increase?

Kirat Patel: Two questions. One is Balaji putting up a new acetonitrile plant. Yes, of course, it can happen, and will ultimately make the competitive material. But that's in the future. And when it happens, we will see because there is already 2 or 3 other people who are making acetonitrile, but we seem to have an edge on the costing and the efficiencies. So that's where the catch comes. You have to have the ability to manufacturing at a low cost.

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And we suspect that we will be the lowest cost manufacturer in this product for some time to come. Of course, it will have an impact on the market. It's not just Balaji, it's the Chinese also. As far as methylamine derivatives are concerned, we are always looking out for new products. And I said we will not talk about our new products, which we make. Some of these new products are derivatives of our amines.

So some methylamine derivatives will be in the R&D pipeline, which we are always looking at. But nothing we can announce just now. Okay. Thank you very much. Thank you for coming on to this annual call for investors. And I wish you all the best for the next year. Thank you.

Kanchan Shinde: Thank you.

Moderator: Thank you so much. Ladies and gentlemen, on behalf of Alkyl Amines Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.